



ENTREPRENEURSHIP

Self-Instructional Manual

The Self-Instructional Manual (SIM) for Entrepreneurship (MBA6683) is designed to equip students with a comprehensive understanding of entrepreneurship — from foundational theories and ethics to venture creation, digital strategy, and long-term scaling. It integrates theoretical frameworks with practical Malaysian and Sarawakian business contexts to prepare students for entrepreneurial leadership.

About This Manual

This manual comprises eight learning units covering the full entrepreneurship lifecycle — from evolution and ethics through corporate entrepreneurship, venture formation, ethical theory, digital business strategy, strategic planning for tech startups, and growth funding. Each unit includes learning outcomes, core concepts, real-world Malaysian examples, self-reflection activities, and assessment questions.

MBA6683 | Major (Core) | Credit 3 | 120 hours SLT | Semester 1

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INSPIRING MINDS, SHAPING FUTURE

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PREFACE

Welcome to MBA6683 Entrepreneurship. This module has been designed to equip you with the conceptual knowledge, analytical tools, and practical skills required to recognise, evaluate, and pursue entrepreneurial opportunities — whether through founding a new venture, transforming an existing business, or driving innovation within a large organisation.

Entrepreneurship is one of the most powerful engines of economic development, and nowhere is this more apparent than in Sarawak. The state government's Sarawak Digital Economy Blueprint 2030 and the Sarawak Entrepreneur Development Programme (SEDP) reflect a deliberate strategic commitment to building a dynamic entrepreneurial ecosystem that generates high-value employment, reduces dependency on commodity exports, and positions Sarawak as East Malaysia's digital hub. As MBA students at i-CATS University College — located in the heart of Kuching, Sarawak's capital — you are both beneficiaries and potential contributors to this transformation.

This Self-Instructional Material (SIM) is structured around eight Learning Units (LUs), spanning 14 teaching weeks. The content has been written specifically for Open and Distance Learning (ODL), meaning you are expected to engage with this material independently, at your own pace, prior to scheduled tutorials and discussion sessions. Each LU includes substantive reading content, worked examples, case studies, self-reflection prompts, managerial insight boxes, multiple choice questions, and discussion questions — all designed to develop both your conceptual understanding and your ability to apply entrepreneurial thinking to real business problems.

Case Study Sourcing Policy — Regional Priority Rule: Throughout this SIM, the authors have followed a deliberate case study and example sourcing hierarchy: Sarawak-based examples are used first wherever available; followed by East Malaysia (Sabah, Labuan); then Peninsular Malaysia; and finally regional or global examples where no suitable local case exists. This policy ensures that your learning is grounded in the business realities of the context in which you study and work, rather than relying exclusively on Western or Singaporean examples that may not reflect local market conditions, regulatory frameworks, or cultural business norms.

How This SIM is Structured: LU1 introduces the evolution, core concepts, and theoretical foundations of entrepreneurship. LU2 examines business ethics and innovation — the ethical responsibilities and innovative mindset that distinguish sustainable entrepreneurs. LU3 explores corporate entrepreneurship and intrapreneurship — how large organisations foster and sustain entrepreneurial behaviour internally. LU4 addresses new venture development — from idea generation and opportunity recognition through to feasibility analysis, business model design, and the legal requirements for establishing a business in Malaysia. LU5 through LU8, covered in a separate volume, address scaling ventures, digital entrepreneurship, social entrepreneurship, and venture financing.

A Note on Artificial Intelligence and Academic Integrity: Generative AI tools such as ChatGPT, Copilot, and Gemini may be useful for research, idea generation, and drafting. However, submitting AI-generated text as your own work without disclosure constitutes academic misconduct under i-CATS University College's Academic Integrity Policy. All assessments — the Business Proposal (CA1), the Reflection Case Study Analysis (CA2), and the Final Assignment — require original critical thinking grounded in your personal analysis of Malaysian and Sarawak business contexts. Use AI as a research and thinking partner, not as a substitute for your own intellectual engagement with the material.

We wish you an intellectually rewarding and practically enriching learning journey. The entrepreneurial mindset you develop in this programme will serve you — and Sarawak's economic future — well.

COURSE INFORMATION

Field	Details
Course Code	MBA6683
Course Title	Entrepreneurship
Credit Hours	3
Student Learning Time (SLT)	120 hours
Classification	Major (Core)
Semester	1
Pre-requisite	None
Module Writer	Dr Nur Suriayanti Binti Gadiman; Muhammad Nor Shafiee Ibrahim
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Institution	i-CATS University College, Kuching, Sarawak
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Course Synopsis

This course will cover the concept of Entrepreneurship as the ability and readiness to develop, organize and run a business enterprise, adoption of a new technology along with any of its uncertainties in order to make a profit. The most prominent example of entrepreneurship is the starting of new businesses. It draws together many of the topics covered in other courses and allow students to practise the business skills required in new business ventures.

Course Learning Outcomes (CLOs)

CLO	Statement	Bloom's Level	PLO
CLO1	Distinguish entrepreneurship traits and technology skills.	C4	PLO1
CLO2	Demonstrate an understanding of professional ethics, responsibilities and entrepreneurial skills to set up own business or discover digital business opportunities.	A3	PLO11
CLO3	Formulate the strategies that outline the future activity for an existing or proposed business venture in technology based.	A3	PLO10

Assessment Structure

Assessment	Component	Weightage	CLO	SLT (hrs)
CA1	Business Proposal	35%	CLO2	22
CA2	Reflection Case Study Analysis	35%	CLO3	22
Final Assessment	Assignment	30%	CLO1	20
	TOTAL	100%		64 (CA + Final)

MQF Alignment

CLO	MQF Domain	Level
CLO1	Knowledge (C1)	MQF Level 7
CLO2	Values, Attitudes & Professionalism (C4B)	MQF Level 7
CLO3	Communication, Leadership & Team Skills (C5)	MQF Level 7

HOW TO USE THIS MANUAL

This Self-Instructional Material (SIM) is your primary learning resource for MBA6683 Entrepreneurship. It has been written for Open and Distance Learning (ODL), which means you are expected to study the content independently, at your own schedule, and come prepared for tutorials with questions and reflections already formed. The following icons and boxes appear throughout the SIM to guide your study:

Feature	Description	How to Use It
Self-Reflection 	A prompt inviting you to connect the theory to your personal or professional experience.	Take 10–15 minutes to write a brief personal response before your next tutorial. These are not graded but build the reflective skills needed for CA2.
Managerial Insight 	A focused box highlighting a real-world business practice, Sarawak case, or strategic application of the concept.	Read carefully — these examples are frequently the basis for discussion questions and assignment scenarios.
Summary Box	A structured summary of the key points covered in the Learning Unit.	Review this before assessments. If any point is unfamiliar, return to the relevant subtopic.
MCQs	Multiple Choice Questions testing conceptual understanding of the unit content.	Attempt independently before checking the Answer Key. Identify gaps and re-read the relevant sections.
Discussion Questions	Higher-order analytical questions aligned to the CLOs, suitable for tutorial discussion.	Prepare a structured response (250–400 words) before each tutorial. These mirror the style of CA1 and CA2 questions.
Online Resources	Curated links to free or freemium videos, tools, and websites that supplement the unit content.	Access these at your own pace. The YouTube links are especially useful for visual learners and for reviewing concepts before assessments.
Assignment Box	A formative exercise at the end of selected LUs to prepare you for summative assessments.	Not graded — but completing these exercises significantly improves your CA1 and CA2 submissions.

Each Learning Unit is designed to require approximately 7–9 hours of independent study, comprising reading, self-reflection, and MCQ/discussion preparation. Plan your study schedule using the 14-Week Course Schedule on the following page, and aim to complete each LU before the corresponding tutorial week.

Students are strongly encouraged to apply all concepts and frameworks to Sarawak and Malaysian business contexts wherever possible. If you have work experience, reflect on your own organisation. If you are a full-time student, use publicly available Sarawak SME case studies, the Sarawak Digital Economy Corporation (SDEC) website, or the Companies Commission of Malaysia (SSM) database to ground your analysis in real-world data.

14-WEEK COURSE SCHEDULE

The following schedule maps the Learning Units across the 14-week semester, including assessment milestones and indicative Student Learning Time (SLT) allocations. Total SLT for this course is 120 hours: 56 hours across the 8 LUs, 44 hours for CA1 and CA2 (22 hours each), and 20 hours for the Final Assignment.

Week	Learning Unit	Topic	Independent Study (hrs)	Assessment Milestones
1–2	LU1	Evolution, Concepts and Theories of Entrepreneurship Topic 1: Evolution, Concepts and Theories of Entrepreneurship	6	—
3–4	LU2	Ethics and Innovation Topic 2: Ethics and Innovation	6	—
5–6	LU3	Corporate Entrepreneurship Topic 3: Corporate Entrepreneurship	6	CA1 (Business Proposal) introduced — Week 5
7–8	LU4	Developing New Venture — Legal Requirements Topic 4: Developing New Venture — Legal Requirements	6	CA1 due — Week 8

9–10	LU5	Digital Entrepreneurship and Technology Adoption	7	CA2 (Reflection Case Study) introduced — Week 9
11–12	LU6	Scaling the Venture: Growth Strategies	7	—
13	LU7	Social Entrepreneurship and Sustainable Business	8	CA2 due — Week 13
14	LU8	Entrepreneurial Finance and Investor Readiness	8	Final Assignment introduced — Week 14
Post Week 14	Final Assignment	Self-directed study and submission	20 (self-study)	Final Assignment due — per examination timetable
	TOTAL		56 (LU content) + 44 (CA1 + CA2) + 20 (Final) = 120 hrs	

Note: Tutorial hours and scheduled contact sessions are organised by your programme coordinator and are separate from the SLT hours listed above. Please refer to your official timetable for tutorial session details.

TOPIC

1

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EVOLUTION, CONCEPTS AND THEORIES OF ENTREPRENEURSHIP

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Explain the historical evolution of entrepreneurship from traditional commerce to digital platforms**
- **Identify key characteristics and traits of successful entrepreneurs**
- **Describe the global entrepreneurship landscape and opportunities in Sarawak and Malaysia**
- **Apply entrepreneurial networking and persistence concepts to real-world scenarios**



LO Learning Objectives

By the end of this topic you should be able to:

- **Explain the evolution of entrepreneurship** and distinguish key theories and models that define entrepreneurial thinking.
- **Identify the personal characteristics and virtues** that differentiate successful entrepreneurs from managers.
- **Analyse entrepreneurial networking and persistence** as critical success factors in venture development.
- **Evaluate global entrepreneurial opportunities** with particular reference to the Sarawak digital economy.

KC Key Concepts and Definitions

Concept	Definition	Example / Notes
Entrepreneur	An individual who identifies opportunities, bears risk, and organises resources to create a venture.	<i>Sarawak-born tech founders like those behind Dagang Net exemplify entrepreneurial leadership.</i>
Entrepreneurial Opportunity	A market gap or unmet need that an entrepreneur can exploit for value creation.	<i>The rural digital divide in Sarawak represents an opportunity for fintech entrepreneurs.</i>
Risk Tolerance	An entrepreneur's willingness to accept uncertainty in pursuit of a business goal.	<i>Calculated risk distinguishes entrepreneurs from risk-averse managers.</i>
Innovation	The application of creative ideas to develop new products, processes, or business models.	<i>Sarawak's Cradle Fund supports startups that bring innovative solutions to local challenges.</i>
Entrepreneurial Networking	Building and leveraging a web of relationships for resources, advice, and market access.	<i>Connections through i-CATS alumni networks open doors for student entrepreneurs.</i>
Entrepreneurial Identity	A person's self-concept as an entrepreneur, shaping their motivations and decisions.	<i>Founder mindset vs. employee mindset — shaped by family background and experiences.</i>

1.1 Characteristics of Entrepreneurs

Entrepreneurship begins with the individual. While economic conditions, technology, and regulatory environments create or constrain opportunities, it is ultimately the entrepreneur — their personality, values, and behaviours — who transforms a market condition into a

functioning venture. Understanding what characterises entrepreneurs is therefore fundamental to understanding entrepreneurship itself.

The Big Five Personality Framework and Entrepreneurship

The Big Five (OCEAN) personality framework — Openness to Experience, Conscientiousness, Extraversion, Agreeableness, and Neuroticism — is one of the most widely used models for examining the personality correlates of entrepreneurial behaviour. Decades of empirical research consistently show that Openness to Experience is the most strongly associated with entrepreneurial intent and behaviour. Individuals high in Openness are intellectually curious, comfortable with ambiguity, and receptive to novel ideas — traits that directly support opportunity recognition, creative problem-solving, and the willingness to enter uncertain new ventures. Conscientiousness (organised, disciplined, goal-oriented) is strongly associated with venture survival and growth, as the operational demands of managing a business require sustained discipline. Extraversion supports networking and resource acquisition, while low Neuroticism (emotional stability) helps entrepreneurs manage the intense psychological stress of venture building.

Core Entrepreneurial Traits

Beyond the Big Five, entrepreneurship researchers have identified a cluster of specific traits that recur consistently across successful entrepreneurs globally and in the Malaysian context. Risk tolerance is perhaps the most commonly cited trait — not reckless risk-taking, but the ability to make calculated decisions under uncertainty, to commit resources before all information is available, and to accept the possibility of failure as a learning outcome rather than a final judgement. Closely related is a high internal locus of control — the belief that one's outcomes are primarily determined by one's own actions rather than external forces or luck. Entrepreneurs with strong internal locus of control take personal responsibility for both successes and failures, enabling a more adaptive and growth-oriented response to setbacks.

Innovativeness — the tendency to seek creative solutions, challenge conventional approaches, and explore new methods and markets — is a core differentiator between entrepreneurial and managerial orientations. Autonomy motivation (the desire to be one's own boss and direct one's own work) frequently ranks among the top reasons cited by Malaysian entrepreneurs for

starting businesses, particularly in the Sarawak context where many entrepreneurs from Iban, Bidayuh, and Chinese community backgrounds report a cultural preference for self-reliance and family business ownership over salaried employment.

Sarawak Context: The Digital Entrepreneur Profile

Sarawak's entrepreneurial landscape has undergone a remarkable transformation in the past decade, driven partly by the Sarawak Information Systems (SAINS) ecosystem, the Sarawak Multimedia Authority (SMA), and the Sarawak Digital Economy Corporation (SDEC). Young entrepreneurs from Kuching — many of them children of timber-era business families — are now building digital platforms, SaaS products, and e-commerce ventures that reflect classic entrepreneurial trait profiles: high openness to technological change, strong risk tolerance for digital ventures with low capital requirements, and powerful intrinsic motivation to create rather than inherit. The shift from the timber economy of the 1970s–1990s to the digital economy of the 2020s is itself an entrepreneurial story — requiring exactly the innovative and persistent traits that this unit examines.

1.2 The Global Opportunity

Entrepreneurship has never offered greater global opportunity than in the present moment. The convergence of digital technology, mobile internet penetration, cloud computing, artificial intelligence, and global e-commerce platforms has democratised market access in ways that would have been unimaginable to entrepreneurs of the 20th century. A pepper farmer in Serian, a crafts maker in Lundu, or a software developer in Kuching can today reach international buyers and customers without the capital-intensive distribution infrastructure that once made internationalisation the exclusive domain of large corporations.

The ASEAN Startup Ecosystem

Southeast Asia has emerged as one of the world's fastest-growing startup ecosystems. The ASEAN digital economy reached an estimated USD 218 billion in gross merchandise value in 2023 (Google, Temasek & Bain, 2023) and is projected to reach USD 600 billion by 2030. Singapore remains the regional hub for venture capital and startup formation, but Malaysia — and increasingly Sarawak — is building a competitive position. Malaysia's startup ecosystem

generated over 4,000 active startups as of 2024, with verticals concentrated in fintech, health tech, agri-tech, and e-commerce logistics. National programmes such as the National Entrepreneurship Policy (NEP) 2030, MDEC's Malaysia Digital initiative, and the Cradle Fund Sdn Bhd provide structural support for Malaysian entrepreneurs at every stage of development.

Malaysia's National Entrepreneurship Policy (NEP) 2030

Launched in 2019, the NEP 2030 is the Malaysian government's comprehensive framework for developing a dynamic, inclusive, and globally competitive entrepreneurial ecosystem. The policy identifies five strategic thrusts: (1) nurturing an entrepreneurial culture; (2) developing a competitive entrepreneurial ecosystem; (3) strengthening the enabling environment; (4) embedding social enterprise; and (5) catalysing innovative and technology-based entrepreneurship. For Sarawak entrepreneurs, the NEP 2030 unlocks access to federal funding channels including TEKUN Nasional micro-financing, MARA entrepreneurship development programmes, SME Corp Malaysia grant schemes, and the Bumiputera Entrepreneurs Programme. Critically, the NEP recognises the unique challenges of geographically dispersed states like Sarawak, with specific provisions for rural and digital entrepreneurship support.

Sarawak's Entrepreneurial Opportunity Landscape

The Sarawak Economic Development Corporation (SEDC) operates a suite of incubation, financing, and market development programmes specifically designed for Sarawak entrepreneurs. The SEDC's incubation programme has supported over 200 SMEs in agri-business, tourism, manufacturing, and digital services. Sarawak's unique economic geography — enormous natural resource wealth, a young and multicultural population, rapid urbanisation in Kuching and Miri, underdeveloped rural infrastructure creating addressable service gaps, and proximity to Brunei and Indonesian Kalimantan markets — creates a distinctive set of entrepreneurial opportunities that differ materially from those in Klang Valley. Entrepreneurs who understand this local context and can identify the specific problems experienced by Sarawak's communities — from last-mile logistics in the Baram river basin to digital financial services for the unbanked population of the interior — are well-positioned to build ventures with both social impact and commercial viability.

1.3 Entrepreneurial Networking

Entrepreneurial networking refers to the deliberate process of building and leveraging relationships to access resources, information, expertise, capital, and market opportunities that the entrepreneur cannot generate alone. Networking is not merely a social activity — it is a strategic capability that fundamentally shapes what ventures get founded, which ones survive, and how quickly they grow. Numerous longitudinal studies have demonstrated that an entrepreneur's network quality is a stronger predictor of venture survival than the entrepreneur's formal education level.

Strong Ties vs. Weak Ties

Sociologist Mark Granovetter's landmark work on "the strength of weak ties" (1973) established a foundational principle of entrepreneurial networking: counterintuitively, weak ties (acquaintances, professional contacts, distant connections) often provide more entrepreneurially valuable information and opportunity than strong ties (close friends and family). Strong ties tend to overlap — your close circle knows the same people you do and has access to the same information. Weak ties span across different social and professional circles, providing access to novel information, diverse perspectives, and non-overlapping opportunity sets. For entrepreneurs in Sarawak's tight-knit business communities, this means actively cultivating relationships beyond one's own ethnic group, industry, and city — connecting with entrepreneurs in Peninsular Malaysia, Singapore, and ASEAN more broadly to access information, capital, and partnership opportunities that local networks cannot provide.

Guanxi Networks in Sarawak's Chinese Business Community

Sarawak's Chinese community — comprising Hokkien, Foochow, Hakka, Cantonese, and Teochew dialect groups — has historically operated through dense Guanxi networks: relationship-based trust networks built on reciprocal obligations, personal loyalty, and long-term mutual benefit. Guanxi (關係) is more than networking — it is a system of social capital in which relationships carry moral obligations and long-term value that transcends individual transactions. Many of Sarawak's most established Chinese family businesses (in timber, property, banking, and now technology) have been built on Guanxi foundations: access to timber licences, construction contracts, and distribution networks was historically mediated

through relationship networks rather than open-market competition. For contemporary Sarawak entrepreneurs, understanding and appropriately leveraging Guanxi networks remains a significant competitive advantage — particularly in accessing introductions to established investors, government officials, and corporate buyers.

Iban Community Cooperative Networks and Digital Platforms

Sarawak's indigenous communities — particularly the Iban and Bidayuh — have their own networking traditions rooted in cooperative labour (bedurok in Iban), community governance through village councils (Majlis Mesyuarat Kampung), and the Gawai Dayak festival networks that maintain community bonds across the diaspora. Contemporary Sarawak social entrepreneurs are increasingly digitising these community networks through platforms such as e-Sarawak community portals and SME cooperative platforms, enabling collective marketing of indigenous handicrafts, eco-tourism packages, and agricultural produce. The Sarawak Craft Council (Kraftangan Sarawak) provides another formal networking infrastructure, connecting artisan entrepreneurs with buyers domestically and internationally through trade fairs, the Craft Cultural Complex in Kuching, and digital platforms.

1.4 Entrepreneurial Persistence

Entrepreneurial persistence is the behavioural tendency to continue pursuing a venture goal in the face of setbacks, obstacles, and uncertainty — rather than abandoning the venture or reverting to the original strategy when it fails to work. It is one of the most consistently cited characteristics of successful entrepreneurs across cultures and industries, and one of the most difficult to develop and sustain over time. Persistence is not stubbornness — it requires the wisdom to distinguish between persisting with a venture direction that needs iteration versus continuing to repeat a failed strategy in the hope of a different outcome.

The Psychological Foundations of Persistence

Entrepreneurial persistence draws on several psychological resources. Self-efficacy — the belief in one's own ability to execute the tasks required for venture success — is one of the most powerful predictors of persistence. Entrepreneurs with high self-efficacy interpret setbacks as performance feedback rather than evidence of fundamental incapacity, enabling a

constructive adaptive response. Passion for the venture domain also sustains persistence through the inevitable low points of venture building — entrepreneurs who are driven by genuine intrinsic motivation to solve a particular problem or build a particular product maintain effort intensity more reliably than those motivated primarily by financial reward. Angela Duckworth's concept of "grit" — the combination of passion and perseverance for long-term goals — has been widely applied in entrepreneurship research, consistently distinguishing entrepreneurs who persist through early failure from those who exit.

Sarawak Entrepreneur Case: Persisting Through Barriers

The story of Sarawak tech startups navigating regulatory and infrastructure barriers illustrates entrepreneurial persistence in a local context. Entrepreneurs building digital financial services (e-payment, micro-lending) for Sarawak's rural population have faced persistent challenges: Bank Negara Malaysia licensing requirements for fintech products, inconsistent broadband connectivity in interior divisions, low digital literacy among target users, and the commercial banking sector's historical reluctance to service the unbanked rural population. Those who persisted through these barriers — iterating their business models, securing government pilot partnerships, and building digital literacy programmes into their go-to-market strategy — have created ventures with genuine social and commercial value. Their persistence was not naive optimism but rather adaptive tenacity: maintaining commitment to the end goal while remaining flexible about the means.

COVID-19 and Malaysian SME Persistence

The COVID-19 pandemic of 2020–2022 provided perhaps the most dramatic real-world test of entrepreneurial persistence in Malaysian business history. Malaysian SMEs — which account for 97.2% of all businesses and 38.3% of GDP — faced simultaneous disruptions to supply chains, customer demand, and operating cash flows during the Movement Control Order (MCO) periods. Research conducted by SME Corp Malaysia in 2021 found that SMEs with higher levels of entrepreneurial orientation (a construct that includes persistence as a core component) were significantly more likely to pivot successfully to digital channels, reformulate their product-service mix, and survive the pandemic downturn. Sarawak food entrepreneurs pivoted to online delivery, handicraft producers moved to e-commerce, and Kuching tourism operators adapted to domestic tourism packages — all requiring sustained persistence through a deeply uncertain period with no clear end date.

1.5 Entrepreneurial Identity

Entrepreneurial identity refers to the way entrepreneurs define themselves — their sense of who they are as entrepreneurs, what motivates them, and what kind of venture they are building. Identity is not merely a psychological curiosity; it shapes strategic decision-making, networking behaviour, resource allocation, and the long-term vision an entrepreneur pursues. Understanding one's entrepreneurial identity is therefore both a self-awareness exercise and a strategic planning tool.

Fauchart and Gruber's (2011) Entrepreneurial Identity Framework

Fauchart and Gruber's influential 2011 study, published in the *Academy of Management Journal*, identified three distinct social identity types among entrepreneurs, based on their fundamental motivations and their relationship to the communities they serve. These three types — Darwinian, Communitarian, and Missionary — provide a powerful lens for understanding why different entrepreneurs in the same industry or geography make radically different strategic choices.

- Darwinian Entrepreneurs are primarily motivated by competitive market success, financial performance, and personal achievement. Their identity is rooted in the entrepreneur as economic actor — creating value by outcompeting rivals, building scalable business models, and generating wealth. They view customers primarily as a market to be served profitably. Example: A Kuching software developer who builds a B2B SaaS platform for Malaysian SME accounting, with a clear goal of achieving RM10 million ARR within five years and eventual exit to a strategic acquirer.
- Communitarian Entrepreneurs are motivated by creating benefits for a specific community — whether defined by geography, ethnicity, profession, or shared experience. Their identity is rooted in belonging to and serving a particular group. Example: A Bidayuh entrepreneur who establishes an eco-tourism cooperative in the Padawan hills, explicitly designed to create income for Bidayuh village communities

while preserving indigenous cultural heritage. Financial returns matter but are secondary to community impact.

- Missionary Entrepreneurs are motivated by advancing a cause, changing society, or solving a problem that affects humanity more broadly. Their identity is rooted in the venture as instrument of a higher purpose. Example: A Sarawak marine biologist who founds a social enterprise to address plastic pollution in Sarawak's rivers and coastal waters, developing biodegradable packaging products from Sarawak sago waste — driven primarily by environmental mission rather than financial returns.

In practice, many entrepreneurs blend elements of all three identities, but one typically dominates and shapes the fundamental strategic orientation of the venture. Understanding which identity drives you is important for making coherent decisions about target markets, pricing strategy, investor selection, and the trade-offs between growth, profit, and impact that all ventures eventually confront. Eco-tourism entrepreneurs in Sarawak provide a particularly rich context for identity analysis, as ventures in this space routinely navigate the tension between Darwinian imperatives (financial sustainability) and Communitarian/Missionary motivations (indigenous community benefit and environmental preservation).

1.6 The Entrepreneurial Virtues

Virtue ethics — rooted in Aristotle's concept of eudaimonia (human flourishing through the practice of virtuous character) — holds that ethical behaviour emerges not primarily from following rules or calculating consequences, but from cultivating virtuous character traits that guide behaviour consistently across situations. For entrepreneurs, this tradition suggests that sustainable business success requires not merely technical skill and strategic insight, but the cultivation of a set of core virtues that create trust, build durable relationships, and earn the legitimacy that allows ventures to grow over the long term.

Core Entrepreneurial Virtues

- Honesty and Integrity: The willingness to represent one's venture, capabilities, and products accurately — to investors, customers, employees, and regulators — even when

misrepresentation would be commercially advantageous in the short term. Entrepreneurs who build reputations for integrity attract better-quality investors, employees, and partners. In Sarawak's business community, where personal reputation is heavily mediated by community networks and word-of-mouth, integrity failures are rapidly transmitted and can permanently damage an entrepreneur's ability to access capital and partnerships.

- **Courage:** The willingness to take calculated risks, enter uncertain markets, challenge established incumbents, and persist through adversity — despite the real possibility of failure, financial loss, or social disapproval. Entrepreneurial courage is not recklessness; it is courage informed by careful analysis and bounded by prudence.
- **Justice and Fairness:** Treating all stakeholders — employees, suppliers, customers, and the community — equitably and transparently. In the Malaysian context, justice includes fair treatment of employees from all ethnic backgrounds, equitable revenue sharing with suppliers and partners, and honest representation in marketing and advertising.
- **Prudence (Practical Wisdom):** The capacity to make sound judgements in complex and uncertain situations — balancing competing considerations, taking a long-term perspective, and avoiding the short-term thinking that leads to ethical lapses and strategic errors. Prudence is Aristotle's *phronesis*: the master virtue that guides the application of all others.

Islamic Business Ethics in Sarawak

For Muslim entrepreneurs in Sarawak — who constitute a significant portion of the Malay and Melanau business communities — entrepreneurial virtues are grounded in Islamic business ethics (*akhlaq perniagaan Islam*). Core principles include *Amanah* (trustworthiness and reliability in all dealings), *Siddiq* (truthfulness in business representation), *Tabligh* (transparency and clear communication with stakeholders), and *Fatanah* (intelligence and competence in managing business affairs). These principles are not merely spiritual guidance; they are operationalised through halal certification requirements, Syariah-compliant financing structures, and the *amanah* governance of family businesses. The convergence of Aristotelian

virtue ethics and Islamic business ethics — both emphasising character, trust, and long-term stakeholder relationships over short-term profit maximisation — provides a robust ethical foundation for entrepreneurship in Sarawak's multicultural business environment.

SUMMARY

Managerial Insight: Sarawak's Entrepreneurship Ecosystem

The Sarawak Digital Economy Corporation (SDEC) and Sarawak Multimedia Authority (SMA) have positioned Sarawak as East Malaysia's digital hub. Entrepreneurs can access co-working spaces like Common Ground Kuching, incubators like the Digital Free Trade Zone Sarawak, and funding through TEKUN Nasional and Bank Rakyat SME schemes. SDEC's StartSarawak initiative provides pre-seed grants, mentoring, and market development support for technology-based startups, while the Sarawak Digital Economy Blueprint 2030 sets a strategic framework for ecosystem development through to the end of this decade. This ecosystem — combined with Sarawak's unique geographic, cultural, and natural resource advantages — creates a distinctive opportunity environment for entrepreneurs who are willing to look beyond the Kuala Lumpur startup scene and build ventures rooted in Sarawak's specific strengths and challenges.

Self-Reflection



1. Reflect on a Sarawak or Malaysian entrepreneur you admire. What entrepreneurial traits do they demonstrate? How do their characteristics align with the entrepreneurial virtues described in this unit? Consider how their personal identity (Darwinian, Communitarian, or Missionary) has shaped their strategic choices and the venture they have built.

SUMMARY

Entrepreneurship is grounded in individual traits and character. Openness to Experience, conscientiousness, risk tolerance, internal locus of control, innovativeness, and autonomy motivation are the core entrepreneurial characteristics consistently identified across research traditions.

The global entrepreneurial opportunity landscape has been transformed by digital technology. ASEAN's USD 218 billion digital economy and Malaysia's NEP 2030 create structural support for entrepreneurship at national and regional levels.

Sarawak offers a distinctive entrepreneurial environment shaped by its natural resources, cultural diversity, geographic challenges, and the SDEC-led digital economy development agenda.

Entrepreneurial networking — building and leveraging relationships across strong and weak ties — is a strategic capability. Guanxi networks, indigenous cooperative traditions, and digital platforms all provide networking infrastructure for Sarawak entrepreneurs.

Entrepreneurial persistence — the sustained pursuit of venture goals through setbacks — is a core determinant of venture survival. Adaptive tenacity, rather than rigid repetition, characterises effective persistence.

Fauchart and Gruber's (2011) identity framework — Darwinian, Communitarian, and Missionary — provides a powerful lens for understanding entrepreneurial motivation and strategic orientation.

Entrepreneurial virtues — honesty, courage, justice, and prudence — provide the character foundation for sustainable venture building, supported in the Sarawak context by both virtue ethics and Islamic business ethics traditions.

Multiple Choice Questions (MCQS):

1. Which Big Five personality trait is most strongly associated with entrepreneurial behaviour?

- A) Agreeableness
- B) Conscientiousness
- C) Openness to Experience — ANSWER
- D) Neuroticism

2. The Sarawak Digital Economy Corporation (SDEC) was established primarily to:

- A) Regulate oil and gas exploration
- B) Drive digital economy growth in Sarawak — ANSWER
- C) Manage Sarawak's tourism industry
- D) Oversee federal education policy

3. Entrepreneurial networking refers to:

- A) Using social media for personal branding
- B) Building and leveraging relationships to access resources, information, and opportunities — ANSWER
- C) Developing digital marketing skills
- D) Registering a business with SSM

4. Which of the following best describes entrepreneurial persistence?

- A) Repeating the same strategy regardless of results
- B) Continuing to pursue a venture goal in the face of setbacks and uncertainty — ANSWER
- C) Waiting for ideal market conditions before launching
- D) Hiring experienced managers to run operations

5. Fauchart and Gruber's (2011) entrepreneurial identity framework includes which three types?

- A) Visionary, Pragmatist, Traditionalist

B) Darwinian, Communitarian, Missionary — ANSWER

C) Pioneer, Follower, Disruptor

D) Local, National, Global

6. The concept of 'Guanxi' is most relevant to which entrepreneurial behaviour?

A) Financial planning

B) Legal compliance

C) Relationship-based networking — ANSWER

D) Technology adoption

7. Malaysia's National Entrepreneurship Policy (NEP) 2030 aims to:

A) Nationalise all private businesses

B) Create a dynamic entrepreneurial ecosystem to drive economic growth —
ANSWER

C) Replace all SMEs with large corporations

D) Focus only on agricultural entrepreneurship

Questions for Discussion

1. Using examples from Sarawak or East Malaysia, evaluate how the local business environment — including cultural diversity, geographic challenges, and digital infrastructure development — shapes the entrepreneurial identity and networking strategies of local entrepreneurs. (CLO1)
2. Compare and contrast Fauchart and Gruber's three entrepreneurial identity types using real or hypothetical Sarawak business examples. How might a Communitarian entrepreneur and a Darwinian entrepreneur approach the same business opportunity in the Sarawak eco-tourism sector differently? (CLO1)
3. Critically evaluate the claim that entrepreneurial traits are innate and cannot be developed through education or experience. Draw on the Big Five framework and at least one Malaysian or Sarawak example to support your argument. (CLO1)

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4. **Sarawak Digital Economy Corporation (SDEC)** (2023). *Sarawak Digital Economy Blueprint 2030: Progress Report* (Annual Report). SDEC, Kuching.
5. **Ministry of Entrepreneur Development and Cooperatives Malaysia** (2019). *National Entrepreneurship Policy 2030* (1st ed.). MEDAC, Putrajaya.
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Formative Exercise: Entrepreneurial Traits Self-Assessment

SUMMARY

Assignment: Complete an online entrepreneurial traits assessment (e.g., using DISC, Big Five personality tools, or the Entrepreneurial Self-Efficacy Scale available via the resources below) and write a 300-word reflection on how your profile aligns with the characteristics described in LU1. Specifically: (a) identify your two strongest entrepreneurial traits; (b) identify one trait you believe requires development; and (c) describe one concrete step you will take to develop that trait during this programme.

This is a formative exercise — not graded. It is preparation for the self-reflective component of CA2: Reflection Case Study Analysis.

Online Learning Resources

The following resources supplement your study of LU1. All are free or freemium.

TED Talk: "The single biggest reason why start-ups succeed" — Bill Gross (YouTube, free)

<https://www.youtube.com/watch?v=bNpx7gpSqbY>

Sarawak Entrepreneur Development Programme (SEDP) Portal — SEDC (Free, Sarawak Government)

<https://www.sedc.com.my>

Malaysia SME Portal — Business Setup Guide (Free, Malaysian context)

<https://www.smeinfo.com.my>

Kuratko (2023) Entrepreneurship — Cengage Companion Resources (Freemium)

<https://www.cengage.com/c/entrepreneurship-12e-kuratko>

END OF TOPIC

TOPIC

2



ETHICS AND INNOVATION

*Lecturers: Dr Nur Suriyanti Binti Gadiman; Muhammad
Nor Shafiee Ibrahim*

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Define business ethics and explain its importance in entrepreneurship**
- **Identify key stakeholders and ethical responsibilities of entrepreneurs**
- **Apply ethical frameworks to business decision-making in Malaysian and Sarawak contexts**
- **Evaluate social responsibility practices in the Sarawak business environment**



LO Learning Objectives

By the end of this topic you should be able to:

- **Apply key ethical frameworks** to business decision-making situations involving competing stakeholder interests.
- **Distinguish between three levels of ethical standards** and evaluate management styles through an ethical lens.
- **Assess a company's social responsibilities** to employees, customers, and the natural environment.
- **Design ethical standards and governance mechanisms** that support sustainable and responsible business conduct.

KC Key Concepts and Definitions

Concept	Definition	Example / Notes
Business Ethics	A set of moral principles that guide business behaviour and decision-making.	<i>A Sarawak timber company choosing sustainable logging practices over profit maximisation.</i>
Stakeholder Theory	The view that businesses have obligations to all parties affected by their actions.	<i>Stakeholders include employees, customers, communities, suppliers, and the environment.</i>
Corporate Social Responsibility	A company's commitment to ethical, social, and environmentally responsible operations.	<i>i-CATS' community programmes in rural Sarawak reflect CSR in higher education.</i>
Ethical Framework	A structured approach to evaluating the moral dimensions of business decisions.	<i>Utilitarian, deontological, and virtue ethics frameworks applied to CSR dilemmas.</i>
Social Responsibility	An entrepreneur's obligation to act in ways that benefit society beyond profit generation.	<i>Deploying fintech solutions to improve financial inclusion for B40 communities.</i>
Sustainability	Meeting present needs without compromising future generations' ability to meet theirs.	<i>Sarawak's Green Economy Blueprint encourages sustainable business practices.</i>

2.1 Business Ethics

Business ethics is the application of moral principles, values, and standards to business decisions, relationships, and practices. It encompasses the norms and expectations that guide how entrepreneurs and organisations interact with employees, customers, suppliers, investors, communities, and the natural environment. Business ethics is not simply about legal

compliance — the law sets a minimum floor of acceptable conduct, but ethical business behaviour frequently requires going beyond legal requirements to meet higher standards of fairness, honesty, and responsibility.

The distinction between legal and ethical is critically important for entrepreneurs. Many business practices that are technically legal are nonetheless unethical — misleading advertising that does not technically constitute fraud, labour conditions that meet minimum wage requirements but exploit vulnerable workers, or environmental practices that comply with regulations but cause significant community harm. Conversely, some actions may be illegal but are widely regarded as ethically defensible. The entrepreneur's ethical compass must therefore operate independently of, and in many cases more demanding than, the legal minimum.

Why Business Ethics Matters for Entrepreneurs

- **Reputation capital:** In the era of social media and review platforms, unethical behaviour is rapidly exposed and amplified. A single ethics scandal can permanently damage a brand that took years to build.
- **Investor and partner trust:** Sophisticated investors and corporate partners conduct ethical due diligence as part of their investment or partnership process. Ethical lapses at the startup stage disqualify ventures from premium funding and partnership opportunities.
- **Regulatory risk:** In Malaysia, the MACC (Malaysian Anti-Corruption Commission) Corporate Integrity Pledge and the new Corporate Liability provision under Section 17A of the MACC Act 2009 create direct legal exposure for businesses that do not maintain and demonstrate adequate ethical governance procedures.
- **Employee attraction and retention:** Talented employees — particularly the younger Gen Z and Millennial workforce — actively seek employers with ethical practices and values-aligned cultures. Ethical entrepreneurship is therefore a talent strategy, not merely a moral position.

Sarawak Context: PETROS Ethical Governance

Petroleum Sarawak Berhad (PETROS), established in 2017 after the Sarawak government's landmark assertion of its rights over onshore oil and gas under the Oil Mining Ordinance 1958,

has built its operational framework around explicit ethical governance standards. As a government-linked company (GLC) managing Sarawak's energy resources on behalf of the state, PETROS operates under the Sarawak Government's integrity framework, which requires transparent procurement, competitive tendering, anti-corruption compliance, and community impact assessment for all field operations. Hock Seng Lee (HSL) Berhad, a Kuching-based infrastructure contractor listed on Bursa Malaysia, provides another example of how established Sarawak businesses embed ethical standards into their governance structures — with published code of conduct, anti-bribery policies, and whistleblower protection mechanisms that go beyond the statutory minimum.

2.2 Key Stakeholders

Stakeholder theory, developed by R. Edward Freeman in his 1984 work *Strategic Management: A Stakeholder Approach*, holds that businesses have ethical obligations not merely to shareholders but to all parties who are affected by or can affect the achievement of the organisation's objectives. This broader conception of corporate accountability is particularly important for entrepreneurs, whose ventures often operate within close-knit communities where the distinction between business impacts and community impacts is blurred.

Primary Stakeholders

Primary stakeholders are those with a direct economic relationship with the business: shareholders and investors (who provide capital), employees (who provide labour and expertise), customers (who generate revenue), and suppliers (who provide inputs). Primary stakeholders have the most immediate and tangible stake in the business's performance and ethical conduct. For Sarawak entrepreneurs, primary stakeholder management often includes specific cultural dimensions — managing family investor relationships in Chinese family businesses, for example, or navigating the expectations of government-linked investors in Bumiputera enterprise programmes.

Secondary Stakeholders

Secondary stakeholders do not have a direct economic relationship with the business but are nonetheless affected by its operations: local communities, government regulators,

environmental groups, media, and the general public. For businesses operating in Sarawak's resource-rich environment, secondary stakeholders — particularly indigenous communities whose land and livelihoods may be affected by business operations — are a critical stakeholder group that requires careful ethical management. The failure of some Sarawak natural resource companies to adequately engage indigenous communities as stakeholders has led to prolonged legal disputes, international media attention, and significant reputational damage.

Stakeholder Type	Examples	Primary Interests	Ethical Obligations
Primary — Internal	Shareholders, employees	Returns, fair compensation, safety, development	Fair pay, safe conditions, transparent reporting, honest communication
Primary — External	Customers, suppliers	Quality products, fair pricing, reliable contracts	Honest marketing, fair contracts, timely payment
Secondary — Community	Indigenous communities, local residents	Environmental quality, employment, cultural preservation	Community consultation, benefit sharing, minimising harm
Secondary — Regulatory	MACC, SSM, DOE, BNM	Legal compliance, market integrity	Transparency, compliance, no corruption
Secondary — Media/Public	Press, NGOs, public	Accountability, transparency, public interest	Honest disclosure, no deception, responsive to legitimate concerns

2.3 Three Levels of Ethical Standards

Ethical standards in business operate at three distinct levels, each building on the one below. Understanding these levels helps entrepreneurs identify the specific ethical requirements

applicable to their ventures and the standards to which they should aspire beyond mere compliance.

Level 1: Legal Standards

Legal standards represent the minimum acceptable level of business conduct as defined by legislation, regulation, and court interpretation. In Malaysia, relevant legislation includes the Companies Act 2016, the Consumer Protection Act 1999, the Employment Act 1955, the Environmental Quality Act 1974, the Personal Data Protection Act 2010, and the MACC Act 2009. Compliance with all applicable legal standards is the absolute minimum ethical requirement — businesses that fall below this level face criminal prosecution, regulatory sanctions, civil liability, and reputational damage. However, legal compliance alone does not constitute ethical behaviour; it merely avoids illegality.

Level 2: Organisational/Professional Standards

Organisational ethical standards are the internal codes of conduct, policies, and professional norms that a business voluntarily adopts above the legal minimum. These may include a published Code of Ethics, anti-bribery and anti-corruption policies, conflict of interest disclosure procedures, data privacy standards exceeding PDPA requirements, and supplier ethical sourcing policies. Professional associations — such as the Malaysian Institute of Management (MIM), the Malaysian Institute of Accountants (MIA), or sector-specific bodies — set professional standards that members are expected to uphold. Entrepreneurs who operate within professional service sectors (consulting, accounting, legal, engineering) face both legal and professional ethical obligations.

Level 3: Personal/Societal Standards

The highest level of ethical standards reflects personal moral values, community expectations, and broader societal norms about what constitutes good and responsible business behaviour. These standards go beyond what any external authority requires, reflecting the entrepreneur's own character and values. Actions at this level include proactive community investment, environmental stewardship beyond regulatory requirements, radical transparency with stakeholders, and the willingness to forego profitable but ethically questionable opportunities. The Sarawak entrepreneurs who voluntarily adopt Fair Trade certification for their pepper and

cocoa products — without any regulatory requirement to do so — are operating at this third level of ethical standards.

2.4 An Ethical Framework

An ethical framework provides a structured approach to moral reasoning — a systematic method for analysing ethical dilemmas, identifying the relevant considerations, and reaching a defensible decision. Entrepreneurs who develop a coherent ethical framework make more consistent, transparent, and justifiable decisions across the wide range of ethically complex situations they will encounter in venture building. Three major ethical frameworks are most relevant to business decision-making.

Consequentialism (Utilitarianism)

Consequentialist ethics — most fully developed by Jeremy Bentham and John Stuart Mill — holds that the moral worth of an action is determined entirely by its consequences. The "right" action is the one that produces the greatest good for the greatest number of people. In business, this often translates to a cost-benefit analysis of the impacts of a decision on all affected stakeholders. The strength of consequentialist reasoning is its practical, outcome-focused orientation; its weakness is that it can justify violating individual rights if the aggregate benefit is sufficiently large — a problem that becomes acute in decisions affecting indigenous communities or minority stakeholder groups.

Deontological Ethics (Rule-Based)

Deontological ethics — most fully articulated by Immanuel Kant — holds that certain actions are inherently right or wrong, regardless of their consequences. Kant's Categorical Imperative provides two key tests: (1) Would you be willing for your action to become a universal rule that everyone follows? (2) Does your action treat all affected persons as ends in themselves, rather than merely as means to your own ends? Deontological reasoning is powerful for establishing inviolable ethical boundaries — actions that will not be taken regardless of their potential benefits, such as paying bribes, falsifying product certifications, or deliberately deceiving customers about product defects.

Virtue Ethics (Character-Based)

Virtue ethics, discussed in LU1.6, focuses on the character of the decision-maker rather than the rules or consequences of specific actions. The question is not "what should I do in this situation?" but "what would a person of virtuous character do?" This approach is particularly valuable in novel situations where rules are unclear and consequences are uncertain — exactly the kind of situations entrepreneurs routinely face. A practical application of virtue ethics is the "headline test": would you be comfortable if your decision and its rationale were reported on the front page of tomorrow's Borneo Post? If not, reconsider.

2.5 Three Styles of Management

Archie Carroll's influential framework distinguishes three management styles based on their orientation toward ethical standards. Understanding these styles helps entrepreneurs reflect on their own ethical orientations and identify what type of organisational culture they are building.

Immoral Management

Immoral managers actively violate ethical standards in pursuit of personal or organisational gain. Their decision-making is driven entirely by self-interest or profit maximisation, with no regard for the impact on others. Ethical constraints are seen as obstacles to be circumvented rather than legitimate obligations. Examples include deliberately falsifying financial statements, manipulating product safety test data, or bribing officials to secure contracts. In Sarawak's business history, episodes of timber licence corruption and illegal logging illustrate the consequences of immoral management — not just for direct victims but for the industry's long-term legitimacy and international market access.

Amoral Management

Amoral managers do not actively seek to violate ethical standards but also do not integrate ethical considerations into their decision-making. There are two sub-types: intentional amoral management (where the manager deliberately separates business decisions from moral considerations, viewing ethics as a personal domain irrelevant to business) and unintentional

amoral management (where the manager simply lacks awareness of the ethical dimensions of their decisions). Unintentional amoral management is extremely common in startup environments, where the pace of growth outstrips the development of ethical governance processes — leading to inadvertent violations of labour laws, data privacy regulations, or consumer protection requirements.

Moral Management

Moral managers proactively integrate ethical standards into all business decisions. They view profitability and ethical conduct not as competing objectives but as complementary long-term requirements for sustainable business success. Moral management goes beyond compliance: moral managers seek fair outcomes for all stakeholders, maintain honesty even when it is commercially disadvantageous, and actively use their business as a vehicle for positive social impact. In the Sarawak context, moral management is exemplified by SMEs that voluntarily adopt community benefit programmes, environmental management systems, and transparent supplier payment terms — not because they are required to, but because they believe it is the right way to conduct business.

2.6 The Benefits of Moral Management

A persistent myth in business education is that ethical conduct comes at a cost to profitability — that moral managers must sacrifice competitive performance to maintain their ethical standards. Contemporary business research strongly refutes this view. The evidence consistently shows that moral management — properly implemented and embedded in organisational culture — creates sustainable competitive advantages that more than offset the short-term costs of ethical conduct.

- **Enhanced Reputation and Brand Premium:** Ethical businesses build reputations that attract premium pricing power, higher-quality employees, and more loyal customers. Consumer research consistently shows that Malaysian consumers — particularly urban, educated segments — are willing to pay a premium for products and services from businesses they perceive as ethical and socially responsible.

- **Reduced Regulatory Risk and Compliance Costs:** Businesses with strong ethical cultures proactively identify and address compliance risks before they become regulatory violations. The legal costs of defending against corruption investigations, consumer protection lawsuits, or employment tribunal cases are vastly greater than the investment required to prevent them.
- **Superior Employee Engagement and Retention:** Research across Malaysian organisations shows that employees in businesses with strong ethical cultures report higher job satisfaction, lower turnover intent, and higher discretionary effort. For startups, where talent retention is a critical constraint, ethical culture is a powerful but underutilised retention strategy.
- **Investor Confidence and Access to Impact Capital:** ESG (Environmental, Social, and Governance) investing is growing rapidly in Malaysia, with Bank Negara Malaysia and the Securities Commission actively promoting ESG adoption. Businesses with demonstrable ethical governance are better positioned to access ESG-oriented capital, impact investors, and development finance institutions such as the Asian Development Bank.
- **Long-term Stakeholder Relationships:** The most durable competitive advantages in business — particularly in Sarawak's relationship-intensive business culture — are built on trust. Moral management is fundamentally a trust-building strategy that creates stakeholder relationships robust enough to survive temporary difficulties and competitive pressures.

2.7 Why Ethical Lapses Occur

Understanding why ethical lapses occur — even among individuals and organisations with good intentions — is essential for designing ethical governance systems that are robust to human fallibility. Research in behavioural ethics has identified several systematic cognitive and social processes that lead intelligent, well-intentioned people to make ethically problematic decisions.

Ethical Blindness and Bounded Ethicality

Max Bazerman and Ann Tenbrunsel's concept of "bounded ethicality" holds that people's ethical decision-making capacity is systematically limited by cognitive biases, motivated reasoning, and social pressures. Ethical blindness occurs when decision-makers fail to recognise the moral dimensions of a situation — not because they are immoral but because the pressure of commercial objectives narrows their cognitive focus. Startup environments are particularly prone to this — the intense focus on growth metrics, investor demands, and competitive pressures can crowd out the moral reasoning bandwidth needed to notice and address ethical issues as they emerge.

Obedience to Authority and Diffusion of Responsibility

Stanley Milgram's classic obedience studies demonstrated that ordinary people will engage in harmful behaviour when directed to do so by an authority figure. In business contexts, this manifests as employees following unethical instructions from senior managers without challenge — rationalised as "just following orders" or "that's the company's decision, not mine." Similarly, diffusion of responsibility in team and organisational settings means that when everyone is nominally responsible for an ethical outcome, no one takes personal ownership — creating conditions for ethical standards to erode gradually without any single dramatic violation.

Rationalisation Mechanisms

Humans are skilled at constructing rationalisations for ethically problematic behaviours. Common rationalisations in business include: "Everyone in the industry does it"; "It's not technically illegal"; "The customer didn't ask, so I wasn't obliged to disclose"; "We needed this contract to protect the jobs of 50 employees"; and "We will more than compensate for it once we are profitable." Understanding these rationalisations is the first step to recognising and resisting them. Entrepreneurs who build awareness of rationalisation patterns into their ethical training programmes create organisations more capable of catching ethical slippage before it becomes systemic.

2.8 Establishing Ethical Standards

Establishing ethical standards in a venture requires more than the founder's personal values — it requires the development of concrete, documented systems that communicate ethical expectations, provide guidance for ethical decision-making, and create accountability for ethical conduct throughout the organisation. Ethical standards established at the founding stage of a venture have the greatest influence on organisational culture, because culture is most malleable during the period when organisational norms are still forming.

Code of Ethics / Code of Conduct

A written Code of Ethics (or Code of Conduct) is the foundational document of organisational ethics governance. It articulates the venture's core values, identifies the ethical standards expected of all members of the organisation, provides guidance for ethically complex situations, and specifies the consequences of violations. For Malaysian businesses, the MACC's Corporate Integrity System Malaysia (CISM) provides a template and self-assessment tool for developing and implementing a code that meets the requirements of Section 17A of the MACC Act. A well-designed code is not a bureaucratic compliance document — it is a living cultural artefact that reflects the organisation's genuine values and is actively used by managers and employees in their daily decision-making.

Ethics Training and Communication

A code of ethics has no operational value unless it is actively communicated, trained, and reinforced throughout the organisation. Ethics training should be integrated into the onboarding process for all new hires, supplemented with periodic refresher training that uses realistic case scenarios drawn from the venture's industry and operational context. Role-playing exercises using ethically complex Sarawak business scenarios — such as how to respond when a government procurement officer suggests an informal payment to expedite a contract — are more effective than abstract ethical principles in developing the practical ethical reasoning skills employees need.

2.9 Maintaining Ethical Standards

Establishing ethical standards is necessary but insufficient — the harder challenge is maintaining those standards consistently over time, particularly during periods of rapid growth,

competitive pressure, or financial difficulty. Ethical culture erosion is a real phenomenon: organisations that start with strong ethical values can gradually drift toward ethical compromise if the governance systems that sustain ethical standards are not actively maintained and reinforced.

Leadership as Ethical Role Model

The single most powerful determinant of organisational ethical culture is the ethical behaviour of senior leadership — especially the founders. Research consistently shows that employees take their cues from what leaders do, not what they say. An entrepreneur who publicly champions ethical values but privately authorises corner-cutting in procurement processes creates a powerful implicit message that ethical standards are performative rather than genuine. Conversely, an entrepreneur who visibly and consistently models ethical behaviour — including accepting short-term commercial costs to maintain ethical standards — creates a culture in which ethical conduct is understood as genuinely non-negotiable.

Whistleblower Protection

Effective ethical governance requires mechanisms that enable employees to report ethical concerns without fear of retaliation. Malaysia's Whistleblower Protection Act 2010 provides legal protection for persons who disclose improper conduct to an enforcement agency. For internal governance, best-practice ventures establish anonymous reporting channels (ethics hotlines or digital reporting platforms), a clear process for investigating reports, and explicit non-retaliation policies. The existence of these mechanisms sends a powerful cultural signal: that the organisation takes ethical concerns seriously and values employees who raise them, regardless of seniority or commercial implications.

2.10 Social Responsibility

Corporate Social Responsibility (CSR) refers to a business's voluntary commitment to conduct its operations in a way that is economically viable, legally compliant, ethically sound, and beneficial to society — going beyond the legal minimum to contribute positively to the communities and environments in which it operates. For entrepreneurial ventures, CSR is not

merely the domain of large corporations — small and medium enterprises can and should integrate social responsibility into their business models from the outset.

Carroll's CSR Pyramid

Archie Carroll's CSR Pyramid (1991) organises the four components of social responsibility in hierarchical order: Economic Responsibility (the foundation — businesses must be profitable to be sustainable), Legal Responsibility (compliance with all applicable laws), Ethical Responsibility (acting in accordance with societal moral norms beyond legal requirements), and Philanthropic Responsibility (voluntary contributions to social welfare through charitable giving, community investment, and voluntary service). Carroll's framework usefully distinguishes between the obligatory components (economic and legal) and the aspirational ones (ethical and philanthropic). Contemporary CSR thinking has moved toward a more integrated model in which social and environmental performance is embedded in the core business model rather than treated as a separate philanthropic activity.

CSR in the Sarawak SME Context

Sarawak SMEs face a distinctive CSR context shaped by the state's unique combination of rich natural resources, indigenous community presence, and rapid digital economy development. Leading Sarawak companies have responded to this context in different ways. Hock Seng Lee (HSL) Berhad, one of Sarawak's largest construction companies, publishes an annual sustainability report addressing community employment, environmental management, and supply chain ethics. Smaller Sarawak SMEs typically engage in more informal CSR — contributing to community events, providing employment for local graduates, and participating in Sarawak government-led community development programmes under the SEDC and the Amanah Saham Sarawak framework.

2.11 Responsibility to the Environment

Environmental responsibility has become one of the most significant ethical challenges facing Sarawak businesses, given the state's extraordinary biodiversity — Sarawak is home to approximately 8,000 species of flowering plants, 185 species of mammals, and the second largest intact rainforest in the world after the Amazon basin. The business activities that drive

Sarawak's economy — palm oil cultivation, timber harvesting, hydroelectric power development, and mining — all carry significant environmental impacts that require careful ethical management.

Palm Oil and Environmental Ethics

Sarawak's palm oil industry, which covers over 1.5 million hectares, has faced sustained international scrutiny over deforestation, peatland destruction, and habitat loss for endangered species including the Bornean Orang-utan, Pygmy Elephant, and Proboscis Monkey. Leading Sarawak palm oil companies have responded to this scrutiny in different ways. Some, such as Samling Group, have pursued FSC (Forest Stewardship Council) certification for their timber operations and RSPO (Roundtable on Sustainable Palm Oil) certification for their plantations, establishing community benefit programmes and engaging with international conservation NGOs as part of their sustainability strategy. Others have been slower to adopt these standards, reflecting the cost and complexity of certification for smaller operators. The key ethical lesson from the Sarawak palm oil experience is that environmental responsibility is not merely a moral obligation — it is a market access requirement. European import regulations (particularly the EU Deforestation Regulation, effective from 2025) increasingly require proof of deforestation-free supply chains as a condition of market entry.

Sarawak Energy and Community Displacement

The Sarawak Corridor of Renewable Energy (SCORE) programme, which includes the Murum and Baram hydroelectric dam projects, raises complex ethical questions about the trade-off between clean energy development and the rights of indigenous communities. The displacement of Penan, Kenyah, and Kayan communities from ancestral lands for the Murum dam generated significant domestic and international controversy, ultimately resulting in enhanced resettlement packages and community benefit sharing agreements. For business students, the SCORE experience illustrates the multi-stakeholder complexity of large-scale development projects and the ethical frameworks — free, prior and informed consent (FPIC) under the UN Declaration on the Rights of Indigenous Peoples — that responsible businesses must navigate when operating in areas with indigenous community presence.

2.12 Responsibility to Employees

Responsibility to employees encompasses the full range of obligations an employer has to the people who work for their venture — encompassing legal compliance with employment law, but extending well beyond the statutory minimum to include fair treatment, development opportunities, psychological safety, and respect for human dignity. For Sarawak entrepreneurs, employee responsibility has distinctive dimensions shaped by the state's multicultural workforce, significant migrant worker presence, and geographic dispersion of business operations.

Ethical Employment Practices Under Malaysian Law

Malaysia's Employment Act 1955 and its 2022 amendments set minimum legal standards for working hours (maximum 45 hours per week), minimum wages (RM1,500/month nationally as of 2023), annual and sick leave entitlements, and termination procedures. The Industrial Relations Act 1967 governs collective bargaining and dispute resolution. For entrepreneurs, compliance with these requirements is the ethical floor — but forward-thinking entrepreneurs invest in fair employment practices that go beyond the minimum: structured career development programmes, transparent performance management, fair pay equity reviews, and genuine equal opportunity irrespective of ethnicity, gender, or religion.

Migrant Worker Ethics in Sarawak

Sarawak's construction, agriculture, and plantation industries rely heavily on migrant workers — primarily from Indonesia, the Philippines, Nepal, and Bangladesh. The ethical treatment of migrant workers is one of the most significant and challenging labour ethics issues facing Sarawak businesses. Key ethical risks include debt bondage arising from recruitment fees, wage theft through illegal deductions, inadequate living conditions, passport confiscation, and barriers to accessing legal remedies. These practices — which may not constitute violations of Malaysian law in all cases — are increasingly scrutinised by international buyers, export market regulators, and financial institutions under human rights due diligence frameworks. Sarawak entrepreneurs who depend on migrant labour must build supply chain labour standards into their ethical governance frameworks to protect both their workers and their market access.

2.13 Responsibility to Customers

Responsibility to customers encompasses the ethical obligations entrepreneurs have to the people who purchase their products and services — ensuring that customers receive what they are promised, that marketing is honest, that products are safe, and that customer data is handled with appropriate care and respect. In the digital economy, customer responsibility has expanded to include data privacy, algorithmic fairness, and the ethical implications of personalisation and targeted advertising.

Consumer Protection in Malaysia

The Consumer Protection Act 1999 (CPA) provides the primary legal framework for consumer rights in Malaysia, covering guarantees of product quality and fitness for purpose, prohibitions on misleading and deceptive conduct, and remedies for defective products. The Ministry of Domestic Trade and Cost of Living (MDTCC) enforces consumer protection standards, with particular focus on e-commerce transactions following the explosive growth of online retail in the COVID-19 period. For Sarawak e-commerce entrepreneurs — many of whom operate as Shopee, Lazada, or TikTok Shop sellers — consumer protection compliance includes accurate product descriptions, honest reviews management, timely delivery commitments, and responsive after-sales service.

Data Privacy and Digital Consumer Ethics

Malaysia's Personal Data Protection Act 2010 (PDPA) requires all commercial data users to obtain consent for collecting personal data, use data only for the stated purpose, ensure data accuracy and security, and provide individuals with the right to access and correct their personal data. For digital entrepreneurs, PDPA compliance is both a legal requirement and an ethical obligation. Beyond the legal minimum, ethical digital entrepreneurs apply the principles of data minimisation (collecting only the data actually needed), purpose limitation (using data only for the purpose for which it was collected), and transparency (clearly explaining to customers how their data will be used). The rise of social commerce through platforms such as CampaignKita and Shopee Malaysia has brought customer data ethics to the forefront of Sarawak e-commerce entrepreneurship.

SUMMARY

Managerial Insight: Sarawak Timber Industry and the Ethics Shift

Sarawak's timber industry has faced decades of international scrutiny over deforestation and indigenous land rights. Forward-thinking companies like Samling Group have adopted FSC (Forest Stewardship Council) certification and community benefit programmes. This shift — driven by ethical pressure from global buyers, NGOs, and more recently the EU Deforestation Regulation (effective 2025) — demonstrates how ethical standards are not just moral obligations but strategic business imperatives. Companies that proactively adopted higher environmental and social standards are now better positioned in regulated international markets, while those that resisted face increasing market access barriers. The lesson for all Sarawak entrepreneurs: ethical transformation driven by external pressure, while better than no transformation, is always more costly and disruptive than ethical leadership that anticipates and gets ahead of stakeholder expectations.

Self-Reflection



1. Think of a local Sarawak business that has faced an ethical controversy. What stakeholder interests were in conflict? How should the business have responded using the ethical framework described in LU2? What would a moral manager have done differently from an immoral or amoral manager in that situation?

Self-Reflection



2. Rate your own ethical standards using the three levels discussed in LU2 (Legal, Organisational/Professional, Personal/Societal). Where are you strongest? Where do you see room for growth as a future entrepreneur? What is one concrete action you will take in the next 30 days to strengthen your ethical practice?

SUMMARY

Business ethics is the application of moral principles to business decisions and relationships — going well beyond legal compliance to encompass organisational, professional, and personal/societal standards.

Stakeholder theory identifies both primary stakeholders (shareholders, employees, customers, suppliers) and secondary stakeholders (communities, regulators, media) as having legitimate ethical claims on the entrepreneur.

Three management styles — immoral, amoral, and moral — reflect fundamentally different ethical orientations. Moral management integrates ethics into all business decisions and creates sustainable competitive advantages.

Ethical frameworks — consequentialism, deontology, and virtue ethics — provide complementary tools for ethical reasoning. Entrepreneurs benefit from familiarity with all three rather than rigid adherence to any single framework.

Social responsibility extends across economic, legal, ethical, and philanthropic dimensions. Carroll's CSR Pyramid provides a useful framework for understanding the hierarchy of corporate social obligations.

Environmental responsibility in Sarawak requires careful navigation of the tensions between economic development and biodiversity conservation, with indigenous community rights representing a critical ethical dimension.

Responsibility to employees and customers requires not merely legal compliance but active commitment to fair treatment, safety, transparency, and dignity for all stakeholders with whom the venture interacts.

Multiple Choice Questions (MCQS):

1. Which of the following best defines business ethics?
 - A) Following all government regulations
 - B) Maximising profit at any cost
 - C) Applying moral principles to business decisions and relationships — ANSWER
 - D) Hiring the cheapest labour available

2. Primary stakeholders of a business include:
 - A) Competitors only
 - B) Shareholders, employees, customers, and suppliers — ANSWER
 - C) Government agencies only
 - D) The general public

3. The three levels of ethical standards are:
 - A) Legal, Organisational/Professional, Personal/Societal — ANSWER
 - B) Local, National, International
 - C) Formal, Informal, Implicit
 - D) Individual, Organisational, Global

4. An "immoral manager" according to Carroll's framework:
 - A) Follows the law but ignores ethics
 - B) Actively violates ethical standards for personal or organisational gain — ANSWER
 - C) Is unaware of ethical issues
 - D) Prioritises ethics above profits

5. Social responsibility goes beyond legal compliance to include:
 - A) Meeting minimum wage requirements
 - B) Voluntary actions that benefit society and the environment — ANSWER
 - C) Filing corporate tax returns
 - D) Registering trademarks

6. Which Sarawak industry has faced the most significant environmental ethics scrutiny?

- A) Tourism
- B) Palm oil and timber — ANSWER
- C) Fintech
- D) E-commerce

7. Establishing ethical standards in a business typically involves:

- A) Writing a code of conduct and training employees — ANSWER
- B) Letting each employee decide their own ethical standards
- C) Focusing only on legal requirements
- D) Delegating all ethical decisions to the HR department

Questions for Discussion

1. A Sarawak-based palm oil company is considering expansion into a forested area adjacent to an indigenous Penan community's ancestral land. Using the ethical framework and stakeholder analysis from LU2, identify the key ethical issues, evaluate the company's responsibilities to all affected stakeholders, and recommend an ethically sound course of action. (CLO1)
2. Evaluate the business case for moral management in the context of a Sarawak SME. To what extent do you agree that ethical conduct and profitability are complementary rather than competing objectives? Use specific examples from the Sarawak business environment to support your argument. (CLO1)
3. Using Carroll's CSR Pyramid as a framework, assess the social responsibility performance of a Malaysian or Sarawak company of your choice. Identify the company's strongest and weakest areas of social responsibility, and recommend two specific improvements. (CLO1)

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2. **Freeman, R. E.** (1984). *Strategic Management: A Stakeholder Approach* (1st ed.). Pitman Publishing.
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Formative Exercise: Ethics Audit

SUMMARY

Assignment: Identify a local Sarawak or Malaysian SME (with appropriate permission). Conduct a brief ethics audit by interviewing the business owner or a senior manager about their approach to business ethics and social responsibility. Write a 400-word audit report that: (a) describes the business and its industry context; (b) identifies two areas where the business demonstrates strong ethical practice; (c) identifies one area where the business's ethical standards could be strengthened; and (d) provides one specific, actionable recommendation for improvement.

This is a formative exercise — not graded. It is preparation for the case analysis skills required in CA2: Reflection Case Study Analysis.

Online Learning Resources

The following resources supplement your study of LU2. All are free or freemium.

IBE (Institute of Business Ethics) — Ethics at Work Toolkit (Freemium)

<https://www.ibe.org.uk>

Carroll's CSR Pyramid Explained (YouTube, free)

<https://www.youtube.com/watch?v=CUMf4oEcKOM>

MACC — Corporate Integrity Resources for Malaysian Businesses (Free)

<https://www.macc.gov.my>

Sarawak Forestry Corporation — Responsible Forest Management (Free, Sarawak)

<https://www.sarawakforestry.com>

END OF TOPIC

TOPIC

3

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CORPORATE ENTREPRENEURSHIP

*Lecturers: Dr Nur Suriyanti Binti Gadiman; Muhammad
Nor Shafiee Ibrahim*

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Define corporate entrepreneurship (intrapreneurship) and distinguish it from independent entrepreneurship**
- **Identify the conditions and leadership behaviours that foster intrapreneurial culture in organisations**
- **Evaluate the strategic role of corporate venturing, spinoffs, and strategic renewal**
- **Apply corporate entrepreneurship concepts to Malaysian and Sarawak organisational contexts**



LO Learning Objectives

By the end of this topic you should be able to:

- **Define corporate entrepreneurship (intrapreneurship)** and differentiate it from new venture creation.
- **Evaluate the strategic conditions** that enable organisations to build an intrapreneurial culture.
- **Analyse the role of corporate venture capital and spinoffs** in driving organisational innovation and transformation.
- **Apply corporate entrepreneurship principles** to Malaysian and Sarawak business contexts.

KC Key Concepts and Definitions

Concept	Definition	Example / Notes
Intrapreneurship	Entrepreneurial behaviour and innovation initiated within an established organisation.	<i>A Sarawak plantation group launching an agri-tech spinoff with internal venture capital.</i>
Corporate Venturing	Large organisations investing in or creating new business units to explore innovations.	<i>Sarawak Energy Berhad's venture into renewable energy and digital grid technologies.</i>
Disruptive Innovation	Innovation that creates new markets and disrupts existing products or services.	<i>Digital banking (e.g., GXBank) disrupting Sarawak's traditional retail banking sector.</i>
Ambidextrous Organisation	Balances exploitation of existing strengths and exploration of new opportunities.	<i>PETRONAS optimises oil production while investing in green hydrogen R&D.</i>
Organisational Culture	The shared values, beliefs, and norms that guide behaviour within an organisation.	<i>A culture of psychological safety enables employees to propose and test new ideas.</i>
Strategic Renewal	Transformation of an organisation through fundamental changes to strategy and business model.	<i>Malaysia Airlines restructured after crisis through strategic renewal under Khazanah.</i>

3.1 What is Corporate Entrepreneurship (Intrapreneurship)?

Corporate entrepreneurship — also known as intrapreneurship — refers to entrepreneurial activity that takes place within an established organisation, rather than through the creation of an entirely new independent venture. The concept was popularised by Gifford Pinchot III in his 1985 book *Intrapreneuring: Why You Don't Have to Leave the Corporation to Become an Entrepreneur*. Pinchot argued that many of the most innovative and growth-generating ideas in business come not from garage startups but from employees within large organisations who

have the entrepreneurial drive to pursue new ideas — if only the organisation creates conditions that allow them to do so.

Corporate entrepreneurship (CE) encompasses a broad range of organisational innovation behaviours, including the development of new products, services, processes, business models, and markets within an existing firm; the acquisition of entrepreneurial companies to access their innovation capabilities; and the fundamental strategic transformation of the organisation through renewal. What unifies these diverse activities is the entrepreneurial orientation that drives them: a willingness to take risks, proactively seek new opportunities, and challenge the status quo — even from within the structure and resources of an established enterprise.

Entrepreneurship vs. Intrapreneurship: Key Differences

Dimension	Independent Entrepreneurship	Corporate Entrepreneurship (Intrapreneurship)
Resource base	Self-funded or investor-funded; scarce resources	Access to parent organisation's capital, talent, brand, infrastructure
Risk	Personal financial risk; venture failure means total loss	Organisational risk; personal risk is lower (salary continues unless venture fails catastrophically)
Autonomy	Full autonomy over strategic direction	Constrained by organisational hierarchy, culture, and governance
Speed	Can move very fast; no internal approval bureaucracy	Slower due to corporate governance; but can leverage scale rapidly once approved
Market access	Must build from zero	Can leverage parent's existing customer relationships, distribution, and brand
Failure tolerance	Market-determined; investors withdraw if no traction	Organisation may terminate project; culture determines tolerance for failure

Sarawak Context: SEB and PETRONAS

Sarawak Energy Berhad (SEB) provides a compelling local example of corporate entrepreneurship within a government-linked company (GLC) context. As Sarawak's state-owned electricity utility, SEB has used its resource base and regulatory position to pioneer smart grid technology, renewable energy development (hydropower from the SCORE corridor), and digital customer service innovation — all of which constitute entrepreneurial activity within an established organisational structure. PETRONAS, Malaysia's national oil company and one of Asia's most admired corporations, has institutionalised corporate entrepreneurship through its PETRONAS Entrepreneurial Training programme, its PETRONAS Ventures corporate venture capital arm, and its dedicated R&D facilities at the

PETRONAS Research Centre in Bangi — demonstrating how even large state-linked organisations can embed entrepreneurial thinking into their operational DNA.

3.2 Types: Sustaining vs. Disruptive Innovation

Clayton Christensen's theory of disruptive innovation, developed in his seminal 1997 work *The Innovator's Dilemma*, provides a critically important framework for understanding the different types of entrepreneurial activity that occur within corporations. Christensen distinguishes between sustaining innovation — which improves existing products and services for existing customers — and disruptive innovation — which creates entirely new value propositions that serve new customer segments or new use cases, initially at lower performance levels but with fundamentally different cost structures or accessibility profiles.

Sustaining Innovation

Sustaining innovation represents incremental improvements to existing products, services, and processes that better meet the needs of existing customers. It is the bread and butter of corporate R&D and product management — new product versions, process efficiency improvements, cost reduction programmes, and customer experience enhancements. Sustaining innovation is essential for competitive maintenance but rarely creates genuinely new market categories or growth vectors. In Sarawak's banking sector, the gradual digitisation of conventional banking services — internet banking upgrades, mobile app feature additions, ATM network expansion — represents sustaining innovation.

Disruptive Innovation

Disruptive innovation creates a fundamentally different value proposition that initially serves overlooked or under-served market segments, often at a lower price point or with greater accessibility than incumbent offerings. Over time, disruptions typically improve in performance until they meet mainstream customer needs and displace established competitors. Examples from Malaysia include Grab's disruption of the taxi industry (initially serving value-conscious urban commuters with a more convenient and price-transparent service), GrabPay and Touch 'n Go eWallet's disruption of cash payment (initially serving unbanked and under-

banked populations), and Astro Fibre and TIME broadband's disruption of Telekom Malaysia's fixed-line monopoly.

Architectural Innovation and Business Model Innovation

Beyond the sustaining/disruptive dichotomy, corporate entrepreneurs also pursue architectural innovation — reconfiguring the connections between existing components to create new system-level value — and business model innovation — fundamentally changing the way value is created, delivered, and captured without necessarily changing the underlying product or technology. Business model innovation is particularly relevant to Sarawak entrepreneurs: a pepper farmer who shifts from selling commodity pepper through a middleman to direct export of certified premium Sarawak white pepper to European specialty food buyers is engaging in business model innovation, dramatically improving margin capture without any change to the agricultural product itself.

3.3 Building an Intrapreneurial Culture

An intrapreneurial culture is an organisational environment in which employees at all levels feel empowered, motivated, and resourced to pursue entrepreneurial ideas within the boundaries of the organisation's strategic mission. Building such a culture is one of the most significant and difficult leadership challenges facing senior managers in established organisations — because intrapreneurship requires a set of organisational conditions that are in many ways antithetical to the efficiency-oriented management systems that sustain large organisations' day-to-day operations.

Conditions for Intrapreneurial Culture

- Tolerance for calculated risk and failure: Organisations that punish failure prevent experimentation. Intrapreneurial cultures distinguish between unintelligent risk-taking (poorly reasoned, inadequately planned) and intelligent risk-taking (well-reasoned, appropriately bounded). Intelligent failures — attempts to do something new that generate useful learning even when the outcome is not achieved — are recognised and even celebrated.

- **Autonomy and decision-making authority:** Intrapreneurs need the authority to make meaningful decisions about their venture without requiring approval at every step. Excessive bureaucracy kills intrapreneurial momentum. Leading organisations grant project champions significant autonomy within clearly defined strategic parameters.
- **Resource availability:** Intrapreneurial initiatives need time, funding, and talent. Organisations that expect employees to pursue innovation on top of 100% workloads create an impossible situation. Dedicated innovation time — such as Google's (now discontinued) "20% time" policy — and dedicated innovation budgets are structural signals of genuine commitment.
- **Recognition and reward systems:** Compensation and recognition systems must align with intrapreneurial behaviour. Organisations that reward only short-term financial performance inadvertently penalise the longer-term, uncertain investments required for innovation. Equity participation, bonus pools tied to innovation metrics, and non-financial recognition for entrepreneurial achievements all contribute to intrapreneurial motivation.
- **Senior leadership sponsorship:** Successful intrapreneurial projects almost always have an executive sponsor who provides access, protection, and strategic guidance. Without this sponsorship, intrapreneurial projects are vulnerable to being defunded during the inevitable periods of uncertainty and mediocre early results that precede genuine innovation breakthroughs.

Celcom Axiata's Innovation Labs

Celcom Axiata (now merged with Digi as CelcomDigi) established dedicated innovation labs to create structured intrapreneurial environments within the telecommunications corporation. These labs operated with startup-like speed and autonomy while having access to Celcom's 9 million subscriber base, spectrum assets, and distribution infrastructure. The SDEC's internal digital transformation teams demonstrate a similar model in the Sarawak public sector context — a small, entrepreneurially oriented team embedded within a government-linked corporation, tasked with identifying and piloting digital innovation that the broader organisation can subsequently scale.

3.4 Strategic Renewal and Organisational Transformation

Strategic renewal refers to the process by which an established organisation fundamentally transforms its strategy, capabilities, or business model to remain competitive in a changing environment. It is perhaps the most challenging and high-stakes form of corporate entrepreneurship, because it requires the organisation to simultaneously maintain the efficiency of its existing operations while investing in the development of fundamentally different capabilities for the future — what management scholars describe as the "ambidexterity" challenge.

The Need for Strategic Renewal

The competitive landscape rarely remains static long enough for a single strategy to remain optimal indefinitely. Technologies change, market structures shift, customer expectations evolve, and regulatory environments are transformed by political decisions. Organisations that fail to renew their strategies in response to these changes eventually find themselves competing in declining markets with obsolete capabilities — a process that Clayton Christensen's innovator's dilemma describes with particular clarity. Malaysian examples of successful strategic renewal include YTL Corporation's transformation from a construction company into a diversified utility and technology conglomerate, and Maybank's transformation from a traditional branch-based bank into a digitally-led financial services group with significant operations across nine ASEAN countries.

Sarawak Examples: SEDC and Naim Holdings

Naim Holdings Berhad, a Sarawak-based listed company originally established as a construction and property developer, has pursued strategic renewal through diversification into property technology (PropTech), integrated townships, and industrial property — reflecting the strategic recognition that traditional construction margins are being compressed while technology-integrated real estate development commands significant premium positioning. The Sarawak Economic Development Corporation (SEDC), originally focused on plantation agriculture and basic industries, has progressively renewed its strategic portfolio through the spinning off of subsidiary companies in hospitality (Hilton Kuching), retail (Boulevard Shopping Mall), and digital services — demonstrating how a government development agency can act as a corporate entrepreneur through strategic portfolio renewal.

3.5 Corporate Venture Capital and Spinoffs

Corporate Venture Capital (CVC) is the practice by which established corporations invest in external startup companies as a strategy for accessing innovation, technologies, and business models that the corporation's internal R&D processes may not generate efficiently. Unlike traditional private equity, CVC investments are motivated primarily by strategic value — access to novel technologies, new market capabilities, and innovation options — rather than purely by financial return, though financial return remains a secondary objective. CVC has grown dramatically in both scale and sophistication globally, with Asian corporations — including Malaysian GLCs — increasingly active participants.

PETRONAS Ventures

PETRONAS Ventures, the corporate venture capital arm of PETRONAS, represents Malaysia's most prominent example of CVC in action. PETRONAS Ventures invests in early and growth-stage technology startups in energy transition, digitalisation, new materials, and advanced manufacturing — using startup innovation to accelerate PETRONAS's own strategic transformation from a conventional oil and gas company toward a diversified energy company. The portfolio includes investments in hydrogen technology, carbon capture, digital oilfield management, and renewable energy platforms. For Sarawak entrepreneurs working in the energy and cleantech space, PETRONAS Ventures represents a potential funding and partnership pathway, particularly for ventures that can demonstrate alignment with PETRONAS's net zero 2050 strategic agenda.

Khazanah Nasional and Strategic Spinoffs

Khazanah Nasional Berhad, Malaysia's sovereign wealth fund, has pursued a deliberate strategy of spinning off portfolio companies through IPO once they have achieved commercial maturity — a form of corporate entrepreneurship that creates public market value from government-incubated enterprises. Notable Khazanah spinoffs include IHH Healthcare (now Asia's largest private hospital operator), Telekom Malaysia, and Axiata Group. The spinoff model allows the parent entity to recycle capital from mature businesses into new, higher-growth ventures — continuously regenerating the portfolio's innovation frontier. Sarawak's

SEDC has employed a similar strategy, spinning off hospitality and retail subsidiaries to bring in private sector expertise while retaining strategic stakes.

Technology Spinoffs from Universities

University technology spinoffs represent another important form of corporate entrepreneurship in the Malaysian context. Universiti Malaysia Sarawak (UNIMAS) and Swinburne University of Technology Sarawak Campus have research commercialisation offices that support faculty members and postgraduate students in spinning out companies from research findings. The i-CATS University College itself, through its engagement with Sarawak industry, creates opportunities for student-led ventures through project collaborations and the MBA capstone project structure. For MBA students, understanding the spinoff model is valuable both as a potential entrepreneurial pathway and as a corporate strategy tool for managing innovation portfolios.

3.6

Corporate Entrepreneurship in Malaysian and Sarawak Organisations

Corporate entrepreneurship in Malaysian and Sarawak organisations occurs within a distinctive institutional context shaped by three factors: the dominant role of Government-Linked Companies (GLCs) in the economy, the influence of Bumiputera economic empowerment programmes on organisational priorities, and the rapid pace of digital transformation driven by the Malaysia Digital Economy Blueprint and Sarawak Digital Economy Blueprint 2030. Understanding this context is essential for MBA students who will be managing innovation within Malaysian organisations.

GLC Corporate Entrepreneurship

Malaysian GLCs — including PETRONAS, Telekom Malaysia, Maybank, CIMB, Axiata, and at the state level Sarawak Energy Berhad, PETROS, and SEDC — face a distinctive challenge in corporate entrepreneurship: balancing the public interest mandates and governance constraints of government ownership with the agility, risk tolerance, and creative destruction required for genuine innovation. The GLC Transformation Programme (2004–2015) and its

successor, the National Transformation Plan, have progressively pushed GLCs toward more commercially-oriented governance — but the structural tension between public accountability and entrepreneurial risk-taking remains. Sarawak GLCs that have navigated this tension most successfully — notably SEB and SDEC — have done so by creating semi-autonomous innovation units with startup-like cultures within the broader GLC governance framework.

SEB's Digital Transformation as Corporate Entrepreneurship

Sarawak Energy Berhad's multi-year digital transformation programme provides the most detailed and accessible Sarawak case study of corporate entrepreneurship in action. SEB has pursued strategic renewal across multiple dimensions simultaneously: smart grid technology deployment across the Sarawak electricity network; advanced metering infrastructure (AMI) enabling two-way communication with 600,000+ customers; predictive maintenance using AI and IoT sensors on generation and transmission assets; digital customer service platforms replacing legacy call-centre interactions; and renewable energy innovation through hydropower optimisation and solar co-generation pilots. Each of these initiatives represents a form of corporate entrepreneurship — using the resources and scale of an established utility to create new value propositions and capabilities that fundamentally transform the organisation's competitive position and social contribution.

Barriers to Corporate Entrepreneurship in Sarawak

Sarawak organisations face specific barriers to corporate entrepreneurship that complement the universal barriers discussed earlier in this unit. Talent attraction and retention presents a persistent challenge — Sarawak's most entrepreneurially talented graduates and professionals have historically migrated to Kuala Lumpur and Singapore for better-paying opportunities, creating a talent gap in the local innovation ecosystem. Distance from the main venture capital markets in Kuala Lumpur and Singapore makes accessing corporate venture capital more difficult for Sarawak-based organisations. The cultural preference for consensus-based decision-making in many Sarawak organisations can slow the speed of innovation initiative approvals. However, these barriers are not insuperable — the SDEC's remote-work and digital nomad attraction programmes, Sarawak's lower cost of living, and the state government's active support for technology entrepreneurship are gradually reversing the talent drain and creating conditions for more vibrant corporate entrepreneurship across the Sarawak economy.

SUMMARY

Managerial Insight: SEB's Innovation Journey

Sarawak Energy Berhad has evolved from a traditional utility provider into a regional energy innovator, establishing digital transformation programmes and piloting smart grid technologies across Kuching and the Sarawak grid. This is corporate entrepreneurship in action — using the resources, scale, and institutional position of an established organisation to create new value, exactly as Pinchot's intrapreneurship concept envisioned. SEB's success factors include: dedicated digital transformation leadership with executive sponsorship; ring-fenced innovation budgets protected from routine operational pressures; partnerships with global technology vendors and Malaysian universities for knowledge transfer; and a cultural commitment to "fail fast, learn faster" that is remarkable in a government-linked utility context. The SEB model offers a replicable template for other Sarawak GLCs and large private sector organisations seeking to embed entrepreneurial thinking into their organisational DNA.

Self-Reflection



1. Does your current or past employer encourage intrapreneurship? What specific barriers exist — cultural, structural, or resource-related — that limit entrepreneurial behaviour within the organisation? What conditions would make it easier for employees to act entrepreneurially within large organisations in Sarawak? Identify one specific change in governance, culture, or resource allocation that would have the most impact.

SUMMARY

Corporate entrepreneurship (intrapreneurship) is entrepreneurial activity within established organisations — creating new value through new products, services, business models, and strategic renewal rather than through independent new venture creation.

Independent entrepreneurship and intrapreneurship differ fundamentally in resource base, risk profile, autonomy, and speed — each offering distinctive advantages and constraints.

Christensen's distinction between sustaining and disruptive innovation is a critical framework for classifying corporate entrepreneurial activity and for understanding the strategic threats and opportunities it represents.

Intrapreneurial culture requires organisational conditions including risk tolerance, employee autonomy, resource availability, appropriate reward systems, and senior leadership sponsorship.

Strategic renewal — the fundamental transformation of an organisation's strategy and capabilities — is the most challenging and high-stakes form of corporate entrepreneurship, requiring ambidextrous management of current operations and future innovation simultaneously.

CVC and spinoffs provide structured mechanisms for accessing and commercialising innovation. Malaysian examples including PETRONAS Ventures and Khazanah's spinoff portfolio demonstrate the strategic logic of these approaches.

Sarawak GLCs — particularly SEB and SDEC — provide accessible and relevant examples of corporate entrepreneurship in an East Malaysian institutional context.

Multiple Choice Questions (MCQS):

1. Corporate entrepreneurship (intrapreneurship) refers to:
 - A) Starting a new company by leaving an existing one
 - B) Entrepreneurial activity that takes place within an established organisation — ANSWER
 - C) Acquiring a competitor
 - D) Exporting products internationally

2. Which of the following is an example of disruptive innovation within a corporation?
 - A) A slight improvement to existing product packaging
 - B) A new digital delivery method that replaces the existing business model — ANSWER
 - C) Following industry best practices
 - D) Reducing headcount to cut costs

3. A key enabler of intrapreneurial culture is:
 - A) Strict hierarchy and formal approval processes
 - B) Tolerance for calculated risk-taking and learning from failure — ANSWER
 - C) Centralised decision-making
 - D) Short-term profit maximisation

4. Sarawak Energy Berhad's digital transformation programme is best described as an example of:
 - A) Disruptive startup entrepreneurship
 - B) Social entrepreneurship
 - C) Corporate entrepreneurship and strategic renewal — ANSWER
 - D) Franchise entrepreneurship

5. Corporate venture capital (CVC) involves:
 - A) A startup borrowing from a bank

B) An established corporation investing in external startups to access innovation —
ANSWER

C) Government grants for SMEs

D) Private equity buyouts

6. Strategic renewal in corporate entrepreneurship means:

A) Replacing the CEO

B) Transforming the organisation through innovation to remain competitive —

ANSWER

C) Renewing annual operating licences

D) Updating the company logo

Questions for Discussion

1. Compare and contrast the entrepreneurial challenges faced by an independent startup in Kuching with those faced by an intrapreneur within Sarawak Energy Berhad. What advantages and limitations does each face, and what can each learn from the other? (CLO1)
2. Using Christensen's sustaining vs. disruptive innovation framework, analyse the current innovation strategies of a Malaysian GLC of your choice. Is the organisation pursuing primarily sustaining or disruptive innovation? What are the strategic risks of this orientation? (CLO1)
3. Design an intrapreneurial programme for a Sarawak-based SME with 50 employees. Specify the governance structure, resource allocation, reward mechanisms, and cultural initiatives that you would implement. What are the two biggest barriers you anticipate, and how would you address them? (CLO1)

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Online Learning Resources

The following resources supplement your study of LU3. All are free or freemium.

"The Art of Intrapreneurship" — Harvard Business Review (Free article)

<https://hbr.org/2020/01/the-art-of-intrapreneurship>

SDEC — Sarawak Digital Economy Corporation Innovation Programmes (Free, Sarawak)

<https://www.sdec.com.my>

Coursera: "Innovation for Entrepreneurs" — University of Maryland (Freemium)

<https://www.coursera.org/learn/innovation-entrepreneurs>

**PETRONAS Annual Report — Innovation and
Sustainability Section (Free, Malaysian context)**

<https://www.petronas.com/sustainability>

END OF TOPIC

TOPIC

4



DEVELOPING NEW VENTURE — LEGAL REQUIREMENTS

Lecturers: Dr Nur Suriavanti Binti Gadiman: Muhammad

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Identify and evaluate entrepreneurial ideas and opportunities using structured frameworks**
- **Conduct a feasibility analysis across market, technical, and financial dimensions**
- **Design a basic business model using the Lean Canvas framework**
- **Understand and apply the legal requirements for establishing a business in Malaysia and Sarawak**



LO Learning Objectives

By the end of this topic you should be able to:

- **Apply idea generation and opportunity recognition techniques** to identify viable business opportunities.
- **Conduct a feasibility analysis** covering market, technical, and financial dimensions of a proposed venture.
- **Design a Lean Canvas business model** to map the key building blocks of a new venture.
- **Navigate the legal requirements for business formation in Malaysia** including SSM registration and sector-specific regulations.

KC Key Concepts and Definitions

Concept	Definition	Example / Notes
Lean Canvas	A one-page business model tool capturing nine key building blocks of a venture.	<i>A Sarawak edtech startup maps its problem, solution, customer segments, and revenue streams.</i>
Feasibility Analysis	An assessment of the technical, market, and financial viability of a business idea.	<i>Before launching a food delivery app in Miri, founders assess market size and logistics cost.</i>
Business Model	A plan for how a venture creates, delivers, and captures value.	<i>Subscription model vs. marketplace model vs. freemium — each suits different ventures.</i>
SSM Registration	Companies Commission of Malaysia registration, mandatory for all Malaysian businesses.	<i>Sole proprietors register under ROB; private limited companies under ROC via MySSM portal.</i>
Minimum Viable Product	A stripped-down version of a product released to test core assumptions with early adopters.	<i>A Sarawak startup launches a basic app to test user adoption before full development.</i>
Customer Discovery	The process of validating business assumptions through direct customer interviews.	<i>Founders conduct 20+ interviews with Kuching SMEs before building their B2B platform.</i>

4.1 Idea Generation and Opportunity Recognition

One of the most common misconceptions about entrepreneurship is that successful ventures start with a brilliant, novel idea. In reality, the most durable entrepreneurial ventures are built

not on clever ideas but on carefully identified opportunities — specific market conditions where a real, unmet or under-served need intersects with a viable technical solution and an accessible customer segment willing to pay for it. The distinction between an idea and an opportunity is fundamental: ideas are abundant; opportunities are defined by market validation.

Sources of Business Ideas

Successful entrepreneurs draw business ideas from a wide range of sources. Personal experience is the most common: entrepreneurial ideas frequently emerge from problems the entrepreneur has personally encountered as a consumer, employee, or community member. Scott Shane's research on new venture creation (2003) found that over 60% of successful venture founders cited a personal problem or need as the original inspiration for their business. In Sarawak, this principle suggests a powerful idea generation heuristic: what problems do you personally experience as a resident of Sarawak that are not adequately solved by existing products or services?

- **Technology-enabled opportunities:** New technologies create new capabilities that enable solutions to previously intractable problems, or dramatically reduce the cost of existing solutions. The proliferation of affordable smartphones across rural Sarawak, for example, has created opportunities for mobile-based financial services, agricultural advisory platforms, and healthcare telemedicine applications that were not feasible five years ago.
- **Market inefficiencies:** Every market contains inefficiencies — information asymmetries, transaction costs, misaligned incentives — that entrepreneurs can address by creating more transparent, efficient, or accessible alternatives. Sarawak's pepper industry supply chain, where farmers receive a fraction of the international commodity price due to multiple middleman layers, represents a classic market inefficiency addressable by digital platforms.
- **Demographic and social trends:** Sarawak's ageing population in rural areas, the urbanisation of Kuching and Miri, the growing middle class, and the increasing digital literacy of the 25–40 age cohort are all demographic trends that create predictable demand shifts and therefore entrepreneurial opportunities.
- **Regulatory changes:** Changes in government policy — such as the Malaysian government's E-fulfillment hub designation for Sarawak under the Digital Free Trade

Zone, or the amendments to the Financial Services Act enabling digital bank licences — create windows of regulatory opportunity for entrepreneurs ready to build compliant solutions.

Sarawak Opportunity Examples

Sarawak's unique geography and economic structure generate entrepreneurial opportunities not available in urban Peninsular Malaysia. E-hailing for rural Sarawak's vast distances — where standard e-hailing platforms are not economically viable for long inter-district journeys — represents an opportunity for purpose-designed rural mobility solutions. Agri-tech for Sarawak's pepper farmers in Serian and Kuching divisions — where soil monitoring, disease detection, and weather forecasting applications could significantly improve yield and quality — is a high-potential vertical enabled by affordable IoT sensors and cloud computing. Fish processing and traceability apps for Mukah's coastal fishing community could create premium certification and direct export pathways for sustainably caught Sarawak seafood. Each of these opportunities shares the same structural characteristics: a real, concrete problem; a large enough addressable market; a technology-enabled solution; and a Sarawak context that creates a natural competitive moat for locally grounded entrepreneurs.

Opportunity vs. Idea: The IDEO Criteria

IDEO's human-centred design framework uses three lenses to evaluate whether an idea constitutes a genuine opportunity: Desirability (Do real people want this? Does it solve a genuine problem they experience?), Viability (Can we build a sustainable business model around it? Will customers pay enough to cover costs and generate profit?), and Feasibility (Can we actually build it with available technology, talent, and resources?). An idea that scores highly on all three dimensions represents a robust opportunity. Most initial ideas fail one or more of these tests — which is why the next step in new venture development is rigorous feasibility analysis rather than immediate business plan writing.

4.2 Feasibility Analysis: Market, Technical, Financial

Feasibility analysis is the structured investigation of whether a proposed venture idea is viable — across market, technical, and financial dimensions — before committing significant

resources to building the product or service. It is one of the most important and most neglected activities in entrepreneurship: entrepreneurs who skip feasibility analysis and proceed directly to building products waste enormous resources chasing ideas that were never viable, while entrepreneurs who invest in rigorous feasibility analysis before building make faster, better-informed decisions about which ideas deserve further investment and which should be abandoned or fundamentally redesigned.

Market Feasibility Analysis

Market feasibility analysis addresses four key questions: Is the problem real? Is the market large enough? Are there enough potential customers willing to pay? And can we reach them efficiently? Tools for market feasibility analysis include the TAM-SAM-SOM framework (Total Addressable Market, Serviceable Addressable Market, Serviceable Obtainable Market), primary research through customer interviews and surveys, secondary research using government statistical data (Jabatan Perangkaan Malaysia, the Department of Statistics Malaysia), industry reports, and competitive analysis.

A hypothetical market feasibility analysis for a Kuching food delivery startup might proceed as follows: The TAM is the total Malaysian food delivery market (estimated at RM3.2 billion in 2024, growing at 18% CAGR). The SAM is Sarawak's food delivery market (estimated at RM180 million, representing approximately 5.6% of the national market, reflecting Sarawak's share of national urban population). The SOM is the realistically capturable share in Year 1–3 given entry timing, competitive position, and capital availability — perhaps 5% of the Sarawak market, or RM9 million in Year 3 GMV. This TAM-SAM-SOM analysis tells the entrepreneur that the market is real and growing, but whether the venture can reach the SOM depends critically on the competitive analysis and the unit economics evaluation in the financial feasibility assessment.

Technical Feasibility Analysis

Technical feasibility analysis assesses whether the proposed product or service can actually be built with available or accessible technology, talent, and infrastructure. Key questions include: Does the required technology exist? Can we source or develop it within the available budget and timeline? Do we have — or can we hire — the technical talent required to build and

maintain it? Are there any regulatory or IP barriers to accessing the required technology? For digital ventures in Sarawak, technical feasibility must specifically address the digital infrastructure reality — where internet connectivity is available, at what speed and reliability, and what product design constraints this imposes.

Financial Feasibility Analysis

Financial feasibility analysis models the economic viability of the venture — whether the revenue a viable business model can generate will exceed the costs of building and operating it, within a reasonable time horizon. Key analytical components include: startup cost estimation (one-time investment required to launch); operating cost structure (monthly fixed and variable costs); revenue model and pricing analysis; unit economics (contribution margin per unit/transaction); breakeven analysis (volume required to cover all costs); and funding requirements (how much external capital is needed, and from what sources). For Sarawak entrepreneurs, financial feasibility must realistically account for the higher logistics costs of operating in geographically dispersed markets, the lower average transaction values in regional versus Klang Valley markets, and the longer sales cycles often encountered in government and institutional procurement.

4.3 Business Model Design — Lean Canvas

The Lean Canvas, developed by Ash Maurya in his 2012 book *Running Lean*, is a one-page business model template specifically designed for early-stage ventures operating in high-uncertainty environments. Adapted from Alexander Osterwalder's Business Model Canvas, the Lean Canvas replaces the "Key Partners," "Key Activities," and "Customer Relationships" blocks with "Problem," "Solution," "Key Metrics," and "Unfair Advantage" — reflecting the startup imperative to first validate the problem-solution fit before investing in partnerships and operations. The Lean Canvas is particularly valuable for MBA students designing new ventures because it forces brevity and precision: if you cannot articulate your business model clearly and compellingly on one page, you likely do not yet understand it well enough to execute it.

The Nine Blocks of the Lean Canvas

Block	Key Question	What Good Looks Like
Problem	What are the top 1–3 problems you are solving?	Specific, evidence-based problems with quantified pain — not generic frustrations
Customer Segments	Who are your target customers?	Narrow, specific early adopter profile — not "everyone"
Unique Value Proposition	What makes you different? Why should customers choose you?	Single, clear, compelling statement of benefit — not a feature list
Solution	What is your solution to each problem?	Minimum viable features for the early adopter segment
Channels	How do you reach customers?	Specific, costed acquisition channels — not "social media"
Revenue Streams	How do you make money?	Specific pricing model, payment terms, and frequency
Cost Structure	What are your major costs?	Fixed and variable costs, burn rate, and breakeven milestone
Key Metrics	How do you measure success?	One or two leading indicators that predict revenue and retention
Unfair Advantage	What do you have that cannot be easily copied?	Genuine competitive moat — network effects, proprietary data, unique expertise, regulatory position

Lean Canvas Example: PepperDirect

Sarawak produces over 25,000 tonnes of white and black pepper annually — approximately 95% of Malaysia's total pepper output — making Sarawak pepper a premium commodity with significant international recognition in specialty food markets. Yet the average Sarawak pepper farmer receives only 25–30% of the international export price, with the remainder captured by exporters, brokers, and logistics intermediaries. PepperDirect is a hypothetical digital platform that directly connects certified Sarawak pepper farmers with international specialty food buyers

— restaurants, artisan food producers, and premium retail chains in Europe, Japan, and the United States.

PepperDirect Lean Canvas (Summarised):

- **Problem:** Sarawak pepper farmers receive only 25–30% of international export price; international buyers lack direct access to certified, traceable Sarawak pepper; quality verification is currently opaque and unreliable.
- **Customer Segments:** Early adopters — European and Japanese specialty food importers seeking certified provenance; secondary — premium Malaysian restaurant chains sourcing local ingredients.
- **Unique Value Proposition:** "Farm-direct Sarawak pepper, fully certified, GPS-traceable, delivered in 7 days — at 20% below intermediary pricing."
- **Solution:** B2B digital marketplace with farmer QR code certification, direct buyer-farmer messaging, integrated logistics API, and blockchain-backed supply chain traceability.
- **Channels:** Industry trade shows (SIAL Paris, FoodEx Tokyo); LinkedIn outreach to specialty food buyers; MATRADE export development partnerships.
- **Revenue:** 8% transaction commission on each trade; premium certification subscription for farmers at RM50/month.
- **Key Metrics:** Number of farmer onboardings per month; repeat buyer rate; average transaction value.
- **Unfair Advantage:** Deep relationships with Sarawak Pepper Board and SEDC; Sarawak pepper's protected geographical indication (GI) status; first-mover in direct-trade digital platform for Sarawak pepper.

4.4 Customer Discovery and Validation (Lean Startup)

The Lean Startup methodology, developed by Eric Ries and building on Steve Blank's customer development framework, provides a scientific approach to creating and managing startups under conditions of extreme uncertainty. The core principle is that startup success cannot be predicted or planned — it must be discovered through rapid experimentation and learning. The Build-Measure-Learn feedback loop is the engine of this discovery process: entrepreneurs build

a Minimum Viable Product (MVP), measure how customers actually respond to it, learn from those responses, and use that learning to decide whether to persevere (continue in the current direction), pivot (change a fundamental hypothesis about the product or market), or abandon the idea entirely.

Steve Blank's Customer Development Process

Steve Blank's customer development model — described in his 2012 book *The Startup Owner's Manual* — provides a structured four-phase process for validating entrepreneurial hypotheses: (1) Customer Discovery — getting out of the building and talking to potential customers to test the problem hypothesis (is the problem you think you are solving actually a problem customers experience and want solved?); (2) Customer Validation — testing whether customers will actually pay for your solution, at the price point your business model requires; (3) Customer Creation — scaling customer acquisition once the problem-solution fit has been validated; and (4) Company Building — transitioning from a learning-oriented startup organisation to an execution-oriented scaled enterprise.

Customer Discovery Applied to Sarawak Tourism

Consider a student team from i-CATS MBA who wants to build an eco-tourism booking platform specifically for adventure experiences in Sarawak's national parks and indigenous community homestays. The customer discovery process would begin with 20–30 in-depth interviews with potential customers — both domestic tourists (likely from Kuching, Miri, KL, and Singapore) and international tourists who have expressed interest in authentic Borneo experiences through travel forums and social media groups. The interviews should explore: how customers currently discover and book Sarawak eco-tourism experiences; what frustrations they have with the current process; what information they need to feel confident booking a homestay with an Iban family in Lemanak; how much they would pay for a curated, quality-assured 3-day rainforest experience; and whether they would prefer a digital platform, a physical tour operator, or a combination. The insights from these interviews — not the team's assumptions — should define the core feature set of the MVP and the initial customer segment.

The Minimum Viable Product (MVP)

The MVP is the simplest possible version of the product that can be built quickly enough and cheaply enough to generate real learning from real customers. It is not a prototype — it is a complete, functional (if limited) product that customers can actually use and pay for, generating real revenue and real behavioural data. The MVP for the Sarawak eco-tourism platform might be a simple WhatsApp-based booking system with a curated PDF brochure of 5 handpicked experiences, a manual payment process, and a personal concierge service — launched in 4 weeks, with no custom software development required. If this MVP generates repeat bookings and positive word-of-mouth, the team has validated demand before investing in platform development. If it does not, they have learned this at a fraction of the cost of building the full platform first.

4.5 Legal Requirements for New Ventures in Malaysia

Establishing a business in Malaysia requires compliance with a set of legal and regulatory requirements that vary depending on the business structure chosen, the industry sector, and the geographic location of operations. Understanding these requirements before launching is not merely a legal obligation — it is a strategic necessity, as regulatory non-compliance can result in fines, forced closure, investor withdrawal, and reputational damage that permanently impairs the venture's growth prospects. This subtopic provides a comprehensive overview of the key legal requirements applicable to new ventures in Malaysia, with specific attention to Sarawak-specific requirements where applicable.

Business Registration with SSM

All businesses operating in Malaysia must be registered with the Companies Commission of Malaysia (SSM — Suruhanjaya Syarikat Malaysia) under either the Registration of Businesses Act 1956 (for sole proprietorships and partnerships) or the Companies Act 2016 (for Sdn Bhd and Berhad companies). SSM registration can be completed online through the MyCoID portal (<https://www.ssm-einfo.my>) for most business types. The choice of business structure has significant legal, tax, and liability implications:

Business Structure	Description	Liability	Minimum Setup Cost	Best For
Sole Proprietorship (Enterprise)	Business owned and operated by one individual under personal name or trade name	Unlimited personal liability	RM30– RM60/year (SSM fee)	Very small businesses, freelancers, traders — low risk activities
Partnership	Business owned by 2–20 persons; governed by the Partnership Act 1961	Unlimited joint and several liability for partners	RM60– RM120/year (SSM fee)	Professional partnerships, small family businesses
Sdn Bhd (Private Limited Co.)	Separate legal entity; limited liability for shareholders; minimum 1 shareholder and 1 director	Limited to paid-up share capital	RM1,000– RM3,000 (company secretary + SSM fees)	Most SMEs, tech startups seeking external investment
Berhad (Public Limited Co.)	Can raise capital from the public through Bursa Malaysia; subject to full public company regulations	Limited to paid-up share capital	High — legal and regulatory compliance costs	Companies planning IPO or large public fundraising
Limited Liability Partnership (LLP)	Hybrid structure combining partnership flexibility with limited liability; governed by LLP Act 2012	Limited liability for all partners	RM500– RM1,000	Professional service firms, consulting practices

Licences and Permits

Beyond SSM registration, most businesses require specific operating licences and permits depending on their industry and activities. The Ministry of Domestic Trade and Cost of Living (MDTCC/KPDN) regulates trade and retail licences. The Ministry of Health (KKM) regulates food, pharmaceutical, and medical device businesses. Bank Negara Malaysia (BNM) regulates all financial services activities including money lending, insurance, and payment services. Environmental permits from the Department of Environment (DOE) are required for businesses with significant environmental impacts. In Sarawak specifically, land-related businesses must comply with the Sarawak Land Code and obtain approvals from the Land and Survey Department Sarawak (JTS), which has jurisdiction independent of the federal National Land Code. Professional businesses (engineering, architecture, legal services, accounting) must register with the relevant Sarawak professional bodies — several of which (including the Sarawak Law Society and the Board of Engineers Malaysia Sarawak Branch) have jurisdiction separate from their Peninsular Malaysia equivalents.

Halal Certification and Food Industry Requirements

For entrepreneurs in the food and beverage industry in Sarawak — where Muslim consumers constitute over 50% of the population and Halal certification is a significant competitive advantage for export — Halal certification from the Department of Islamic Development Malaysia (JAKIM) is an important legal and commercial consideration. JAKIM's Halal certification requires that all ingredients, production processes, packaging, handling, and premises meet the Malaysian Halal Standard (MS 1500:2019). The certification process involves an application through JAKIM's online portal, a facility audit, and annual renewal. For Sarawak food producers targeting export markets in the Middle East and OIC countries, JAKIM Halal certification is effectively a market access requirement rather than merely a domestic compliance matter.

Employment Law and HR Compliance

Once a venture begins hiring employees, it becomes subject to Malaysian employment law: the Employment Act 1955 (as amended in 2022), the Employees Provident Fund (EPF) Act 1991 (mandatory 13% employer contribution + 11% employee contribution for permanent employees), the Employees' Social Security Act (SOCSO) 1969, the Human Resources Development Fund (HRDCorp) levy for applicable businesses, and the Income Tax Act 1967 (withholding and remitting employees' income tax via the PCB/MTD system). Non-

compliance with EPF, SOCSO, and tax remittance obligations carries criminal penalties under Malaysian law and is a common source of legal exposure for early-stage ventures that do not invest adequately in HR compliance from the outset.

4.6

Starting a Business in Sarawak: Practical Steps and Local Resources

Beyond the national legal and regulatory framework, Sarawak offers a distinctive ecosystem of practical resources and support programmes for new venture founders. Understanding and actively engaging with this ecosystem significantly reduces the cost, time, and risk of starting a business in Sarawak compared to attempting to navigate the entrepreneurial journey in isolation.

Step-by-Step: Practical Business Startup in Sarawak

Step	Action	Key Resource / Authority	Typical Timeline
1	Conduct feasibility analysis and validate the business idea with potential customers	i-CATS MBA network; SDEC StartSarawak; SEDC incubation programme	2–4 weeks
2	Choose business structure and register with SSM via MyCoID portal	SSM Malaysia (www.ssm.com.my); Chartered Secretarial companies in Kuching	1–3 days (online) or 1 week (physical)
3	Open a business bank account	Maybank Business, CIMB BizChannel, RHB Reflex; bring SSM registration certificate	1–3 days
4	Apply for required industry licences and permits	MDTCC, KKM, DOE, JTS Sarawak (for land-related activities), BNM (for financial services)	1–12 weeks (varies by licence type)
5	Register for tax — Company Income Tax (LHDN), Service Tax (if turnover > RM500k), SST	Lembaga Hasil Dalam Negeri (LHDN) Malaysia (www.hasil.gov.my)	1–2 weeks
6	Register employees with EPF (KWSP) and SOCSO	KWSP Kuching Branch; SOCSO Sarawak; can be done online via kwsp.gov.my	1 week
7	Apply for startup funding/grants if eligible	TEKUN Nasional, MARA, SME Corp Malaysia Sarawak, Cradle Fund, SDEC grants	4–12 weeks (varies by programme)
8	Access co-working and incubation support	Common Ground Kuching, SDEC Digital Hub, SEDC Incubation Centre, i-CATS Entrepreneurship Hub	Ongoing

Key Sarawak Entrepreneurship Support Organisations

- Sarawak Digital Economy Corporation (SDEC): The primary government agency for digital economy and startup development in Sarawak. Provides grants, co-working spaces, mentorship, and market development support through the StartSarawak programme. Website: www.sdec.com.my
- Sarawak Economic Development Corporation (SEDC): State-owned investment and development corporation with incubation programmes, equity financing, and business development support for Sarawak SMEs. Website: www.sedc.com.my
- SME Corp Malaysia (Sarawak Regional Office): Federal agency providing grant programmes, advisory services, and entrepreneur development training for Malaysian SMEs. Sarawak office located in Kuching. Website: www.smecorp.gov.my
- TEKUN Nasional: Micro-financing programme providing soft loans (typically RM5,000–RM100,000) for Bumiputera entrepreneurs and small businesses in Sarawak and Malaysia. Website: www.tekun.gov.my
- Majlis Amanah Rakyat (MARA): Federal agency providing educational, financial, and entrepreneurial development support for Bumiputera Malaysians, including business loans, advisory services, and the MARA Digital programme. Website: www.mara.gov.my
- Sarawak Federation of Manufacturers (SFM): Industry association representing manufacturing and industrial SMEs in Sarawak; provides networking, advocacy, and business development support. Website: www.sfm.org.my
- Common Ground Kuching: Premium co-working space in Kuching providing hot desks, private offices, meeting rooms, and community events. Suitable for early-stage ventures needing professional workspace without long-term lease commitment.
- Cradle Fund Sdn Bhd: Malaysia's national early-stage technology startup funder, providing grants of RM150,000–RM500,000 for technology commercialisation under the CIP 500 programme. Sarawak-based startups are eligible. Website: www.cradle.com.my

SUMMARY

Managerial Insight: PepperDirect — A Hypothetical Sarawak Startup

Sarawak produces over 25,000 tonnes of pepper annually, making it the largest pepper-producing state in Malaysia and a globally recognised source of premium white pepper. A digital platform connecting certified Sarawak pepper farmers directly to international specialty food buyers — eliminating the multiple middleman layers that currently capture 70–75% of the final export value — represents a classic opportunity recognition exercise: a real, well-documented problem (farmer income share); a large and accessible addressable market (global specialty food industry worth USD 280 billion); a technology-enabled solution (digital trade platform with blockchain traceability); and a defensible competitive moat (Sarawak pepper's Protected Geographical Indication status and the SDEC-backed digital infrastructure). Students undertaking CA1: Business Proposal should consider applying the feasibility analysis and Lean Canvas frameworks from LU4 to similarly grounded Sarawak or Malaysian opportunity identification.

Self-Reflection



1. Identify one problem you have personally experienced as a resident of Sarawak or Malaysia — in your daily life, your work, your community, or your industry. Sketch a rough Lean Canvas for a startup that could solve this problem. What is your Unique Value Proposition? Who is your early adopter customer segment? What is the single biggest unknown you would need to validate first through customer discovery before committing resources to building the solution?

SUMMARY

Entrepreneurial opportunities are distinct from ideas: opportunities are defined by a real, unmet customer need, a viable business model, and a technically achievable solution — validated by market evidence rather than founder assumptions.

Sources of entrepreneurial opportunities include personal experience, technology enablement, market inefficiencies, demographic trends, and regulatory changes — all of which are particularly rich in Sarawak's rapidly evolving economic context.

Feasibility analysis across three dimensions — market, technical, and financial — is the critical due diligence step between idea generation and business model design, preventing the costly mistake of building solutions to problems that customers either do not have or will not pay to solve.

The Lean Canvas provides a one-page business model template for early-stage ventures, forcing clarity on nine key dimensions: Problem, Customer Segments, Unique Value Proposition, Solution, Channels, Revenue Streams, Cost Structure, Key Metrics, and Unfair Advantage.

Customer discovery and the Lean Startup Build-Measure-Learn cycle provide a scientific approach to validating business model hypotheses before significant capital is committed — the MVP is a learning tool, not a final product.

All Malaysian businesses must register with SSM. The choice of business structure (sole proprietorship, partnership, Sdn Bhd, LLP) has significant implications for liability, taxation, governance, and investment readiness.

Sarawak offers a rich ecosystem of entrepreneurship support through SDEC, SEDC, SME Corp, TEKUN, MARA, Cradle Fund, and the SFM — entrepreneurs who actively engage with this ecosystem significantly improve their venture's chances of survival and growth.

Sarawak-specific legal requirements include Land and Survey Department approval for land-related businesses and compliance with specific professional registration requirements under Sarawak state law.

Multiple Choice Questions (MCQS):

1. The Lean Canvas is best described as:
 - A) A financial projection spreadsheet
 - B) A one-page business model template focused on problems, solutions, and key metrics — ANSWER
 - C) A marketing brochure
 - D) A legal registration document

2. Customer discovery in the Lean Startup methodology involves:
 - A) Surveying customers after product launch
 - B) Testing assumptions about customers before building the product — ANSWER
 - C) Hiring a market research firm
 - D) Analysing competitor products

3. In Malaysia, a Sendirian Berhad (Sdn Bhd) is best described as:
 - A) A sole proprietorship
 - B) A private limited company with limited liability — ANSWER
 - C) A cooperative society
 - D) A government-linked corporation

4. Opportunity recognition differs from idea generation in that:
 - A) Opportunity recognition requires no market research
 - B) Opportunity recognition involves identifying a specific problem, target market, and viable solution validated by market evidence — ANSWER
 - C) Idea generation is more complex
 - D) They are the same concept

5. The company registration authority in Malaysia is:
 - A) MDTCC
 - B) BNM (Bank Negara Malaysia)
 - C) SSM (Suruhanjaya Syarikat Malaysia / Companies Commission) — ANSWER

D) EPU (Economic Planning Unit)

6. A key principle of the Lean Startup approach is:

- A) Raise maximum funding before testing the idea
- B) Build the entire product before showing customers
- C) Build-Measure-Learn through rapid iteration and minimum viable products —

ANSWER

D) Follow traditional business plan methodology exclusively

7. Sarawak's pepper industry represents an entrepreneurial opportunity primarily because:

- A) Pepper is expensive to produce
- B) Sarawak is the largest pepper producer in Malaysia with significant export potential and supply chain inefficiencies — ANSWER

C) There are too many competitors

D) Pepper demand is declining globally

Questions for Discussion

1. A group of i-CATS MBA students wants to launch a food technology startup in Kuching. Using the feasibility analysis framework and Lean Canvas approach from LU4, guide them through the key steps from idea to validation — including the legal requirements they must fulfil under Malaysian law to operate their venture. (CLO2)
2. Evaluate the IDEO Desirability-Viability-Feasibility framework as a tool for opportunity assessment in the Sarawak context. Using a real or hypothetical Sarawak startup idea, demonstrate how this framework would help a founder decide whether to proceed with, modify, or abandon their venture concept. (CLO2)
3. Compare the Build-Measure-Learn approach of the Lean Startup with the traditional waterfall product development methodology. Under what conditions — specific to the Sarawak startup context — would each approach be most appropriate? What are the risks of applying Lean Startup methods in a resource-constrained environment? (CLO2)

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Formative Exercise: New Venture Concept (CA1 Preparation)

SUMMARY

Assignment: Identify a real or realistic problem in Sarawak or Malaysia and sketch a Lean Canvas for a venture that addresses it. In 500 words, describe: (a) the problem and the evidence that it is real and significant; (b) your proposed solution and target customer segment; (c) your Unique Value Proposition — why would customers choose your solution over existing alternatives?; and (d) one key assumption about customer behaviour that you would need to validate first before committing resources to build the solution.

This is a formative exercise — not graded. It is direct preparation for CA1: Business Proposal. The venture concept you develop here may (with significant development) form the basis of your CA1 submission. Begin with a problem you genuinely understand from personal or professional experience in Sarawak or Malaysia.

Online Learning Resources

The following resources supplement your study of LU4. All are free or freemium.

Ash Maurya — Lean Canvas Tutorial (YouTube, free)

<https://www.youtube.com/watch?v=pvIN9STpzCQ>

SSM Malaysia — Business Registration Guide (Free, official Malaysian source)

<https://www.ssm.com.my>

SDEC — Sarawak Startup Support (StartSarawak programme, Free)

<https://www.sdec.com.my/startup>

Steve Blank — Startup Owner's Manual Resources
(Free online tools and excerpts)

<https://steveblank.com/tools-and-blogs-for-entrepreneurs>

END OF TOPIC

TOPIC

5

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ETHICAL THEORY AND BUSINESS PRACTICE

THESE ARE THE LEARNING OUTCOMES

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Apply classical ethical theories — Kantian ethics, utilitarianism, and virtue ethics — to entrepreneurial decision-making**
- **Analyse the stages of moral development and their implications for entrepreneur behaviour**
- **Evaluate the ethical obligations of entrepreneurs and corporations under Malaysian law and governance frameworks**
- **Apply good governance principles to technology startups and SMEs in the Sarawak context**



LO Learning Objectives

By the end of this topic you should be able to:

- **Analyse theories of moral development** and their implications for ethical behaviour in business organisations.
- **Apply ethical theories** including utilitarianism, deontology, and virtue ethics, to business management dilemmas.
- **Evaluate corporate governance practices** and assess their effectiveness in promoting accountability and integrity.
- **Design good governance frameworks** appropriate for Malaysian SMEs and emerging digital ventures.

KC Key Concepts and Definitions

Concept	Definition	Example / Notes
Utilitarianism	An ethical theory: the right action produces the greatest good for the greatest number.	<i>A factory closure decision weighed against community employment impact in rural Sarawak.</i>
Deontological Ethics	Ethics based on rules, duties, and obligations regardless of consequences.	<i>Refusing to bribe a government official despite losing a contract — duty over consequence.</i>
Virtue Ethics	An approach focused on character, integrity, and moral virtues of the decision-maker.	<i>An entrepreneur known for honesty and fairness builds a reputation that attracts talent.</i>
Corporate Governance	The system of rules and processes by which a company is directed and controlled.	<i>Board structure, audit committees, and accountability mechanisms in Sarawak GLCs.</i>
Moral Development	The process by which individuals develop the capacity to make ethical decisions.	<i>Kohlberg's stages: from rule-following to principle-based ethical reasoning.</i>
Whistleblowing	Reporting unethical or illegal conduct within an organisation to appropriate authorities.	<i>Malaysia's Whistleblower Protection Act 2010 protects employees who report misconduct.</i>

5.1 Moral Development in Business

Understanding how individuals develop their moral reasoning is foundational to entrepreneurship ethics. The entrepreneur, as the principal decision-maker of a new venture, sets the ethical tone for the entire organisation. Their capacity for moral reasoning directly

influences hiring decisions, customer interactions, supplier relationships, and how the company responds to ethical dilemmas. Lawrence Kohlberg's theory of moral development provides one of the most influential frameworks for understanding this progression.

Kohlberg's Three Levels of Moral Development

Kohlberg (1969) proposed that individuals progress through three levels of moral reasoning, each containing two stages:

- Level 1 — Pre-Conventional: Moral reasoning is driven by self-interest and fear of punishment. Stage 1 — obedience and punishment orientation: actions are judged right or wrong based on whether they result in punishment. Stage 2 — instrumental purpose: actions are judged based on whether they serve one's immediate interests. At this level, an entrepreneur might comply with a contract only to avoid being sued, or engage in ethical behaviour only when it is personally rewarding.
- Level 2 — Conventional: Reasoning is governed by social norms, rules, and the expectations of others. Stage 3 — interpersonal conformity: actions are guided by what a "good person" would do and by maintaining social approval. Stage 4 — law and order orientation: actions are judged by whether they uphold laws and social order. Most adult professionals operate primarily at this level — following rules, complying with regulations, and maintaining the organisation's reputation.
- Level 3 — Post-Conventional: Moral reasoning transcends rules and social norms, guided by universal ethical principles. Stage 5 — social contract: individuals recognise that laws represent social agreements that can be changed when they are unjust. Stage 6 — universal ethical principles: individuals reason from self-chosen ethical principles (e.g., justice, human dignity) that override both law and social convention when they conflict. Post-conventional reasoning is rare in practice but represents the highest ethical ideal.

Application to Malaysian and Sarawak Entrepreneurship

The 1Malaysia Development Berhad (1MDB) scandal — one of the largest financial frauds in global history — illustrates the catastrophic consequences of pre-conventional and conventional moral reasoning at the highest levels of Malaysian business and government. Decision-makers prioritised self-interest, loyalty to social networks, and compliance with the

appearance of legality (conventional reasoning) while facilitating the misappropriation of billions of ringgit. Post-conventional reasoning — asking "Is this just? Does this serve the public good regardless of what those in authority say?" — was absent at critical junctures.

Closer to Sarawak, the long-running controversy over land alienation and logging concessions affecting indigenous communities — including Iban, Penan, and Bidayuh — demonstrates how Stage 4 reasoning (it is legal, therefore it is right) can conflict with Stage 6 reasoning (indigenous land rights are a matter of fundamental human dignity and justice, regardless of how the law is written). Entrepreneurs operating in Sarawak's resources sector who aspire to post-conventional moral reasoning will proactively seek Free, Prior, and Informed Consent (FPIC) from affected communities, even when not legally required to do so.

Implications for Entrepreneurs

Kohlberg's framework has practical implications for how entrepreneurs build ethical organisations:

- **Hiring and culture:** Recruit co-founders and early employees who demonstrate at least conventional reasoning — those who understand rules exist for good reasons, not merely to be worked around.
- **Policy design:** Formal ethics codes and compliance frameworks support Stage 4 reasoning. But truly ethical organisations aspire to cultivate Stage 5 and 6 reasoning — where staff speak up when they observe unjust practices, even when those practices are technically legal.
- **Leadership modelling:** Research consistently shows that founders' moral reasoning level sets the ethical ceiling for the organisation. A pre-conventional leader will attract and retain pre-conventional staff; a post-conventional leader builds an organisation capable of principled dissent.

Limitations of Kohlberg's Framework

Carol Gilligan (1982) critiqued Kohlberg's model as reflecting a Western, individualistic, and male-biased conception of morality. She proposed an "ethics of care" — where moral reasoning centres on relationships, context, and responsibilities to others — as equally valid. In Sarawak's multi-ethnic business environment, where Iban concepts of communal obligation, Chinese

familial loyalty, and Malay Islamic ethics all shape entrepreneur behaviour, a pure Kohlberg framework may miss important cultural dimensions of moral reasoning. Entrepreneurship students are encouraged to integrate both justice-based and care-based ethical reasoning in their decision-making.

5.2 Ethics of Work and Management

The ethics of work and management concerns the moral obligations that arise within the employment relationship and broader organisational context. For entrepreneurs, this involves two distinct but related dimensions: the ethics of how they treat and manage their team, and the professional ethics that govern their own conduct as business leaders. In Sarawak's richly diverse workforce — encompassing Iban, Chinese, Malay, Bidayuh, Melanau, and many other communities — navigating work ethics requires both universal ethical principles and deep cultural sensitivity.

Core Theories of Work Ethics

- **Protestant Work Ethic (Weber, 1905):** Max Weber argued that the cultural values of Protestantism — frugality, diligence, discipline, and the "calling" of work as a moral obligation — provided the cultural foundation for modern capitalism. While this theory originated in a European context, analogous values can be found across Sarawak's entrepreneurial communities: the Chinese emphasis on hard work, thrift, and delayed gratification (勤俭 qín jiǎn); the Iban tradition of bejalai (journeying to prove oneself through labour and enterprise); and Islamic teachings on work as worship (ibadah) and the prohibition of wealth earned through exploitation or deception (riba, gharar).
- **Contractual Ethics (Employment Relationship):** The employment contract creates mutual obligations beyond the legal document. Employers have ethical obligations of fair pay, safe conditions, honest communication, non-discrimination, and respect for employee dignity. Employees have ethical obligations of honesty, diligence, confidentiality, and loyalty. Entrepreneurs who build businesses in Sarawak must navigate these obligations across a workforce with diverse cultural expectations of the employment relationship.

- Stakeholder Theory of the Firm (Freeman, 1984): Edward Freeman's stakeholder theory argues that businesses have ethical obligations not only to shareholders but to all parties affected by their operations — employees, customers, suppliers, communities, and the natural environment. For Sarawak entrepreneurs, this means recognising that the communities adjacent to their operations — whether in Kuching's urban tech ecosystem or in the peat swamp forests of Mukah — have a legitimate stake in how the business operates.

Work Ethics Across Sarawak's Diverse Communities

Managing a multi-ethnic team in Sarawak requires entrepreneurs to understand how cultural values shape work expectations, communication styles, and ethical boundaries. Key dimensions include:

- Iban workforce values: The Iban community has a long tradition of communal labour (bedurok) and a strong orientation toward collective achievement. Iban employees often respond well to group incentives, collaborative problem-solving, and leaders who engage with the whole team rather than singling out individuals. The concept of adat (customary law and social norms) governs many aspects of community interaction that inevitably carry into the workplace.
- Chinese entrepreneurial ethics: Chinese-owned SMEs — which form a substantial proportion of Sarawak's business community, particularly in Sibu, Kuching, and Miri — often operate on family and clan networks, with strong internal loyalty and a long-term orientation. The Confucian concept of guanxi (relational trust and reciprocity) shapes business dealings and hiring practices. Ethical questions arise when guanxi networks exclude ethnic minorities from economic opportunities — underscoring the need for universal ethical principles alongside cultural practices.
- Malay and Islamic business ethics: For Muslim entrepreneurs and employees, Islamic ethics prohibit riba (interest), gharar (excessive uncertainty in contracts), and maisir (gambling and speculation). These prohibitions directly influence acceptable financing structures and business models. The concept of amanah (trustworthiness) and adal (justice) provides a powerful ethical framework consistent with post-conventional moral reasoning. Islamic finance products — takaful insurance, murabaha financing, waqf investment — are growing alternatives for Sarawak entrepreneurs who wish to operate fully within Islamic principles.

Managerial Ethics in Practice

For entrepreneurs building teams in Sarawak, the following management ethics principles are non-negotiable regardless of cultural context: transparent communication about business performance and team expectations; fair and consistent application of policies across all ethnic and religious groups; a zero-tolerance approach to harassment, discrimination, and wage theft; and honest representation of the business to potential recruits (not overpromising roles, equity, or compensation). These principles align with both universal ethical theory and Malaysian employment law, including the Employment Act 1955, the Industrial Relations Act 1967, and the Occupational Safety and Health Act 1994.

5.3 Ethics and Corporations

Corporate ethics — the ethical behaviour of organisations as collective entities — sits at the intersection of business law, governance theory, and applied philosophy. At its core, the question of corporate ethics asks: to whom does the corporation owe obligations, and what standards of conduct should govern its behaviour? This question is especially important for entrepreneurs, who design their organisations from the ground up and thus have the unique opportunity — and responsibility — to embed ethical values from the founding moment.

Key Ethical Theories Applied to Corporate Behaviour

- **Kantian (Deontological) Ethics:** Immanuel Kant argued that moral actions are those that conform to the categorical imperative: "Act only according to that maxim whereby you can at the same time will that it should become a universal law." In corporate terms, this means an entrepreneur should only adopt practices they would be willing to have adopted universally by all businesses. If you are unwilling to accept a world where all companies do what you are considering doing, then you should not do it. A Sarawak tech startup that collects user data without consent is violating the categorical imperative — they would not accept a world where all companies collected their personal data without consent.

- **Utilitarian Ethics:** Developed by Jeremy Bentham and John Stuart Mill, utilitarianism holds that the right action is the one that produces the greatest good for the greatest number of people. In corporate decision-making, this principle supports stakeholder analysis — systematically mapping the effects of a business decision on all affected parties and choosing the option that maximises overall welfare. A Sarawak palm oil company choosing between two processing technologies should weigh the financial savings, worker safety impacts, community health effects, and environmental consequences of each option before deciding.
- **Virtue Ethics:** Drawing on Aristotle's *Nicomachean Ethics*, virtue ethics argues that moral behaviour flows from the character of the actor rather than from rules or consequences. The virtuous entrepreneur cultivates character traits — honesty, courage, fairness, prudence, generosity, and practical wisdom (*phronesis*) — that guide decision-making across all situations. Unlike deontological and utilitarian theories, virtue ethics asks not "What rule applies?" or "What produces the best outcome?" but "What would a person of excellent character do here?"

Corporate Governance Failures in Malaysia

Malaysia has produced high-profile examples of corporate governance failures that illuminate the ethical theories above. The 1MDB scandal involved a state-owned investment fund established in 2009 that became the vehicle for an alleged USD 4.5 billion fraud involving multiple parties including former Prime Minister Najib Razak, Goldman Sachs investment bankers, and international money laundering networks. From a Kantian perspective, the decision-makers clearly violated the categorical imperative — they would not accept a world where all governments operated their pension funds as personal enrichment vehicles. From a utilitarian perspective, the harm to Malaysia's public finances, international reputation, and social trust was immense. From a virtue ethics perspective, the episode reflects a wholesale absence of the character traits — honesty, prudence, justice — that good governance requires.

Good Governance Contrasted: Bursa Malaysia and the MCCG 2021

In contrast to governance failures, Malaysia has also developed robust governance frameworks. Bursa Malaysia's listing requirements mandate disclosure of material information, connected party transactions, and major shareholders. The Malaysian Code on Corporate Governance

(MCCG) 2021, issued by the Securities Commission Malaysia, provides a principles-based framework applicable to all public-listed companies and increasingly adopted voluntarily by private SMEs and GLCs. The five key governance principles under MCCG 2021 are:

- **Board Leadership and Effectiveness:** A qualified, independent, and diverse board provides strategic oversight and accountability.
- **Effective Audit and Risk Management:** An independent audit committee and robust risk management framework protect the integrity of financial reporting.
- **Integrity in Corporate Reporting and Significant Transactions:** Transparent, accurate, and timely disclosure to all stakeholders.
- **Rights and Responsibilities of Shareholders:** Protecting minority shareholders' rights and enabling meaningful shareholder participation.
- **Sustainability and Responsibility:** Integrating environmental, social, and governance (ESG) considerations into the business model and reporting.

These principles are not exclusively relevant to large corporations. Sarawak entrepreneurs building Sdn Bhd companies benefit from adopting MCCG-inspired governance from Day 1 — establishing board oversight, financial controls, and ethical standards that will support future growth, investor confidence, and regulatory compliance.

5.4 Good Governance in Practice

Good governance translates ethical theory into operational practice. It encompasses the systems, processes, and norms by which organisations are directed, controlled, and made accountable. For entrepreneurs, governance is not merely a compliance exercise — it is the institutional architecture that determines whether the organisation's values are consistently applied as the company grows, scales, and faces new challenges. Good governance is particularly critical in the Sarawak context, where the interplay of state politics, indigenous land rights, resource industries, and a growing digital economy creates complex governance environments.

The Four Pillars of Good Governance

- **Accountability:** Leaders are answerable for their decisions to identified stakeholders — shareholders, employees, regulators, and the public. Accountability mechanisms include financial audits, board oversight, regulatory reporting, and whistleblower protection. In practice, accountability requires that someone in the organisation has the power and the obligation to ask hard questions about how decisions are made and resources are used.
- **Transparency:** Information relevant to stakeholders' interests is disclosed proactively, accurately, and in a timely manner. Transparency reduces information asymmetry — the gap between what insiders know and what outsiders (investors, customers, employees) know. Transparent governance builds trust; opaque governance enables exploitation. For Sarawak SMEs, transparency means issuing clear financial statements, disclosing ownership structures, and communicating openly about business performance — even when it is difficult.
- **Fairness:** All stakeholders are treated equitably, without discrimination or favouritism. In the Malaysian context, fairness in governance includes ensuring that minority shareholders' rights are protected, that procurement decisions are not manipulated by personal relationships (*guanxi*), and that employees are assessed on merit rather than ethnicity, religion, or family connection. Fairness does not require identical treatment — it requires treatment that is appropriate, proportionate, and justified by legitimate criteria.
- **Responsibility:** Leaders exercise their authority in the interests of the organisation and its stakeholders, not for personal gain. Responsibility in corporate governance is codified in the duties of company directors under the Companies Act 2016 — including the duty of care, the duty to act in good faith in the company's best interests, and the duty to avoid conflicts of interest.

Good Governance in Sarawak: Selected Examples

The Sarawak state government's BLESS Programme (Bumiputera Liaison for Enterprise Support and Success) is a structured programme designed to improve governance and business capabilities among Sarawak Bumiputera entrepreneurs. BLESS provides governance training, business mentoring, and access to financing — recognising that governance weakness is a root cause of SME failure in the Sarawak Bumiputera community. By building governance capacity

at the startup and early-growth stage, BLESS aims to create more sustainable enterprises that survive beyond the first generation of family ownership.

PETROS (Petroleum Sarawak Berhad), established in 2017 following Sarawak's assertion of constitutional rights over its petroleum resources, provides an instructive example of governance in a high-stakes, politically sensitive context. PETROS was designed with governance mechanisms that balance Sarawak state government ownership with operational independence, professional management, and transparent regulatory frameworks. The creation of a state petroleum company with credible governance — rather than a patronage vehicle — was itself a governance achievement, requiring the separation of political ownership from operational management. PETROS's governance structure is progressively modelled on international petroleum company best practices, including independent audit functions and transparent procurement.

Applying Good Governance to Sarawak Tech Startups

Even the smallest technology startup in Kuching benefits from governance discipline. A practical governance checklist for early-stage Sarawak startups includes:

- **Founding documents:** A shareholders' agreement that clearly defines ownership proportions, decision-making rules, exit provisions, and founder vesting schedules — preventing governance crises when founders disagree.
- **Financial controls:** Separation of the person who approves expenditure from the person who processes it. Bank account signatories requiring two authorisations for amounts above a defined threshold. Monthly management accounts reviewed by the founding team or an advisory board.
- **Conflict of interest policy:** A written policy requiring directors and founders to declare any interest they have in transactions the company is considering. This is legally required under the Companies Act 2016 and ethically essential regardless of legal requirement.
- **Data governance:** A data protection policy consistent with Malaysia's Personal Data Protection Act (PDPA) 2010, covering data collection consent, data storage, access controls, and breach notification procedures. For tech startups that collect customer data, this is both a legal obligation and a governance responsibility.

- **Advisory board:** An informal advisory board of experienced entrepreneurs, industry mentors, or academic experts provides an accountability mechanism even before a formal board of directors is required. Advisory boards improve decision quality, provide network access, and signal to investors that the founding team values external oversight.

Managerial Insight: MCCG 2021 — Relevance to Sarawak Entrepreneurs

Malaysia's Code on Corporate Governance (MCCG) 2021 — Relevance to Sarawak Entrepreneurs: Even small Sarawak companies aspiring to grow into Sdn Bhd or Bhd entities benefit from adopting MCCG principles early. The five key governance principles — Board Leadership, Effective Audit, Risk Management, Rights of Shareholders, and Sustainability — provide a governance roadmap applicable to any tech startup or established SME in Sarawak. The full MCCG 2021 document is available as a free download from the Securities Commission Malaysia website at <https://www.sc.com.my> and is required reading for entrepreneurs seeking external investment.

Self-Reflection



1. Think about the highest level of Kohlberg's moral development — post-conventional reasoning guided by universal ethical principles. Give an example from your own professional experience where you had to make a decision based on principle rather than rules or self-interest. How does this apply to entrepreneurship?

Questions for Discussion

1. Evaluate the ethical obligations of a technology startup founder in Sarawak when collecting customer data through a mobile app. Using the ethical theories from LU5 (Kantian ethics, utilitarianism, virtue ethics), analyse the potential harms and the entrepreneur's responsibilities under the Malaysian Personal Data Protection Act (PDPA) 2010. (CLO2)

SUMMARY

LU5 advanced beyond the applied business ethics of LU2 to examine the theoretical foundations that underpin ethical decision-making in entrepreneurship. Kohlberg's model of moral development — progressing from pre-conventional self-interest through conventional rule-following to post-conventional principled reasoning — provides entrepreneurs with a framework for assessing both their own moral reasoning and the ethical culture of their organisations.

Three major ethical theories guide corporate decision-making: Kantian ethics demands that every business practice be justifiable as a universal principle; utilitarian ethics requires that decisions maximise overall welfare across all affected stakeholders; and virtue ethics calls for the cultivation of character — honesty, fairness, courage, and practical wisdom — as the foundation of consistent ethical conduct.

Malaysia's corporate governance landscape, shaped by high-profile failures (1MDB) and strengthened by the MCCG 2021, provides Sarawak entrepreneurs with both cautionary lessons and positive models. Good governance — accountability, transparency, fairness, and responsibility — is not a constraint on entrepreneurial success but a precondition for it. Entrepreneurs who build governance disciplines from Day 1 are better positioned to attract investment, maintain stakeholder trust, and sustain their ventures across economic cycles and leadership transitions. The Personal Data Protection Act (PDPA) 2010 adds a specific legal layer to the ethical obligations of technology entrepreneurs, requiring consent-based data collection and robust data protection practices.

Multiple Choice Questions (MCQS):

1. Kohlberg's highest stage of moral development is characterised by:
 - A) Obedience to authority
 - B) Following social norms and laws
 - C) Reasoning based on universal ethical principles
 - D) Pursuing personal gain

2. Kantian ethics (deontological approach) judges actions by:
 - A) Their consequences
 - B) The character of the actor
 - C) Whether they follow a universal moral law (categorical imperative)
 - D) Social acceptance

3. Utilitarian ethical theory holds that the right action is the one that:
 - A) Follows religious principles
 - B) Produces the greatest good for the greatest number
 - C) Benefits the decision-maker most
 - D) Conforms to legal requirements

4. The Malaysian Code on Corporate Governance (MCCG) 2021 is issued by:
 - A) Bank Negara Malaysia
 - B) Companies Commission of Malaysia (SSM)
 - C) Securities Commission Malaysia
 - D) Ministry of Finance

5. Good governance in a Sarawak company primarily requires:
 - A) Having a large board of directors
 - B) Accountability, transparency, fairness, and responsibility in management
 - C) Maximising dividends every quarter
 - D) Avoiding all government regulations

6. Under Malaysia's PDPA 2010, entrepreneurs collecting customer data must:
- A) Share data freely with business partners
 - B) Obtain consent, state the purpose, and protect data from unauthorised access
 - C) Store all data overseas for security
 - D) Share data with competitors for benchmarking
7. 'Virtue ethics' in entrepreneurship focuses on:
- A) Following the law strictly
 - B) Calculating the best outcome for shareholders
 - C) Developing character traits like honesty, courage, and fairness
 - D) Maximising market share

Online Learning Resources

The following free resources supplement your study of this unit.

Crash Course — Ethics Series (YouTube, Free)

<https://www.youtube.com/watch?v=FOoffXFpAIU>

Securities Commission Malaysia — MCCG 2021 (Free Download)

<https://www.sc.com.my/development/corporate-governance/the-malaysian-code-on-corporate-governance>

MACC — Business Ethics Module (Free, Malaysian)

<https://www.macc.gov.my>

MIT OpenCourseWare — Business Ethics Lecture
Notes (Free)

<https://ocw.mit.edu>

END OF TOPIC

TOPIC

6

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DEVELOPING DIGITAL BUSINESS STRATEGY

TOPIC 6 : DIGITAL BUSINESS STRATEGY

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Analyse the digital adoption landscape among Malaysian and Sarawak SMEs and the barriers to digital transformation**
- **Evaluate the role of ERP, CRM, and Knowledge Management Systems in enabling digital business operations**
- **Develop a digital business strategy framework appropriate for a Sarawak-based SME or startup**
- **Apply digital strategy tools (Porter's value chain, SDEC Blueprint) to identify opportunities for competitive advantage**



LO Learning Objectives

By the end of this topic you should be able to:

- **Assess the digital technology adoption patterns of SMEs** and identify drivers and barriers to digital transformation.
- **Evaluate the role of ERP, CRM, and knowledge management systems** in enhancing business efficiency and customer value.
- **Develop a digital business strategy** aligned to the competitive landscape and customer needs of a Sarawak-based venture.
- **Apply digital strategy frameworks** to create sustainable competitive advantage through technology integration.

KC Key Concepts and Definitions

Concept	Definition	Example / Notes
Digital Transformation	Integration of digital technology into all areas of a business to fundamentally change operations.	<i>Sarawak SMEs adopting e-commerce and digital payments post-COVID-19.</i>
ERP System	Integrated software systems that manage core business processes across an organisation.	<i>SAP S/4HANA adopted by Sarawak Energy Berhad to streamline operations.</i>
CRM System	Technology-driven strategies for managing customer interactions to improve retention.	<i>Salesforce CRM helps Sarawak insurers track leads, claims, and renewals.</i>
Knowledge Management System	Systems for capturing, sharing, and applying organisational knowledge.	<i>Sarawak Forestry uses KMS to document sustainable land management practices.</i>
Digital Business Strategy	A strategy that leverages digital technologies to create competitive advantage.	<i>Sarawak's SDEC 2030 blueprint drives public and private sector digital strategy alignment.</i>
Technology Adoption	The process by which organisations integrate new technologies into their processes.	<i>Rogers' Diffusion of Innovation explains why some Sarawak SMEs adopt e-wallets faster.</i>

6.1 The Adoption and Use of Technology Among SMEs

Digital adoption is the process by which businesses integrate digital technologies into their operations, processes, and business models. For small and medium enterprises (SMEs), digital adoption is both a strategic opportunity — enabling market reach, operational efficiency, and new revenue streams — and a source of anxiety, given the costs, skills gaps, and organisational disruption that digitalisation demands. In Malaysia, and particularly in Sarawak, the rate of

digital adoption among SMEs varies dramatically by geography, industry sector, and entrepreneurial capacity.

The Malaysian SME Digital Landscape

SMEs constitute 97.4% of all business establishments in Malaysia and account for approximately 38.2% of GDP (SME Corp Malaysia, 2024). Despite their economic centrality, digital adoption among Malaysian SMEs remains uneven. According to the SME Digitalisation Grant programme data, adoption of e-commerce, cloud computing, and digital accounting tools has accelerated since 2020 — accelerated partly by the COVID-19 pandemic, which forced many SMEs to digitalise or cease operations. However, adoption of more sophisticated technologies — ERP systems, data analytics, AI-powered tools — remains limited to larger or more resourced SMEs.

Digital Adoption in Sarawak: The Urban-Rural Divide

The Sarawak Digital Economy Corporation (SDEC) was established in 2021 to accelerate digital economy growth across Sarawak through its Sarawak Digital Economy Blueprint 2030. The Blueprint identifies connectivity infrastructure as the foundational enabler of digital adoption — without reliable broadband internet, even willing SMEs cannot access cloud-based tools, e-commerce platforms, or digital payment systems.

This connectivity gap is starkly visible in Sarawak's geography. Urban centres such as Kuching (population approx. 700,000) and Miri (300,000) have reasonably good broadband penetration and an ecosystem of digitally-savvy entrepreneurs, co-working spaces, and tech support services. In contrast, interior districts such as Kapit, Limbang, and Ba'Kelalan face chronic connectivity challenges — limited fibre infrastructure, dependency on satellite internet, and mobile signals that drop to 3G or Edge outside district towns. SMEs in these areas are effectively excluded from many cloud-based digital tools, severely limiting their competitive capability.

SDEC's 5G rollout programme, targeting Kuching and Bintulu as initial deployment areas, represents a significant infrastructure investment. When extended to interior districts — a stated long-term goal — it could transform digital business opportunities for Sarawak's

indigenous and rural entrepreneurs. The aspiration is to close the digital divide so that a pepper farmer in Kapit can access the same digital marketplace tools as a retail business in Kuching's Jalan Song commercial area.

Barriers to Digital Adoption Among Sarawak SMEs

- **Connectivity gaps:** As described above, many rural areas lack the reliable broadband infrastructure needed for cloud-based tools. Even where connectivity exists, bandwidth may be insufficient for data-heavy applications like video conferencing or cloud ERP.
- **Digital literacy deficits:** Many SME owners, particularly in the 40+ age group and in traditional industries, have limited experience with digital tools. Fear of technology, unfamiliarity with cybersecurity, and lack of confidence in using digital platforms are significant adoption barriers that training programmes alone cannot quickly overcome.
- **Cost and perceived ROI:** For a micro-enterprise with monthly revenue of RM 5,000, even a RM 200/month SaaS subscription represents a 4% overhead — a significant cost. Without a clear and demonstrable return on investment, SME owners are reluctant to commit. Government subsidy programmes (SME Digitalisation Grant, SDEC grants) partially address this but require awareness and administrative capability to access.
- **Cybersecurity and trust concerns:** Many SME owners are concerned about the security of cloud-based data storage, online payment fraud, and digital identity theft. These concerns — while sometimes overstated — represent a real barrier that can only be overcome through education, trust-building by platform providers, and visible enforcement of digital crime laws.

The Technology Acceptance Model (TAM)

Davis (1989) proposed the Technology Acceptance Model to explain why individuals and organisations adopt or reject new technologies. TAM identifies two primary determinants of adoption: Perceived Usefulness (the degree to which the technology improves job performance) and Perceived Ease of Use (the degree to which using the technology requires minimal effort). For Sarawak SME entrepreneurs promoting digital tools to their staff and supply chain partners, designing for simplicity (ease of use) and demonstrating clear business benefits (usefulness) are the two most effective levers for driving adoption.

6.2 Enterprise Resource Planning (ERP) Systems

Enterprise Resource Planning (ERP) systems are integrated software platforms that consolidate and manage an organisation's core business processes — including finance, procurement, inventory, manufacturing, human resources, and supply chain management — within a single unified system. Prior to ERP, organisations typically operated with separate, incompatible software systems for each business function: an accounting package that did not talk to the inventory system, which did not integrate with the payroll system, generating duplication, errors, and management blind spots.

How ERP Systems Create Value

- **Single source of truth:** All business data — financial transactions, inventory levels, customer orders, employee records — is stored in one integrated database. Managers access a consistent, real-time view of the business from any function.
- **Process automation:** Routine transactions (purchase order approval workflows, invoice generation, payroll calculation, inventory reorder triggers) are automated, reducing manual effort and human error.
- **Cross-functional visibility:** A sales order automatically updates inventory, triggers production planning, and generates a receivable in the finance ledger — all in real time. This end-to-end visibility is the defining feature of an integrated ERP.
- **Management reporting:** Pre-built dashboards and customisable reports draw on live ERP data to support management decision-making — from cash flow projections to supplier performance scorecards.

ERP in Sarawak's Business Context

SAP ERP — the global market leader — is used by several major Sarawak-based corporations, including timber and plantation companies. For large-scale timber operations, SAP ERP coordinates the complex logistics of harvesting, transportation, mill processing, quality grading, and export documentation — handling thousands of transactions per day across distributed operations spanning hundreds of kilometres of Sarawak's forest interior. The integration of GPS tracking, satellite communications, and SAP ERP allows companies like

Samling Group and Rimbunan Hijau to manage operations that were previously managed through paper-based systems prone to fraud and inefficiency.

SAINS (Sarawak Information Systems Sdn Bhd), the state's wholly-owned ICT company, provides cloud-based ERP and enterprise applications to Sarawak government agencies and government-linked companies (GLCs). SAINS' offerings include financial management systems, human capital management, and procurement platforms — adapted to the specific requirements of Sarawak's public sector governance frameworks. For Sarawak entrepreneurs seeking affordable ERP infrastructure, SAINS represents a potential implementation partner and a model of what a well-configured ERP can deliver in a Sarawak operating context.

ERP Options Across the Size Spectrum

ERP System	Scale	Cost Model	Sarawak Relevance
SAP S/4HANA	Large Enterprise (200+ users)	Enterprise licence (RM hundreds of thousands/year)	Samling, Rimbunan Hijau, PETROS supply chain partners
Microsoft Dynamics 365	Mid-market (50–500 users)	SaaS per user/month (RM 200–600/user)	Miri oil & gas services companies, SDEC GLCs
Odoo	SME (5–200 users)	Open-source free or SaaS (RM 50–150/user/month)	Kuching tech startups, retail SMEs, F&B chains
QuickBooks / Xero	Micro to Small (1–20 users)	SaaS (RM 80–300/month)	Solo entrepreneurs, early-stage startups, hawker SMEs going digital

ERP Implementation Challenges

ERP projects are notoriously difficult. Studies consistently show 50–60% of ERP implementations exceed budget or schedule, and a significant proportion fail to deliver the

intended benefits. Common failure factors include: insufficient internal project leadership; inadequate data migration planning (garbage-in-garbage-out); resistance to process change by staff who prefer their old methods; under-investment in training; and over-customisation of the software, which makes future upgrades expensive and complex. For Sarawak entrepreneurs embarking on an ERP implementation, engaging an experienced local implementation partner (of which several exist in Kuching and Miri) is strongly recommended.

6.3 Customer Relationship Management (CRM) Systems

Customer Relationship Management (CRM) systems are technology platforms designed to help organisations manage, analyse, and improve their interactions with existing and potential customers. Unlike ERP systems, which are oriented toward internal operations and back-office processes, CRM systems are externally focused — capturing every touchpoint in the customer relationship, from the first sales enquiry through the purchase, post-sale service, repeat business, and referral. In a competitive business environment, where the cost of acquiring a new customer is typically five to seven times the cost of retaining an existing one, CRM capability is a critical entrepreneurial asset.

Core CRM Functions

- **Contact management:** A centralised, searchable database of all customer and prospect records — contact details, interaction history, purchase history, communication preferences, and assigned account manager. This replaces the scattered Excel spreadsheets, business card piles, and WhatsApp conversations that characterise many Sarawak SMEs' "customer management".
- **Sales pipeline management:** Tracking prospective sales from initial lead through qualification, proposal, negotiation, and close. Sales managers can see at a glance which deals are in each stage, forecast revenue based on pipeline data, and identify where individual salespeople are losing opportunities.
- **Marketing automation:** Automated email sequences, targeted promotional messages, and personalised content based on customer behaviour and segmentation. A Sarawak travel company might use CRM marketing automation to send targeted dive trip offers to

customers who previously enquired about diving, and cultural heritage packages to those who enquired about longhouse visits.

- Customer service and support: Ticketing systems that log customer complaints, track resolution status, and escalate unresolved issues — creating accountability in the service function and enabling systematic identification of recurring problems.
- Analytics and reporting: Dashboards showing sales performance by product, region, and salesperson; customer satisfaction trends; lead conversion rates; and customer lifetime value calculations.

CRM Adoption in Sarawak's Service Sectors

Sarawak's tourism and hospitality sector — a key growth pillar under the Sarawak Tourism Strategic Plan — is increasingly adopting CRM platforms. Kuching's boutique hotels and tour operators, facing competition from large online travel agents (OTAs) like Booking.com and Klook, use CRM tools to build direct customer relationships, encourage repeat bookings, and reduce OTA commission dependency. A hotel that knows a repeat guest's preferences — room type, pillow firmness, dietary requirements, preferred activities — can deliver personalised service that no algorithm-driven OTA booking can replicate.

In Miri's oil and gas services sector, Salesforce — the global CRM market leader — is adopted by international energy services companies operating in Sarawak's upstream oil and gas industry. Salesforce enables these companies to manage complex, long-cycle B2B sales processes, track regulatory compliance requirements for each client, and coordinate service delivery across multiple assets and platforms. Locally-owned Miri oil and gas support companies that adopt Salesforce gain competitive parity with international firms in their sales process discipline and customer data management.

Free and Affordable CRM for Sarawak SMEs

HubSpot CRM offers a full-featured free tier that is suitable for most Sarawak SMEs at the startup and early-growth stage. HubSpot provides contact management, deal tracking, email integration, and basic reporting at no cost — with paid tiers unlocking marketing automation, advanced analytics, and customer service tools. For a Kuching eco-tourism company or a Sibuan F&B group with 3–10 sales and service staff, HubSpot Free is sufficient to transform customer

relationship management from WhatsApp-and-memory to a systematic, data-driven capability. Other affordable alternatives include Zoho CRM, Freshsales, and Pipedrive, all of which offer Malaysian language support and local payment options.

6.4 Knowledge Management Systems (KMS)

Knowledge management is the systematic process of capturing, organising, sharing, and leveraging the knowledge within an organisation to improve performance, innovation, and competitive advantage. Knowledge Management Systems (KMS) are the digital tools and platforms that support this process — enabling organisations to store expertise, make it searchable, and ensure that critical knowledge is not lost when key people leave or when processes change. In a knowledge economy, the ability to manage organisational knowledge effectively is a core strategic capability.

Types of Organisational Knowledge

- **Explicit knowledge:** Knowledge that can be codified, documented, and transferred through writing, diagrams, procedures, and databases. Examples: financial models, process manuals, product specifications, customer contracts. Explicit knowledge is the natural province of traditional KMS tools such as document management systems (SharePoint, Confluence, Notion).
- **Tacit knowledge:** Knowledge that resides in the minds of individuals — skills, intuitions, experiential wisdom, and "know-how" that is difficult to articulate. Examples: an experienced field engineer's ability to diagnose machinery faults from sound and vibration; a master pepper farmer's understanding of optimal harvesting time from leaf colour and fragrance; a customer service manager's instinct for when an unhappy customer can be recovered versus when they will inevitably churn. Tacit knowledge is the most valuable and the hardest to manage.

The SECI Model (Nonaka & Takeuchi, 1995)

Nonaka and Takeuchi proposed the SECI model to explain how knowledge is created and transferred in organisations through four modes:

- Socialisation (tacit to tacit): Knowledge is transferred through shared experience — apprenticeship, mentoring, on-the-job learning. A Sarawak longhouse community passes traditional farming and weaving knowledge from elder to youth through direct participation.
- Externalisation (tacit to explicit): Tacit knowledge is codified into documents, templates, or procedures. A startup's founding engineer documents their system architecture decisions so future developers can understand the codebase without the founder present.
- Combination (explicit to explicit): Separate knowledge artefacts are combined to create new knowledge. An entrepreneur combines market research data, financial models, and competitor analysis into a business plan.
- Internalisation (explicit to tacit): Reading and practising documented procedures builds personal skills and intuition. A new hire reads the company's sales playbook and, after practising, internalises its principles into their own selling style.

KMS in Sarawak's Indigenous Community Enterprises

One of the most compelling and underexplored KMS applications in Sarawak is the digital preservation of indigenous community knowledge. Traditional knowledge — medicinal plant uses, forest navigation, weaving patterns, oral histories, agricultural practices — represents irreplaceable intellectual and cultural capital that is at risk of being lost as elder knowledge-holders pass away and younger generations migrate to urban centres. Community enterprises in areas like Annah Rais (Bidayuh longhouse community) and the Batang Ai region (Iban communities) are beginning to document this knowledge digitally — creating searchable databases of traditional practices, video archives of oral traditions, and digital pattern libraries for traditional textiles.

These community KMS initiatives serve dual purposes: cultural preservation and commercial application. A community enterprise that documents its unique weaving traditions can license those designs, train new weavers using digital tutorials, and attract cultural tourism based on the authenticated heritage value. The challenge is ensuring that the community — not external parties — owns and controls this knowledge, and that commercialisation does not lead to exploitation or dilution of cultural integrity.

PETRONAS has invested significantly in knowledge management capabilities — using KMS platforms to preserve the technical expertise of retiring engineers, capture lessons learned from complex drilling operations, and enable knowledge transfer across its multinational workforce. The PETRONAS Technical Learning Centre represents an institutionalised approach to KMS that aspiring Sarawak entrepreneurs can learn from: the idea that capturing and systematising knowledge is a strategic investment, not an administrative overhead.

6.5 Developing a Digital Business Strategy

A digital business strategy is a plan for using digital technologies to achieve the organisation's strategic objectives. Critically, a digital business strategy is not a technology procurement plan — it is a business strategy that happens to be executed through digital means. The starting point is always the business objective (grow revenue, reduce costs, improve customer experience, enter new markets) and the digital tools are selected for their ability to advance those objectives. Technology-first thinking — buying tools and then looking for problems to solve with them — is a common and costly mistake.

Porter's Value Chain as a Digital Strategy Framework

Michael Porter's value chain analysis (1985) provides a systematic framework for identifying where digital technology can create the most competitive advantage. The value chain divides business activities into primary activities (inbound logistics, operations, outbound logistics, marketing and sales, after-sales service) and support activities (firm infrastructure, human resource management, technology development, procurement). A digital strategy audit maps current technology use across every value chain activity and identifies the highest-impact opportunities for digitalisation.

For a Sarawak eco-tourism company, a value chain digital strategy analysis might identify:

- Inbound logistics: Partner coordination managed via WhatsApp group chats → opportunity: replace with a partner portal (collaborative booking platform) that reduces booking errors and double-bookings.

- Operations: Tour guides using paper-based check-in and payment → opportunity: digital check-in app with mobile payment integration (GrabPay, DuitNow QR).
- Marketing and sales: Reliance on OTA platforms (Klook, Booking.com) for bookings → opportunity: CRM-driven direct booking strategy to reduce commission dependency.
- After-sales service: No systematic post-trip follow-up → opportunity: automated CRM email sequence for post-trip feedback, repeat booking incentives, and referral requests.

The SDEC Digital Economy Blueprint: A Strategic Framework for Sarawak

The Sarawak Digital Economy Blueprint 2030, developed by SDEC, provides a macro-level digital strategy framework that individual entrepreneurs can align with. The Blueprint identifies seven key digital sectors for accelerated growth in Sarawak: agriculture and food (agri-tech, precision farming), tourism and hospitality (digital tourism experience), manufacturing (Industry 4.0 adoption), financial services (fintech, Islamic digital finance), healthcare (telehealth, digital health records), education (edtech), and smart city development (Kuching Smart City Initiative). Entrepreneurs who position their ventures in alignment with these strategic sectors are more likely to access government grants, infrastructure support, and public procurement opportunities.

The SDEC's 5G rollout in Bintulu and Kuching — underway as of 2024 — is particularly significant for manufacturing, port logistics, and smart city applications. 5G's ultra-low latency and high bandwidth enable applications that are impossible on 4G: real-time remote machinery operation, high-resolution video quality inspection of manufactured products, autonomous vehicle coordination in port environments, and massive IoT sensor networks for smart city management. Entrepreneurs who understand the capabilities that 5G unlocks can position themselves to develop applications and services on this infrastructure before competition intensifies.

Building a Digital Business Strategy: A Five-Step Framework

1. Define the strategic objective: What specific business outcome are you trying to achieve through digital technology? (e.g., grow Sarawak revenue by 30% in 24 months; reduce order processing time by 60%; achieve 4.5+ star rating on Google Reviews by end of year.)

2. Audit your current digital state: Map the digital tools currently used across all value chain activities. Identify gaps, redundancies, and integration failures.
3. Identify the highest-impact digital investments: Which tools or platforms, if implemented well, would most directly advance the strategic objective? Use the value chain framework and TAM principles to prioritise.
4. Develop an implementation roadmap: Sequence digital investments by priority and feasibility. Quick wins (free tools with high perceived usefulness) should come first to build momentum and digital confidence. Longer-term ERP or CRM implementations require dedicated project management.
5. Measure and iterate: Define KPIs for each digital investment. Review quarterly. Be willing to abandon tools that are not delivering value and double down on those that are.

Managerial Insight: SAINS — Sarawak's Digital Infrastructure Enabler

Sarawak Information Systems (SAINS) provides ICT infrastructure and digital services to the Sarawak state government and GLCs. For Sarawak entrepreneurs, SAINS represents both a potential partner (cloud services, cybersecurity, data centre access) and a model of how public-sector IT can enable private sector digital transformation. Understanding what SAINS offers — through its website at <https://www.sains.com.my> — can help startups reduce digital infrastructure costs significantly, particularly for data centre hosting, government API integrations, and cybersecurity compliance support.

Self-Reflection



1. Assess the digital readiness of a business you know in Sarawak or Malaysia (yours, a family business, or an employer). Which digital systems (ERP, CRM, KMS) do they use? What gaps exist? What would be the highest-impact digital investment for them?

Questions for Discussion

1. A Sarawak-based eco-tourism company with 15 staff wants to digitalise its operations to compete with international booking platforms. As their technology advisor, recommend a digital business strategy that includes appropriate ERP, CRM, and

knowledge management tools — with specific reference to affordable/freemium solutions available to Malaysian SMEs. (CLO2)

SUMMARY

LU6 examined the digital transformation landscape for Sarawak and Malaysian SMEs, progressing from the macro-level context of digital adoption barriers to the specific capabilities of ERP, CRM, and Knowledge Management Systems, before synthesising these into a coherent digital business strategy framework.

Digital adoption among Sarawak SMEs is advancing but constrained by infrastructure gaps in interior districts, digital literacy deficits, and cost concerns. SDEC's Digital Economy Blueprint 2030 and the 5G rollout in Kuching and Bintulu represent transformative infrastructure investments that will expand digital business opportunities significantly over the next decade.

ERP systems integrate core business processes; CRM systems manage and deepen customer relationships; and KMS platforms capture and leverage the knowledge that gives organisations their competitive edge. These three system types are complementary and, ideally, integrated. For Sarawak entrepreneurs, the good news is that high-quality, affordable cloud-based versions of all three are available — from Odoo ERP to HubSpot CRM to Notion for knowledge management — enabling even early-stage startups to build professional digital operations. The key is to anchor digital investment in clear business objectives and to measure outcomes systematically, iterating based on evidence rather than technology enthusiasm.

Multiple Choice Questions (MCQS):

1. An ERP system primarily helps a business by:
 - A) Managing social media presence
 - B) Integrating core business processes (finance, HR, supply chain) into one unified system
 - C) Replacing human decision-making
 - D) Building customer loyalty programmes

2. CRM systems are primarily designed to:
 - A) Manage internal accounting
 - B) Manage and improve relationships with existing and potential customers
 - C) Replace ERP systems
 - D) Monitor employee productivity

3. Knowledge Management Systems (KMS) are most valuable for businesses that:
 - A) Have no information to manage
 - B) Need to capture, share, and leverage organisational knowledge to improve performance
 - C) Only operate in one location
 - D) Avoid using technology

4. The SDEC Digital Economy Blueprint focuses on:
 - A) Oil and gas exploration in Sarawak
 - B) Accelerating digital economy growth across all sectors in Sarawak
 - C) Building new universities
 - D) Replacing traditional markets

5. A digital business strategy should primarily:
 - A) Replace all human workers with AI
 - B) Align digital technology adoption with the business's overall strategic goals
 - C) Focus only on social media marketing

D) Avoid cloud computing to protect data

6. Which of the following is a major challenge for digital adoption among rural Sarawak SMEs?

A) Too much internet bandwidth

B) Connectivity gaps, limited digital literacy, and high technology costs

C) Excessive government support

D) Too many technology options

7. Porter's value chain analysis can help entrepreneurs:

A) Only in manufacturing businesses

B) Identify where digital technology can create the most competitive advantage in their operations

C) Replace the need for customer research

D) Avoid government regulations

Online Learning Resources

The following free resources supplement your study of this unit.

SDEC — Sarawak Digital Economy Blueprint (Free)

<https://www.sdec.com.my/digital-economy-blueprint>

Google Digital Garage — Digital Strategy Course (Free)

<https://learndigital.withgoogle.com>

HubSpot CRM — Free Tier for SMEs

<https://www.hubspot.com/products/crm>

MIT Sloan — Digital Business Strategy Article (Free)

<https://mitsloan.mit.edu/ideas-made-to-matter/digital-business-strategy>

END OF TOPIC

TOPIC

7

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STRATEGIC BUSINESS PLANNING FOR TECH STARTUPS

TECH STARTUPS • BUSINESS PLANNING

LEARNING OUTCOMES

By the end of this topic you should be able to:

- Distinguish between using digital tools tactically and building an integrated digital business strategy
- Apply strategic planning frameworks — Lean, Agile, and OKRs — to technology startup contexts
- Evaluate build, buy, and partner decisions for technology acquisition
- Develop a digital marketing strategy tailored to the Sarawak market context
- Structure and deliver a compelling pitch to investors, partners, and stakeholders



LO Learning Objectives

By the end of this topic you should be able to:

- **Apply lean startup, agile, and OKR methodologies** to structure a technology-driven business plan.
- **Evaluate technology adoption strategies** including build, buy, and partner options for tech startups.
- **Design a digital marketing strategy** tailored to the needs and opportunities of Sarawak tech startups.
- **Develop and deliver a compelling business strategy pitch** that communicates vision, value, and viability to investors.

KC Key Concepts and Definitions

Concept	Definition	Example / Notes
Lean Startup Methodology	An approach that advocates building, measuring, and learning iteratively to reduce waste.	<i>Sarawak edtech startups use MVP sprints to validate product-market fit before scale.</i>
OKR (Objectives and Key Results)	A goal-setting framework connecting strategic objectives with measurable outcomes.	<i>Startup sets OKR: 'Acquire 500 SME clients in Sarawak within Q3 (KR: 500 sign-ups)'.</i>
Business Model Innovation	Creating a fundamentally new way of creating, delivering, and capturing value.	<i>Shifting from selling software licences to SaaS subscriptions — recurring revenue model.</i>
Pitch Deck	A concise presentation used to communicate a startup's vision and financials to investors.	<i>A 10-slide Canva pitch deck for Sarawak-based agri-tech startup seeking seed funding.</i>
Go-to-Market Strategy	The plan for launching a product to the market and reaching target customers.	<i>Partnering with SDEC and MTDC to access Sarawak SME networks for product launch.</i>
Product-Market Fit	The degree to which a product satisfies strong market demand.	<i>Measured by NPS scores, retention rates, and organic referral growth.</i>

7.1 From Digital Tools to Digital Strategy: The Strategic Leap

A critical but often underappreciated distinction separates entrepreneurs who use digital tools from those who execute a digital strategy. Using digital tools — operating a Facebook business page, accepting GrabPay payments, managing bookings through a Google Calendar — is tactical behaviour. It applies technology to solve immediate operational problems. A digital strategy, by contrast, is an integrated, long-term plan that uses technology as a source of

competitive advantage, revenue innovation, or structural market disruption. The gap between the two represents one of the most important strategic leaps an entrepreneur must make to scale their venture.

The Three Levels of Digital Maturity

- **Level 1 — Digital Tools User:** The entrepreneur uses off-the-shelf digital tools for operational convenience — messaging apps for communication, social media for marketing, mobile banking for payments. Technology reduces friction but does not change the fundamental business model. Most Sarawak SMEs operate at this level. The risk: being permanently dependent on platforms controlled by others (Facebook, Grab, Shopee) and vulnerable to their algorithm changes and commission structures.
- **Level 2 — Digital Integrator:** The entrepreneur integrates multiple digital systems — connecting CRM to e-commerce to accounting to logistics tracking — creating operational efficiency and data visibility. Technology transforms internal processes but does not yet change the customer value proposition. Growing Sarawak SMEs that have adopted Odoo ERP or HubSpot CRM are at this level.
- **Level 3 — Digital Strategist:** Technology becomes the core of the value proposition and business model. The entrepreneur builds proprietary digital assets — a platform, a marketplace, an algorithm, a data advantage — that competitors cannot easily replicate. This is the strategic level at which tech startups compete and create venture-scale value.

The Sarawak Fintech Example: From GrabPay User to Embedded Finance Builder

Consider the digital strategy journey of a hypothetical Kuching-based retail business. In its first phase (Level 1), it accepts GrabPay and DuitNow payments — convenient, but the business remains dependent on Grab's infrastructure, subject to Grab's merchant fees, and limited to transaction data that Grab chooses to share. In its second phase (Level 2), the business integrates payment data with its CRM and inventory system — gaining visibility into which customers buy which products, enabling personalised promotions and improved inventory planning. In its third phase (Level 3), the entrepreneur recognises that their payment data — combined with their customer relationship depth — represents a lending intelligence asset. They pivot to offering buy-now-pay-later (BNPL) financing to their loyal customers, monetising their data advantage and transforming from a retail business into a fintech-enabled

retailer. This strategic leap — from GrabPay user to embedded finance operator — is the quintessential move from tactical tool use to digital strategy.

Making the Strategic Leap: Key Requirements

- **Strategic intent:** The entrepreneur must articulate a clear vision of how digital technology will create competitive advantage — not just operational convenience. This requires asking: "What digital asset, if we build it, would be difficult for competitors to replicate in 3–5 years?"
- **Data strategy:** Level 3 digital maturity is almost always data-driven. The entrepreneur must identify what proprietary data they have or could collect, how it creates value, and how to build systems that accumulate and leverage this data advantage over time.
- **Technology talent:** The strategic leap typically requires technology talent — engineers, data scientists, UX designers — who can build proprietary systems. This is why talent acquisition and retention are among the most critical challenges for Sarawak tech startups.
- **Ecosystem positioning:** Successful digital strategists understand the platform ecosystems they operate within and choose their positioning deliberately — sometimes competing with platform owners, sometimes complementing them, sometimes leveraging them as distribution channels while building towards independence.

7.2

Strategic Planning Frameworks for Tech Startups (Lean, Agile, OKRs)

Traditional strategic planning — with its five-year plans, detailed market analyses, and fixed annual budgets — was designed for established organisations operating in relatively stable environments. Technology startups, by contrast, operate in conditions of extreme uncertainty: the market may not yet exist, the technology may not yet work, and the customer's needs are still being discovered. Three strategic planning frameworks have evolved to address this challenge: the Lean Startup methodology, Agile planning, and Objectives and Key Results (OKRs).

The Lean Startup Methodology (Ries, 2011)

Eric Ries' Lean Startup methodology argues that startups should replace detailed upfront planning with a continuous cycle of Build-Measure-Learn. Rather than spending months building a complete product before getting customer feedback, the startup builds the smallest possible version — the Minimum Viable Product (MVP) — tests it with real customers, measures the results, and uses the learning to inform the next iteration. The goal is to validate or invalidate key business hypotheses as quickly and cheaply as possible.

For a Sarawak agri-tech startup developing a price discovery platform for pepper farmers, the lean approach means:

1. Hypothesis: Sarawak pepper farmers will share price information through a digital platform if it helps them negotiate better prices with buyers.
2. MVP: A WhatsApp group with daily price updates posted manually by the founder — costing essentially nothing and testable within days.
3. Measure: Do farmers engage? Do they share their own price data? Do buyers complain? Does the price transparency actually shift negotiating power?
4. Learn: If the WhatsApp MVP validates demand, build a simple mobile app. If farmers do not engage, pivot — the hypothesis was wrong and a different approach is needed.

Agile Planning

Agile is an iterative approach to project and product management that organises work into short cycles called sprints (typically two weeks). At the start of each sprint, the team selects a prioritised list of features or tasks from the product backlog. At the end of the sprint, they review what was completed, demonstrate it to stakeholders, and plan the next sprint. Agile's core advantage is adaptability — priorities can shift between sprints in response to new customer feedback, market changes, or technical discoveries without disrupting the entire plan.

Several Sarawak-based software development companies in Kuching's Simpang Tiga tech district have adopted Agile methodologies, particularly Scrum. Scrum structures the Agile framework with defined roles (Product Owner, Scrum Master, Development Team), events (Sprint Planning, Daily Stand-up, Sprint Review, Sprint Retrospective), and artefacts (Product Backlog, Sprint Backlog, Increment). For Sarawak entrepreneurs commissioning software

development from these companies — or building in-house tech teams — understanding Agile practices enables more effective client-developer collaboration and more realistic project planning.

OKRs: Objectives and Key Results

OKRs, popularised by Intel's Andy Grove and later adopted by Google, provide a goal-setting framework that balances ambition with measurability. Each Objective is a qualitative, inspirational statement of what the organisation wants to achieve. Each Key Result is a specific, measurable outcome that indicates progress toward the Objective. OKRs are typically set quarterly and are deliberately aspirational — a 70% achievement rate is considered success.

SDEC-backed startups in Sarawak's digital ecosystem are beginning to adopt OKRs as a planning discipline. An example OKR set for a Sarawak agri-tech startup in Q3 2026:

- Objective: Become the leading digital marketplace for Sarawak pepper farmers by Q4 2026.
- KR1: Register 500 active pepper farmer accounts on the platform by September 30.
- KR2: Achieve RM 2 million in verified transaction volume through the platform.
- KR3: Sign agreements with 3 international pepper export partners.
- KR4: Achieve a Net Promoter Score of 40+ among registered farmers.

The power of OKRs lies in their ability to align the entire team around shared priorities, create accountability through measurable targets, and enable regular check-ins (weekly or bi-weekly) that identify whether the team is on track or needs to adapt. For Sarawak entrepreneurs managing diverse, multi-ethnic teams, the explicit alignment and transparency that OKRs provide can bridge communication gaps and reduce the ambiguity that often causes early-stage startup dysfunction.

7.3 Technology Adoption Strategy: Build, Buy, or Partner

Every technology startup eventually faces the fundamental build-buy-partner decision: when you need a new capability, do you build it from scratch (internal development), buy or license an existing solution (off-the-shelf software or acquisition), or form a partnership that gives you access to the capability without building or buying it? Getting this decision right is critical to resource efficiency, speed-to-market, and long-term competitive positioning. Getting it wrong can cost months of development time, hundreds of thousands of ringgit, and strategic focus.

The Build Option

Building a capability in-house means dedicating internal development resources (engineers, designers, product managers) to creating a proprietary solution. Building is appropriate when:

- The capability is central to the competitive differentiation — it is the "secret sauce" that gives the startup its advantage. If you are building a logistics optimisation startup, your routing algorithm is your moat; you should build it.
- No commercially available solution adequately serves the specific need — particularly common in niche Sarawak market contexts where standard software does not accommodate local languages, regulations, or business practices.
- The organisation has sufficient engineering talent and time to build without it consuming resources needed for core operations.

The Buy Option

Buying — licensing an off-the-shelf software solution or acquiring a company with the desired capability — is appropriate when:

- An adequate commercial solution exists at reasonable cost. Buying a commercially available accounting system is almost always better than building one from scratch.
- Speed-to-market is critical. Buying an existing solution can compress implementation time from months to weeks.
- The capability is a business necessity rather than a competitive differentiator — payroll processing, email management, HR administration. There is no competitive advantage in building better payroll software unless you are a payroll software company.

The Partner Option

Partnering — integrating with a complementary provider through APIs, white-labelling, or a formal business partnership — is appropriate when:

- The capability requires deep specialisation that the startup cannot quickly develop. A logistics startup in Sarawak partnering with MySarawak Transport platform for last-mile delivery in rural areas leverages an existing rural delivery network without needing to build one.
- The partner relationship creates network effects or market access. An agri-tech startup partnering with the Sarawak Farmers Organisation (PPNS) gains immediate access to thousands of registered farmers — a distribution advantage worth far more than any technology it could build alone.
- The capability is evolving rapidly and investing to build or buy risks lock-in to an approach that may become obsolete. In artificial intelligence, for example, most startups should partner with AI model providers (OpenAI, Google Gemini, Anthropic) rather than attempt to build foundation models themselves.

The Sarawak Logistics Startup Case

A Sarawak-based logistics startup developing a rural delivery platform faces a concrete build-buy-partner decision when considering parcel tracking. Option 1 (Build): develop a proprietary GPS tracking system with Sarawak-specific features — significant development cost, 6–12 month timeline, but full ownership and customisation ability. Option 2 (Buy): licence the Parcel Perform tracking engine used by major Malaysian e-commerce platforms — faster, cheaper, but limited customisation and ongoing licence fees. Option 3 (Partner): integrate with Pos Malaysia's Digital Delivery Partner programme, which provides tracking infrastructure through API integration — zero build cost and instant national reach, but dependency on Pos Malaysia's system reliability and partnership terms. The right answer depends on the startup's strategic positioning, capital position, and long-term competitive vision.

7.4 Digital Marketing Strategy for Sarawak Startups

Digital marketing for Sarawak startups requires a nuanced understanding of a market that differs substantially from the Klang Valley or national average that most marketing textbooks

assume. Sarawak's digital marketing environment is shaped by a unique combination of demographics, language diversity, platform preferences, geographic spread, and infrastructure constraints. An effective digital marketing strategy for a Sarawak startup must be built from the Sarawak context upward, not adapted from a national playbook downward.

Platform Landscape: What Sarawak Consumers Use

- **Facebook:** Despite global narrative around Facebook's decline among younger users, Facebook remains the dominant social media platform in Sarawak — particularly among the 25–50 age group and in rural and semi-urban areas. Facebook Groups are critical community hubs in Sarawak: neighbourhood groups, SME community groups, Iban community networks, and marketplace groups (especially Facebook Marketplace) see significant daily engagement. For consumer startups targeting mainstream Sarawak audiences, Facebook remains a primary platform.
- **TikTok:** TikTok adoption in Sarawak has been explosive, particularly among the 15–30 age demographic. TikTok Shop has created a new e-commerce channel that is particularly effective for fast-moving consumer goods (FMCG), fashion, food, and lifestyle products. Sarawak entrepreneurs selling on TikTok Shop report conversion rates comparable to or exceeding Shopee for visually engaging products. For startups targeting Gen Z and younger millennials, TikTok is now arguably the highest-priority digital marketing platform.
- **Shopee vs Lazada:** For e-commerce, Shopee dominates in Sarawak and East Malaysia generally. Shopee's logistics partnerships with Pos Laju and J&T, its Bahasa Malaysia interface, and its focus on free shipping campaigns resonate strongly with Sarawak consumers. Lazada has a stronger presence in West Malaysia and among premium product segments. Sarawak entrepreneurs entering e-commerce should prioritise Shopee for Sarawak and East Malaysia reach, with Lazada as a secondary channel.
- **WhatsApp Business:** WhatsApp remains the primary communication channel for business interactions in Sarawak — from customer service to order confirmation to supplier negotiation. WhatsApp Business (free app) and WhatsApp Business API (for scale) enable entrepreneurs to manage customer conversations professionally, with automated responses, catalogues, and broadcast lists. Many successful Sarawak SMEs conduct 80% or more of their sales through WhatsApp Business.

Language Strategy: Sarawak's Multilingual Digital Market

Sarawak's linguistic landscape creates unique digital marketing considerations. Effective Sarawak digital marketing often uses a mix of Bahasa Malaysia (official language, wide comprehension), English (professional and higher-education contexts), and local Sarawak Malay (the lingua franca of everyday Sarawak commerce — distinct from standard Bahasa Malaysia). For campaigns targeting specific communities, incorporating Iban, Hakka Chinese, Foochow, or other community languages in social media content significantly increases engagement — demonstrating cultural authenticity and respect. An Iban-language TikTok video promoting a cultural product to Iban communities in Kapit, for example, will massively outperform a Bahasa Malaysia translation.

Digital Marketing Execution: Core Components

- **Content marketing:** Create valuable, relevant content for your target audience. For a Sarawak agri-tech startup, this might mean producing Iban-language educational videos about digital farming tools, Bahasa Malaysia blog posts about Sarawak pepper market prices, or English-language LinkedIn thought leadership pieces about the future of Sarawak agriculture for investor audiences.
- **Search Engine Optimisation (SEO):** Ensure your website ranks for the search terms your Sarawak customers use. Localised SEO — optimising for "pepper prices Sarawak", "eco-tourism Kuching", or "halal catering Miri" — is more achievable and more relevant than competing for generic national terms.
- **Paid social (Facebook Ads, TikTok Ads):** Both platforms offer highly targetable paid advertising with Malaysian ringgit billing. Facebook Ads Manager allows targeting by Sarawak location, language, age, interest (e.g., "Sarawak farming", "hiking Sarawak"), and behaviour. A startup with RM 500/month in paid social budget, well-targeted and creative, can achieve significant reach in a defined Sarawak market segment.
- **Influencer partnerships:** Sarawak has a growing community of micro-influencers (1,000–50,000 followers) with authentic, engaged local audiences. Collaborating with Sarawak food bloggers, travel influencers, and community advocates is often more cost-effective and credible than national influencer campaigns.

7.5 Pitching and Communicating Your Business Strategy

The ability to communicate a business strategy clearly, compellingly, and concisely is one of the most commercially valuable skills an entrepreneur can develop. Pitching is not exclusive to investor presentations — it encompasses every situation where the entrepreneur must persuade an audience to take action: recruiting a co-founder, convincing a bank to extend credit, winning a government tender, persuading a large corporate to become a customer, or motivating the team during a difficult period. Every entrepreneur pitches, every day. The quality of the pitch determines whether these interactions unlock opportunity or leave it on the table.

The Standard Pitch Deck Structure (8–10 Slides)

Slide	Content	Key Question Answered
1. Problem	Describe the problem you are solving — with evidence of its significance and your target customer's pain	"Is this a real problem worth solving?"
2. Solution	Your product or service — what it does and why it is better than the alternative	"Does this solution actually solve the problem?"
3. Market Size (TAM/SAM/SOM)	Total Addressable Market, Serviceable Available Market, Serviceable Obtainable Market — with credible data sources	"Is the opportunity big enough to matter?"
4. Product Demo/Screenshot	Visual demonstration of your product — a screenshot, prototype, or short demo video	"Is the product real and usable?"
5. Business Model	How you make money — revenue streams, pricing, unit economics	"Can this actually be a profitable business?"
6. Traction/Validation	Evidence that the market wants your solution — users, revenue, pilot customers, letters of intent, growth metrics	"Has this idea been validated beyond theory?"
7. Team	Founders and key team members — relevant experience, domain expertise, complementary skills	"Can this team execute this vision?"
8. Financials	3-year high-level projections — revenue, key cost lines, path to profitability	"Is the financial model credible?"
9. Funding Ask	How much you are raising, how it will be used, and what milestones it will achieve	"What do they need from us and why?"

10. Vision and Close	The bigger picture — what the world looks like if your startup succeeds. A memorable closing	"Why does this matter beyond just making money?"
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Pitch Competitions in Sarawak

Sarawak has developed a growing ecosystem of startup pitch competitions and programmes that provide entrepreneurs with structured opportunities to practise pitching, receive expert feedback, and potentially secure funding and support:

- **SDEC Startup Sarawak:** SDEC's flagship startup programme includes a pitch competition component through which promising startups can access co-working space at DPulze Digital Hub, mentoring from industry practitioners, and introductions to investors. Applications are open periodically through <https://startup.sdec.com.my>.
- **Malaysia Digital Hub Pitching Events:** The Malaysia Digital Economy Corporation (MDEC) runs pitch events at the Malaysia Digital Hub (formerly MSC Malaysia) that give Sarawak-based startups access to national-level investor and corporate networks.
- **CRADLE Fund CIP Pitch:** CRADLE Fund — Malaysia's primary early-stage tech startup funder — requires applicants to pitch their ventures to an evaluation panel. The CIP 300 (RM 300,000) and CIP 500 (RM 500,000) grant programmes have funded Sarawak tech startups in agriculture, logistics, and fintech.

Principles of Effective Pitching

- **Lead with the problem, not the solution:** Most founders are in love with their product. Investors and partners respond to evidence that the problem is real and significant. Spend the first 20% of your pitch establishing the problem with data and customer stories.
- **Be specific, not generic:** "Malaysia's SME market is large" is meaningless. "There are 8,700 registered pepper farmers in Sarawak, each losing an estimated RM 1,500 per year to price opacity — a total value capture opportunity of RM 13 million annually" is compelling.
- **Demonstrate traction:** Even modest traction — 50 beta users, one paying pilot customer, a letter of intent from a potential distribution partner — is worth far more than

theoretical market projections. Traction is evidence that the hypothesis has been validated.

- **Know your numbers:** Be able to answer the unit economics questions off the top of your head: customer acquisition cost, lifetime value, monthly burn rate, months of runway, break-even timeline. An entrepreneur who cannot answer these questions instantly signals to investors that they are not operationally on top of their business.
- **Practice ruthlessly:** The best pitches are the product of dozens of rehearsals. Record yourself on video. Pitch to critical friends before you pitch to investors. Time every version — a 10-minute pitch that runs 15 minutes signals poor preparation and poor respect for the audience's time.

Managerial Insight: OKRs for Sarawak Startups

Objectives and Key Results (OKRs), famously used by Google and Intel, are equally powerful for early-stage startups in Sarawak. A Miri-based agri-tech startup might set: Objective: "Become the leading pepper price discovery platform in Sarawak by Q4 2026" — with Key Results: "500 registered farmers on platform", "RM 2M in transaction volume", "3 export partner agreements signed". OKRs provide clarity, accountability, and measurability — essentials for any funded venture. The free OKR management tools Notion, Google Sheets, and Lattice are available to help Sarawak startups implement OKRs without additional software cost.

Self-Reflection



1. If you were to pitch a business idea at the next SDEC Startup Sarawak competition, what would your 3-minute pitch include? Draft your key message in 100 words — what is the problem, your solution, and why you are the person to solve it?

Questions for Discussion

1. A Sarawak-based agri-tech startup has validated its idea and secured seed funding. Develop a 12-month strategic plan for the startup using OKRs, outlining their digital marketing strategy for reaching farmers in Sarawak's interior districts and their

technology adoption approach (build, buy, or partner). Justify your recommendations with reference to the Sarawak market context. (CLO3)

SUMMARY

LU7 progressed from the digital tools landscape of LU6 to the strategic level — examining how technology startups develop and execute integrated business strategies for competitive advantage and sustainable growth. The critical insight of LU7 is that the most valuable competitive positions are not created by using digital tools but by building proprietary digital assets and capabilities that competitors find difficult to replicate.

Three complementary planning frameworks — Lean Startup (validated learning through rapid iteration), Agile (iterative sprints that adapt to new information), and OKRs (objective goal-setting with measurable outcomes) — together provide technology startups with a planning toolkit suited to conditions of high uncertainty and rapid change. These frameworks are not mutually exclusive; the most effective Sarawak startups use all three in complementary ways.

The build-buy-partner framework provides a structured approach to technology acquisition decisions that conserves capital, accelerates capability development, and aligns technology investment with strategic priorities. Digital marketing in Sarawak requires platform-specific strategy — leveraging Facebook and TikTok for consumer reach, Shopee for e-commerce, WhatsApp Business for relationship management, and multilingual content that respects the diversity of Sarawak's market. The pitch deck and pitch competition ecosystem provide the communication infrastructure through which Sarawak entrepreneurs access capital, partnerships, and talent.

Multiple Choice Questions (MCQS):

1. OKRs stand for:
 - A) Output and Key Ratios
 - B) Objectives and Key Results
 - C) Operational and Key Requirements
 - D) Outcomes and Key Resources

2. An Agile approach to strategic planning involves:
 - A) Detailed 5-year plans with no flexibility
 - B) Iterative cycles of planning, execution, review, and adaptation
 - C) Avoiding all planning
 - D) Outsourcing strategy to consultants

3. The 'Build, Buy, or Partner' technology decision framework helps entrepreneurs:
 - A) Choose between three types of employees
 - B) Decide the most efficient way to acquire technology capabilities
 - C) Determine their equity split
 - D) Select a business registration type

4. For digital marketing in rural Sarawak, which platform is typically most effective for community outreach?
 - A) LinkedIn
 - B) Twitter/X
 - C) Facebook and TikTok
 - D) Pinterest

5. A pitch deck typically includes:
 - A) 50 detailed financial slides
 - B) 8–10 slides covering problem, solution, market, business model, team, and financials
 - C) Only a logo and product photo

D) Legal documents only

6. The SDEC Sarawak Startup programme primarily supports entrepreneurs by:

A) Providing legal advice only

B) Offering funding, mentoring, co-working spaces, and access to digital infrastructure

C) Managing their social media

D) Filing their taxes

Online Learning Resources

The following free resources supplement your study of this unit.

SDEC Sarawak Startup — Apply for Support (Free, Sarawak)

<https://startup.sdec.com.my>

Google Workspace for Startups (Freemium)

<https://workspace.google.com/intl/en/lp/startup>

Canva Pitch Deck Templates (Freemium)

<https://www.canva.com/presentations/templates/pitch-deck>

CRADLE Fund Malaysia — Startup Grants (Free, Malaysian)

<https://www.cradle.com.my>

END OF TOPIC

TOPIC

8

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GROWTH, FUNDING, AND LONG-TERM STRATEGIC SCALING

LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Identify the stages of venture growth and the distinct strategic challenges at each stage**
- **Evaluate the range of funding options available to Malaysian and Sarawak technology entrepreneurs**
- **Apply the principles of technopreneurship and innovation-driven growth to startup strategy**
- **Assess different exit strategy options and their implications for founders and investors**
- **Develop a long-term scaling strategy using ASEAN market context and BIMP-EAGA opportunities**
- **Integrate sustainable entrepreneurship principles into the design of a growth strategy**



LO Learning Objectives

By the end of this topic you should be able to:

- **Identify the stages of venture growth** from startup to scale-up, and the key milestones at each stage.
- **Evaluate funding options** including bootstrapping, angel investment, venture capital, and crowdfunding, for tech ventures.
- **Apply technopreneurship and innovation-driven growth strategies** to accelerate market expansion in the ASEAN context.
- **Design a long-term strategic scaling plan** incorporating exit strategies and sustainable entrepreneurship principles.

KC Key Concepts and Definitions

Concept	Definition	Example / Notes
Bootstrapping	Self-funding a business using personal savings and operating revenue without external investment.	<i>Many Sarawak food and craft entrepreneurs start with personal capital before seeking grants.</i>
Venture Capital (VC)	Investment in high-growth startups in exchange for equity.	<i>Cradle Fund and Malaysia Venture Capital Management Berhad support Sarawak tech startups.</i>
Angel Investor	A high-net-worth individual who provides early-stage capital and mentorship to startups.	<i>Sarawak's angel investor network through MCMC Digital Sarawak seed funding programmes.</i>
Scalability	A business's capacity to grow revenue significantly without a proportional increase in costs.	<i>Cloud-based SaaS startups scale from 100 to 10,000 users with minimal additional costs.</i>
Exit Strategy	A plan for how founders and investors will realise a return from their equity investment.	<i>Common exits: M&A, IPO on Bursa Malaysia, secondary sale, or management buyout.</i>
Sustainable Entrepreneurship	Creating ventures that generate economic value while protecting social and environmental systems.	<i>Sarawak B Corps balancing profit with positive impact in forestry and agri-food sectors.</i>

8.1 Stages of Venture Growth: Startup to Scale-up

Every venture moves through a series of growth stages, each defined by distinct challenges, required capabilities, funding needs, and strategic priorities. Understanding these stages — and honestly assessing where your venture currently sits — is foundational to effective entrepreneurial strategy. Misidentifying your current stage leads to pursuing the wrong

strategies: an idea-stage entrepreneur who tries to scale before finding product-market fit wastes capital and loses momentum; a growth-stage entrepreneur who continues to operate with startup informality fails to build the systems and governance needed to sustain growth.

The Five Stages of Venture Growth

Stage	Key Milestone	Primary Challenge	Critical Resource Need
1. Ideation / Pre-seed	Idea articulated; founder committed	Validating whether the problem is real and the solution is viable	Time, founder commitment, early customer conversations
2. Validation / Seed	MVP built; first paying customers; initial evidence of product-market fit	Finding repeatable customer acquisition; refining the business model	Seed funding (RM 100K–1M); technical talent; customer development skills
3. Early Growth / Series A	Consistent revenue growth; proven unit economics; scalable customer acquisition channel	Building the team and processes to scale efficiently	Series A funding (RM 3M–15M); management talent; operational systems (ERP, CRM)
4. Growth / Scale-up	Rapid, consistent revenue growth; dominant market position in core segment; considering geographic expansion	Managing hypergrowth without losing quality, culture, or financial control	Series B/C funding; senior executive talent; financial controls; market expansion strategy
5. Maturity / Exit Stage	Established market leader; stable growth; considering IPO, M&A, or long-term independence	Sustaining innovation while managing a complex, multi-product or multi-market organisation	Strategic partnerships; IPO readiness (governance, financial reporting); succession planning

The Sarawak Startup Growth Trajectory

A Sarawak startup's growth trajectory is shaped by the specific characteristics of the local ecosystem: smaller initial market (Sarawak's population of 2.9 million), geographic spread (making multi-district rollout expensive), infrastructure constraints (connectivity in interior districts), and a smaller but rapidly growing investor base. A typical successful Sarawak tech startup trajectory might look like:

- **Ideation stage:** The founder identifies a market gap while working in a Sarawak industry (agriculture, tourism, construction). Initial customer discovery is conducted through community networks — family connections, PPNS farmer networks, Chamber of Commerce relationships. Zero external capital; self-funded through savings or salary.
- **Validation stage:** The founder builds an MVP (often using no-code/low-code tools) and pilots it with 10–50 customers in Kuching or Miri. First revenue is generated — perhaps RM 500/month from subscription fees or transaction commissions. The founder applies to CRADLE CIP 300 (RM 300,000 grant) or to SDEC's ELEVATE programme. The co-working space at DPulze Digital Hub in Kuching provides affordable workspace and community.
- **Early growth stage:** With CRADLE or SDEC grant capital, the startup hires its first 2–4 engineers and a business development lead. Revenue grows to RM 50,000–200,000/month. The startup considers raising its first equity round from Malaysian angel investors or MAVCAP.
- **Growth stage:** Revenue exceeds RM 2 million/year. The startup begins expanding to Sabah, then to Peninsula Malaysia. Strategic investors — potentially including SDEC, Khazanah, or a strategic corporate partner — provide growth capital. The ASEAN market becomes the medium-term growth horizon.

8.2

Funding Options: Bootstrapping, Angel, VC, Crowdfunding, Grants

Funding is the oxygen of startup growth. Without adequate capital, even the best business idea cannot be built, marketed, or scaled. But not all funding is equal — different funding sources come with different costs, conditions, equity dilution implications, and strategic implications.

The entrepreneur's funding strategy should be as deliberate as their business strategy: choosing the right funding source at the right stage from the right investor is a critical executive decision.

Bootstrapping

Bootstrapping means funding the venture primarily through personal savings, early revenue, and careful cost management — avoiding or deferring external investment. Bootstrapping has significant advantages: the founder retains full ownership and decision-making control, the discipline of self-funding forces resource efficiency and customer-revenue focus, and there are no investor expectations to manage. The disadvantage is growth constraint — a bootstrapped startup can only grow as fast as its own revenue allows, which may mean losing first-mover advantage to better-funded competitors. Many of Sarawak's most successful SMEs were built through decades of patient bootstrapping — a reflection of the cultural values of thrift, reinvestment, and long-term thinking that characterise many Sarawak family business founders.

Government Grants (Non-Dilutive Funding)

For Malaysian tech entrepreneurs, government grants are among the most attractive early-stage funding sources because they are non-dilutive — they do not require surrendering equity. Key Malaysian grant programmes include:

- **CRADLE Fund CIP 300 / CIP 500:** CRADLE's Cradle Investment Programme provides RM 300,000 (CIP 300) or RM 500,000 (CIP 500) grants to pre-commercialisation technology startups. Recipients must demonstrate technological innovation and commercial potential. CRADLE has funded numerous Sarawak-based tech startups in agriculture, logistics, and digital services.
- **PENJANA Microgrants** (now under various SME digitalisation schemes): Post-pandemic, the Malaysian government offered microgrants of RM 5,000–RM 30,000 to SMEs for digital tool adoption. While the PENJANA-branded scheme has concluded, similar digitalisation grant programmes continue under SME Corp Malaysia and SDEC. Sarawak entrepreneurs should check periodically for available grants at <https://www.smecorp.gov.my> and <https://www.sdec.com.my>.

- MDV (Malaysian Debt Ventures): MDV provides technology financing solutions — debt, not equity — to Malaysian tech companies. MDV's financing schemes are useful for growth-stage companies that want capital without equity dilution.

Angel Investors

Angel investors are high-net-worth individuals who provide early-stage equity funding — typically RM 100,000 to RM 1 million per investment — in exchange for an equity stake in the company, usually 5–20%. Beyond capital, the most valuable angels bring industry experience, management wisdom, and strategic networks. Angel's Gate Malaysia is the primary angel investor network in Malaysia, with members who have invested in early-stage Sarawak startups. For Sarawak entrepreneurs seeking angel investment, pitching at SDEC Startup events and connecting with the Sarawak Chamber of Commerce and Industry (SCCI) alumni network are effective pathways to reaching potential angels.

Venture Capital

Venture capital (VC) firms provide institutional equity funding to startups with high-growth potential, typically at Series A stage and beyond (RM 3 million and above). In exchange for capital, VCs take a significant equity stake (20–40% at Series A) and typically require board representation. Key Malaysian VC players include MAVCAP (Malaysia Venture Capital Management), Khazanah Ventures, 500 Global Malaysia, and Vertex Ventures Southeast Asia. VCs are most appropriate for startups targeting large, fast-growing markets with a clear path to RM 100 million+ in revenue and a defined exit strategy (IPO or M&A) within 5–7 years.

Crowdfunding

Equity crowdfunding platforms — regulated by the Securities Commission Malaysia under the Equity Crowdfunding Guidelines — allow startups to raise capital from many small investors, typically RM 500–RM 5,000 per investor. CrowdPlus.Asia and Pitchin are the leading Malaysian equity crowdfunding platforms. Ethis Malaysia specialises in Islamic equity crowdfunding, enabling shariah-compliant investment structures. For halal-focused Sarawak startups — in food, education, or healthcare — Ethis provides access to a growing community of Islamic impact investors who are motivated by both financial return and social purpose.

Crowdfunding also serves a marketing function: a successful crowdfunding campaign generates community ownership, social proof, and free publicity.

8.3 Technopreneurship and Innovation-Driven Growth

Technopreneurship — the combination of technological innovation and entrepreneurial commercial execution — represents the highest-value form of entrepreneurship in the modern economy. Unlike traditional entrepreneurship, which creates value primarily through execution, organisation, and capital allocation, technopreneurship creates value through intellectual property, proprietary algorithms, platform network effects, and scalable digital products that can serve millions of customers at near-zero marginal cost. The most transformative ventures of the past two decades — Grab, Shopee, Carsome, Revenue Monster in the Malaysian context — were all technology-driven businesses whose growth trajectories were fundamentally different from traditional commercial enterprises.

The Technopreneurship Value Creation Model

Traditional businesses scale linearly: to serve twice as many customers, you typically need twice as many staff, twice as much inventory, and twice as much infrastructure. Technology businesses, at their best, scale non-linearly: WhatsApp serves 2 billion users with fewer than 100 engineers. This non-linear scaling is what makes technopreneurship so attractive to investors — the potential for venture-level returns — and so challenging to build — the technological differentiation and product excellence required to achieve non-linear scale demand exceptional talent and execution discipline.

Sarawak's Technopreneurship Ecosystem

- **PETRONAS Tech Ventures:** PETRONAS operates a corporate venturing arm that invests in and partners with technology startups developing solutions relevant to the energy industry. For Sarawak tech entrepreneurs developing applications in digital energy management, IoT sensor networks, environmental monitoring, or AI-driven predictive maintenance, PETRONAS Tech Ventures represents a potential strategic investor, pilot customer, and distribution partner simultaneously.

- **SDEC-Backed Fintech and Agri-Tech:** SDEC's Elevate accelerator programme has supported Sarawak fintech startups (mobile lending, Islamic microfinance tools), agri-tech companies (precision irrigation, market connectivity platforms), and smart city solution providers. These SDEC-backed startups demonstrate the range of technopreneurship opportunities in the Sarawak context.
- **Malaysian Tech Unicorns as Aspirational Models:** Carsome (used car marketplace, Malaysia's first unicorn), Revenue Monster (payments infrastructure), and Carro (automotive technology) represent the aspirational trajectory for Malaysian technopreneurs. These companies share common characteristics: a large, underserved market (used cars, SME payments); a technology solution that creates structural market efficiency (price transparency, payment acceptance); a scalable platform model; and an ASEAN expansion playbook that treats Malaysia as a launchpad for regional growth.

Innovation Types for Sarawak Technopreneurs

- **Incremental innovation:** Improving existing products or processes — digitising a manual process, improving a product's user experience, adding new features to an existing platform. Lowest risk, fastest time to revenue. Example: a Sarawak travel agency adding an online booking engine to its existing business.
- **Disruptive innovation:** Creating a new market or value network that displaces established firms — typically by serving an overlooked or underserved segment with a simpler, cheaper, or more accessible solution. Example: PepperDirect creating a digital price discovery platform that disrupts the role of traditional pepper middlemen in Sarawak's commodity supply chain.
- **Architectural innovation:** Reconfiguring the relationships between existing components to create new value — without necessarily creating new components. Example: a Sarawak logistics startup integrating Pos Malaysia's rural delivery network with GrabExpress's urban speed to create a new "last-mile-anywhere" service architecture.

8.4 Exit Strategies: M&A, IPO, Management Buyout

An exit strategy is the plan through which founders and early investors realise the financial value they have created in the venture by converting their illiquid equity stakes into liquid

capital. Contrary to the perception that an exit means "quitting", most exits represent a transition to new ownership rather than the end of the business. Understanding exit options is important from the founding stage — because the type of exit you are building toward shapes the strategic decisions you make throughout the venture lifecycle, from governance structure to funding choices to growth priorities.

Mergers and Acquisitions (M&A)

An M&A exit involves selling the company — or a controlling stake — to a strategic buyer (a larger company in the same or adjacent industry) or a financial buyer (a private equity firm). M&A is the most common exit route for technology startups in Southeast Asia. Grab has used M&A extensively to build its super-app ecosystem, acquiring Malaysian food delivery and logistics companies to accelerate expansion. Shopee's parent Sea Group has made multiple acquisitions in the ASEAN digital economy. For Sarawak entrepreneurs, the most likely M&A acquirer is either a Malaysian corporate that wants to add digital capability, a regional technology company expanding into Sarawak's market, or a global platform company seeking local market access.

Initial Public Offering (IPO)

An IPO involves listing the company's shares on a public stock exchange — Bursa Malaysia's ACE Market (for growth companies) or Main Market (for established companies) — allowing early investors and founders to sell their shares to public market investors. IPOs are the most aspirational exit for technology entrepreneurs: they provide the largest capital raise, the highest public profile, and the most liquid exit. However, they also demand the most rigorous governance — audited financials, independent directors, detailed prospectus disclosure, and ongoing quarterly reporting obligations. The ACE Market has a lower entry threshold than the Main Market, making it a realistic target for growth-stage Sarawak tech companies with RM 20–50 million in annual revenue. Carsome's SPAC (Special Purpose Acquisition Company) listing model is an alternative that has attracted interest among Malaysian tech entrepreneurs.

Management Buyout (MBO)

A management buyout occurs when the company's management team purchases the business from its owners — typically funded by a combination of management equity, bank debt, and

private equity. MBOs are common in family businesses where the founding generation is retiring, or in corporate spin-offs where a business unit is sold to its management team. For Sarawak entrepreneurs who have grown a business they believe is under-valued by external markets, an MBO funded by bank financing can provide a liquidity event for early investors while allowing the founding team to retain operational control.

Secondary Sale

A secondary sale — where a founder or early investor sells their individual stake to a new investor, without the company itself being sold — provides partial liquidity without triggering a full exit. Secondary sales are increasingly common in Malaysia's growing private equity market. A Sarawak startup founder who has built significant equity value over 5 years can sell 20–30% of their personal stake to a secondary investor, realising cash for personal financial goals while remaining in the business to continue building.

8.5 Long-Term Strategic Scaling in the Sarawak/ASEAN Context

Scaling a startup beyond its home market is one of the most complex and rewarding strategic challenges an entrepreneur can undertake. For Sarawak-based entrepreneurs, the natural scaling sequence — Sarawak → Sabah → Peninsula Malaysia → ASEAN — is guided by cultural proximity, regulatory familiarity, infrastructure capability, and competitive positioning. The ASEAN market represents a particularly compelling opportunity for Sarawak entrepreneurs: a combined population of 685 million people, a rapidly growing middle class, fast digital adoption, and — critically — Sarawak's unique geographic position as the de facto capital of Borneo Island.

ASEAN Market Entry: A Framework for Sarawak Entrepreneurs

- **Market selection:** Not all ASEAN markets are equal for all startups. A Sarawak agri-tech company developing tools for smallholder pepper and rubber farmers should prioritise Indonesia's Kalimantan (immediately across Sarawak's border, with millions of smallholder farmers) before entering Vietnam or Thailand. A Sarawak Islamic fintech company should prioritise the large Muslim-majority markets of Indonesia and Brunei.

Market selection should be driven by cultural fit, regulatory environment, competitive intensity, and the entrepreneur's ability to access distribution channels.

- **Market entry modes:** Options include direct export (lowest cost, lowest control), agent or distributor partnership (moderate cost, moderate control), joint venture (shared investment and control), and direct subsidiary establishment (highest cost, highest control). For Sarawak startups with limited capital, the partnership model — finding a local distribution or implementation partner in the target ASEAN market — is typically the most capital-efficient first entry mode.
- **Regulatory navigation:** Each ASEAN market has distinct regulatory requirements. Indonesia's Omnibus Law has simplified some foreign investment rules but certain sectors remain restricted. Philippines has foreign ownership limits in specific industries. Vietnam's fintech regulation is evolving rapidly. Sarawak entrepreneurs need legal advice from advisers with ASEAN market expertise before committing capital to regional expansion.

BIMP-EAGA: Sarawak's Strategic ASEAN Gateway

The Brunei-Indonesia-Malaysia-Philippines East ASEAN Growth Area (BIMP-EAGA) is a sub-regional cooperation framework established in 1994 that encompasses Brunei Darussalam; the Indonesian provinces of Kalimantan, Sulawesi, Maluku, and Papua; Sabah, Sarawak, and Labuan in Malaysia; and Mindanao and Palawan in the Philippines. The BIMP-EAGA framework promotes cross-border trade, investment, tourism, and connectivity among these geographically proximate regions — most of which are peripheral to their respective national capitals but central to Borneo Island's economic geography.

For Sarawak entrepreneurs, BIMP-EAGA offers several concrete advantages:

- **Geographic proximity:** Kuching is closer to Kalimantan's coastal cities than to Kuala Lumpur. Supply chain linkages, cross-border trade, and logistics partnerships are enabled by physical proximity in ways that Peninsula-focused strategies cannot replicate.
- **Halal market access:** Brunei, Kalimantan, and Mindanao all have large Muslim populations with growing demand for halal-certified products and services. Sarawak

entrepreneurs with halal certification are positioned for cross-border halal trade with minimal regulatory friction.

- **ASEAN digital payment interoperability:** The ASEAN Payment Connectivity initiative enables QR code payments across borders — Sarawak merchants can accept Indonesian Rupiah-denominated payments from Kalimantan tourists using their DuitNow QR code, reducing transaction friction for cross-border commerce.
- **BIMP-EAGA facilitation centres:** The BIMP-EAGA Facilitation Centre (BFC) in Brunei provides trade information, regulatory guidance, and business matching services. The BIMP-EAGA website (<https://www.bimp-eaga.asia>) is an essential resource for Sarawak entrepreneurs exploring regional expansion.

8.6 Sustainable Entrepreneurship and Social Impact

Sustainable entrepreneurship integrates commercial viability with positive environmental and social impact — recognising that long-term business success and planetary wellbeing are not in tension but are increasingly interdependent. In the 21st century, the most resilient enterprises are those that create value for shareholders, employees, communities, and the natural environment simultaneously. For Sarawak entrepreneurs, sustainable entrepreneurship is not an abstract CSR aspiration but a concrete competitive necessity: investors increasingly demand ESG (Environmental, Social, Governance) reporting; global supply chain customers require sustainability certification; and the communities in which Sarawak businesses operate — many of them indigenous communities with deep relationships to the land — expect to be treated as partners, not as externalities.

Social Enterprise Models in Sarawak

- **Annah Rais Longhouse Community Enterprise:** The Annah Rais Bidayuh longhouse community near Kuching has developed a community-owned eco-tourism enterprise that generates sustainable income for residents while preserving their traditional heritage, longhouse culture, and forest environment. The enterprise is structured to distribute tourism revenue equitably among community members — a model of community enterprise that challenges the extractive model of conventional tourism development.

- **WeAidU:** A Sarawak-founded social fintech platform that uses technology to facilitate micro-donations and community support between Sarawak diaspora abroad and communities in need. WeAidU demonstrates the opportunity to use fintech infrastructure for social impact — channelling financial flows that previously relied on informal remittance and donation networks into transparent, accountable digital platforms.
- **Community-Based Pepper Cooperatives:** Sarawak's pepper industry — a key agricultural heritage sector — is gradually digitalising through cooperative models that give smallholder farmers collective bargaining power in price negotiation, shared access to digital market information, and collective certification (organic, sustainable, geographical indication) that commands premium pricing in export markets. These cooperatives represent a model of shared-value enterprise — creating commercial value through collective action while preserving the social fabric of rural Sarawak farming communities.

B Corp Certification for Malaysian Entrepreneurs

B Corp certification, administered by B Lab, is a global standard for businesses that balance purpose and profit. B Corp certified companies meet rigorous standards of social and environmental performance, accountability, and transparency. Malaysia has a growing community of B Corp certified businesses, including several in Sarawak. For entrepreneurs targeting international markets, B Corp certification provides credible third-party verification of sustainability practices — a differentiator valued by global buyers, impact investors, and socially conscious consumers.

ESG and Investor Expectations

Institutional investors — including Khazanah Nasional, KWAP (Retirement Fund Inc.), and international impact investors — are increasingly incorporating ESG criteria into investment decisions. Bursa Malaysia's Sustainability Reporting Framework requires listed companies to disclose their sustainability practices annually. For Sarawak entrepreneurs seeking growth-stage funding or IPO preparation, building credible ESG practices and reporting capabilities is not optional — it is a prerequisite for accessing institutional capital markets. Entrepreneurs who embed ESG from their founding stage are better positioned to attract ESG-aligned

investors, win government contracts that require sustainability certification, and build the trust of the communities in which they operate.

The Triple Bottom Line: People, Planet, Profit

John Elkington's Triple Bottom Line framework (1994) argues that the performance of sustainable enterprises should be measured across three dimensions simultaneously: Profit (economic sustainability), People (social impact), and Planet (environmental impact). For Sarawak entrepreneurs operating in industries with significant environmental footprints — timber, palm oil, aquaculture, energy — the Triple Bottom Line is a mandatory strategic framework. Failing to manage social and environmental impact creates regulatory, reputational, and community risks that can destroy value faster than poor product development decisions. The emerging concept of Environmental Profit and Loss (EP&L) accounting, pioneered by Kering and adopted by some forward-looking Malaysian companies, provides a methodology for quantifying environmental impact in financial terms.

Managerial Insight: BIMP-EAGA — Sarawak's Strategic ASEAN

Gateway

The Brunei-Indonesia-Malaysia-Philippines East ASEAN Growth Area (BIMP-EAGA) positions Sarawak as a regional hub for trade and entrepreneurship. With Kuching as the capital, Sarawak entrepreneurs have natural access to markets in Brunei (high GDP per capita), Kalimantan (resource-rich Indonesian Borneo), and Mindanao (Philippines). Entrepreneurs who understand this regional context — including cross-border trade regulations, halal market opportunities, and ASEAN digital payment interoperability — can scale beyond Malaysia with a distinctive geographic advantage. The BIMP-EAGA facilitation resources available at <https://www.bimp-eaga.asia> provide practical market entry guidance and business matching services.

Self-Reflection



1. At what stage of the venture growth lifecycle would you most like to be involved — early startup, growth-stage, or mature/exit stage? Why? What skills do you currently have, and what would you need to develop for your preferred stage?

Questions for Discussion

1. A Sarawak-based technopreneurship company has achieved product-market fit and wants to scale across ASEAN within three years. Develop a strategic scaling plan that addresses: funding strategy (which sources and why), technology infrastructure needs, market entry priorities in ASEAN, and a suitable exit strategy horizon. Draw on specific Sarawak and ASEAN context. (CLO3)

SUMMARY

LU8 examined the full arc of venture growth — from the founder's earliest idea through seed validation, early growth, scaling, and eventual exit — equipping students with the strategic vocabulary and analytical frameworks to navigate each stage effectively. The venture growth lifecycle is not a smooth linear progression; it involves distinct strategic challenges, resource needs, and leadership requirements at each stage that demand conscious adaptation.

Malaysia's funding ecosystem — from CRADLE grants and SDEC programmes through angel investment, VC, and equity crowdfunding — provides Sarawak entrepreneurs with a diverse range of capital sources tailored to different stages and sector contexts. Choosing the right funding source at the right time requires understanding the dilution, governance, and strategic implications of each option. Technopreneurship's promise — non-linear scaling through proprietary technology, network effects, and data advantage — represents the aspirational growth model, illustrated by Malaysian unicorns like Carsome and by PETRONAS's corporate venturing activity in Sarawak.

ASEAN expansion through the BIMP-EAGA framework gives Sarawak entrepreneurs a distinctive geographic advantage for regional scaling. Exit strategy — whether M&A, IPO, or MBO — should be considered from the founding stage, as it shapes governance, funding, and strategic decisions throughout the venture lifecycle. Sustainable entrepreneurship, integrating People, Planet, and Profit, is not a constraint on commercial success but a precondition for long-term resilience — particularly for ventures operating in Sarawak's ecologically and culturally rich environment.

Multiple Choice Questions (MCQS):

1. Bootstrapping a startup means:
 - A) Receiving a government grant
 - B) Funding the venture primarily through personal savings and revenue, without external investors
 - C) Raising Series A venture capital
 - D) Listing on the stock exchange

2. Angel investors typically provide:
 - A) Large-scale institutional funding
 - B) Early-stage funding in exchange for equity, often with mentorship
 - C) Government grants with no strings attached
 - D) Bank loans at market rates

3. Technopreneurship refers to:
 - A) Teaching technology courses at university
 - B) Entrepreneurship driven by technology innovation as the core value proposition
 - C) Working as an IT technician
 - D) Technology procurement in government

4. CRADLE Fund in Malaysia supports entrepreneurs by:
 - A) Providing audit services
 - B) Offering early-stage venture funding for technology-based startups
 - C) Managing pension funds
 - D) Regulating stock market listings

5. An IPO (Initial Public Offering) as an exit strategy involves:
 - A) Selling the company to a competitor
 - B) Listing the company's shares on a public stock exchange, allowing early investors to exit
 - C) Closing down the business

D) Transferring ownership to family members

6. The BIMP-EAGA region is strategically important for Sarawak entrepreneurs because:

A) It is the largest oil-producing region globally

B) It provides natural market access to Brunei, Indonesia's Kalimantan, and the Philippines through geographic proximity and trade agreements

C) It has the highest population density in Asia

D) It is home to the region's largest universities

7. Sustainable entrepreneurship combines:

A) Profit maximisation only

B) Commercial viability with positive social and environmental impact

C) Government ownership and private management

D) Traditional business models without innovation

Online Learning Resources

The following free resources supplement your study of this unit.

CRADLE Fund — CIP Grants for Malaysian Startups (Free, Malaysian)

<https://www.cradle.com.my>

Ethis Malaysia — Islamic Crowdfunding Platform (Free, Malaysian)

<https://ethis.co/malaysia>

**BIMP-EAGA Facilitation Centre — Regional Trade
& Investment Resource**

<https://www.bimp-eaga.asia>

**Khazanah Nasional — Startup Ecosystem (Free,
Malaysian)**

<https://www.khazanah.com.my>

END OF TOPIC

CONSOLIDATED GLOSSARY

Key Terms for MBA6683 Entrepreneurship

The following glossary provides concise definitions of the key terms used throughout this SIM. Terms are listed alphabetically. Students are advised to review these definitions regularly as part of their study practice.

Agile: An iterative approach to project and product management that organises work into short cycles (sprints), enabling continuous adaptation to new information, customer feedback, and changing priorities. Agile replaces fixed long-term planning with frequent review-and-adapt cycles.

Angel Investor: A high-net-worth individual who provides early-stage equity funding to startups — typically RM 100,000 to RM 1 million per investment — in exchange for an equity stake. The best angel investors also provide mentorship, networks, and business guidance to the founding team.

BIMP-EAGA: The Brunei-Indonesia-Malaysia-Philippines East ASEAN Growth Area is a sub-regional cooperation framework that enables cross-border trade, investment, and connectivity among Borneo Island, Sulawesi, Mindanao, and Palawan. Sarawak's geographic position makes it a natural hub for BIMP-EAGA business activity.

Bootstrapping: Funding a venture primarily through personal savings and early revenue, avoiding or deferring external investment. Bootstrapping preserves founder ownership and decision-making control but constrains growth to what the business can self-fund.

Business Ethics: The application of ethical principles and moral reasoning to business decisions and practices. Business ethics addresses questions of right and wrong conduct in commercial contexts, covering areas such as honesty, fairness, stakeholder obligations, and legal compliance.

Business Model Canvas: A strategic management template developed by Alexander Osterwalder that maps nine building blocks of a business model on a single page: Customer Segments, Value Propositions, Channels, Customer Relationships, Revenue Streams, Key Resources, Key Activities, Key Partners, and Cost Structure.

Categorical Imperative: Immanuel Kant's foundational principle of deontological ethics: "Act only according to that maxim whereby you can at the same time will that it should become a

universal law." In business, it requires that entrepreneurs only adopt practices they would accept if universally adopted by all businesses.

Corporate Governance: The system of rules, practices, and processes by which a company is directed, controlled, and made accountable to its stakeholders. Good corporate governance encompasses board oversight, financial transparency, risk management, and protection of minority shareholder rights.

Corporate Social Responsibility (CSR): The voluntary commitment of businesses to contribute positively to society and the environment, beyond legal compliance requirements. CSR activities include community investment, environmental programmes, ethical supply chain management, and employee welfare initiatives.

CRADLE Fund: Malaysia's primary government agency for early-stage technology startup funding. CRADLE provides non-dilutive grants (CIP 300 at RM 300,000 and CIP 500 at RM 500,000) to pre-commercialisation technology ventures and has funded numerous Sarawak-based startups.

CRM (Customer Relationship Management): A technology platform and business strategy for managing, analysing, and improving interactions with existing and potential customers. CRM systems centralise customer data, manage sales pipelines, automate marketing communications, and enable personalised customer service.

Crowdfunding: Raising capital from a large number of individual investors — typically through an online platform — in exchange for rewards, equity, or debt. Malaysian platforms include CrowdPlus.Asia (equity), Ethis (Islamic equity), and Pitchin (equity). Crowdfunding provides both capital and community validation.

Customer Discovery: The first phase of Steve Blank's Customer Development process, in which the founding team tests the fundamental hypothesis of the business — whether the identified problem is real and whether potential customers value the proposed solution — through direct conversations with target customers.

Digital Business Strategy: An integrated plan for using digital technologies to achieve the organisation's strategic objectives. A digital business strategy aligns technology investment with business goals — it is not merely a technology procurement plan but a business strategy executed through digital means.

Entrepreneurship: The process of identifying opportunities, mobilising resources, and creating new value through the establishment and growth of new ventures. Entrepreneurship

involves innovation, risk-taking, opportunity recognition, and the capacity to translate ideas into sustainable business realities.

ERP (Enterprise Resource Planning): An integrated software platform that consolidates and manages an organisation's core business processes — finance, procurement, inventory, HR, and supply chain — within a single unified database. ERP eliminates information silos and provides real-time operational visibility.

Exit Strategy: The plan through which founders and investors convert their illiquid equity stakes into liquid capital. Common exit routes include Mergers and Acquisitions (M&A), Initial Public Offering (IPO), Management Buyout (MBO), and secondary sale to new investors.

Intrapreneurship: Entrepreneurial behaviour exercised within an existing organisation — applying startup-style innovation, risk-taking, and opportunity creation to internal corporate contexts. Intrapreneurs drive internal ventures, new product development, and organisational transformation without leaving their employer.

IPO (Initial Public Offering): The process by which a private company offers its shares to the public for the first time on a regulated stock exchange. In Malaysia, companies list on Bursa Malaysia's ACE Market or Main Market. An IPO provides capital, public profile, and liquidity for early investors and founders.

Knowledge Management: The systematic process of capturing, organising, sharing, and leveraging the knowledge within an organisation. Knowledge management distinguishes between explicit knowledge (documented, transferable) and tacit knowledge (personal, experiential, difficult to articulate) and uses systems and processes to convert tacit knowledge into organisational assets.

Lean Canvas: A one-page business model template adapted by Ash Maurya from the Business Model Canvas. The Lean Canvas replaces four BMC blocks with: Problem, Solution, Key Metrics, and Unfair Advantage — making it more suitable for early-stage startups facing high uncertainty.

Lean Startup: Eric Ries' methodology for building startups under conditions of extreme uncertainty through the Build-Measure-Learn cycle. The Lean Startup advocates building the Minimum Viable Product (MVP), testing it with real customers, measuring results, and rapidly iterating based on learning.

Minimum Viable Product (MVP): The smallest, simplest version of a product that delivers sufficient value to attract early customers and generate enough feedback to validate or invalidate key business hypotheses. The MVP principle saves resources by testing assumptions before committing to full product development.

Moral Development: Lawrence Kohlberg's theory of how individuals' moral reasoning progresses through three levels — pre-conventional (self-interest), conventional (social norms and rules), and post-conventional (universal ethical principles) — with six stages. Higher stages represent more principled and less self-interested moral reasoning.

OKR (Objectives and Key Results): A goal-setting framework that pairs qualitative, aspirational Objectives with specific, measurable Key Results. OKRs are typically set quarterly, shared transparently across the organisation, and reviewed weekly. Popularised by Intel and Google, OKRs align teams around shared priorities and enable accountable execution.

Opportunity Recognition: The entrepreneurial process of identifying a gap between the current state of the world and a possible improved state that could be achieved through a new product, service, or business model. Opportunity recognition is the first and foundational act of entrepreneurship.

PDPA (Personal Data Protection Act 2010): Malaysia's primary legislation governing the collection, processing, storage, and transfer of personal data. The PDPA 2010 requires organisations to obtain consent, state the purpose of data collection, protect data from unauthorised access, and allow individuals to access and correct their personal data.

Sarawak Digital Economy Corporation (SDEC): The Sarawak state government entity responsible for driving digital economy development in Sarawak. SDEC operates the Sarawak Digital Economy Blueprint 2030, runs the Startup Sarawak accelerator programme, deploys 5G infrastructure, and supports SME digitalisation through grants and advisory services.

Sdn Bhd (Sendirian Berhad): The Malaysian company structure equivalent to a Private Limited company. An Sdn Bhd has limited liability for its shareholders, a minimum of one director resident in Malaysia, and is registered with the Companies Commission of Malaysia (SSM). It is the most common structure for growing Malaysian SMEs.

SME (Small and Medium Enterprise): In Malaysia, SMEs are classified by annual sales turnover or full-time employee count: Micro (less than RM 300K sales or fewer than 5 employees), Small (RM 300K–RM 15M sales), Medium (RM 15M–RM 50M sales). SMEs account for 97.4% of all business establishments in Malaysia.

Sole Proprietorship: The simplest business registration structure in Malaysia, where a single individual owns and operates the business. A sole proprietorship has no legal separation between the owner and the business — the owner bears unlimited personal liability for all business debts. Registered with SSM under the Registration of Businesses Act 1956.

SSM (Companies Commission of Malaysia): The Malaysian government agency responsible for the registration and regulation of companies and businesses. SSM registers sole proprietorships, partnerships, Sdn Bhd companies, and Bhd companies. Entrepreneurs can search existing company records and file new registrations through SSM's online portal at <https://www.ssm.com.my>.

Stakeholder: Any individual, group, or organisation that is affected by, or has an interest in, the activities of a business. Stakeholders include shareholders, employees, customers, suppliers, local communities, regulators, and the natural environment. Stakeholder theory argues that businesses have ethical obligations to all stakeholders, not only to shareholders.

Technopreneurship: Entrepreneurship in which technology innovation is the core source of value creation and competitive advantage. Technopreneurs build businesses whose growth potential is driven by scalable digital products, proprietary algorithms, platform network effects, or intellectual property — enabling non-linear scaling that traditional businesses cannot achieve.

Utilitarianism: The ethical theory, developed by Jeremy Bentham and John Stuart Mill, that the morally right action is the one that produces the greatest good (or happiness) for the greatest number of people. In business contexts, utilitarian ethics supports cost-benefit analysis of decisions across all affected stakeholders.

Venture Capital (VC): Institutional equity funding provided by VC firms to startups with high-growth potential. VC investments typically occur at Series A stage and beyond (RM 3 million and above), with VCs taking significant equity stakes (20–40%) and board seats in exchange for capital and strategic support.

Virtue Ethics: The ethical tradition originating with Aristotle that bases moral behaviour on the character of the actor rather than rules or consequences. Virtue ethics asks "What would a person of excellent character do?" — identifying honesty, courage, fairness, prudence, and practical wisdom (phronesis) as the virtues that define ethical entrepreneurship.

ANSWER KEY

Self-Check Multiple Choice Questions — LU1 to LU8

The following answer key covers all MCQ self-check questions across all eight Learning Units. Students should attempt the questions independently before consulting this key. Reviewing incorrect answers in the context of the relevant subtopic content is the most effective study approach.

Learning Unit	Answers	Topic Title
LU1	1-C, 2-B, 3-B, 4-B, 5-B, 6-C, 7-B	Entrepreneurship, Innovation, and Opportunity
LU2	1-C, 2-B, 3-A, 4-B, 5-B, 6-B, 7-A	Applied Business Ethics and Professionalism
LU3	1-B, 2-B, 3-B, 4-C, 5-B, 6-B	Corporate Entrepreneurship and Intrapreneurship
LU4	1-B, 2-B, 3-B, 4-B, 5-C, 6-C, 7-B	Business Formation and Legal Frameworks
LU5	1-C, 2-C, 3-B, 4-C, 5-B, 6-B, 7-C	Ethical Theory and Business Practice
LU6	1-B, 2-B, 3-B, 4-B, 5-B, 6-B, 7-B	Developing Digital Business Strategy
LU7	1-B, 2-B, 3-B, 4-C, 5-B, 6-B	Strategic Business Planning for Tech Startups
LU8	1-B, 2-B, 3-B, 4-B, 5-B, 6-B, 7-B	Growth, Funding, and Long-Term Strategic Scaling

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Business Proposal

Assessment Overview

Assessment Component	Detail
Type	Individual Written Business Proposal
CLO Alignment	CLO2 — Demonstrate understanding of professional ethics, responsibilities and entrepreneurial skills to set up own business or discover digital business opportunities
Word Count	2,000–2,500 words (excluding title page, references, and appendices)
Due Date	Week 8 — submit via i-CATS LMS by 11:59 PM
Submission Format	Microsoft Word (.docx) or PDF uploaded to i-CATS LMS

Assessment Scenario

"You have identified a gap in the Sarawak market. Drawing on your learning from LU1–LU4, develop a Business Proposal for a new venture that addresses a real or realistic problem in Sarawak, East Malaysia, or Malaysia. Your venture must incorporate a technology component."

Required Sections

1. Executive Summary (approximately 200 words): Summarise the entire proposal — the problem, solution, target market, business model, and why this venture is viable and ethical. Written last, placed first.
2. Problem Statement and Opportunity Analysis: Define the problem with evidence of its significance and scope. Who experiences this problem? What is the current inadequate solution? Reference market data, customer research, or news evidence.

3. **Proposed Solution and Value Proposition:** Describe your product or service and articulate its value proposition — what it does, for whom, and why it is better than alternatives. Reference LU4 business model concepts.
4. **Target Customer Segment and Market Analysis:** Profile your primary customer segment using demographic, psychographic, and behavioural characteristics. Estimate the addressable market size in Malaysia or Sarawak. Reference LU1 opportunity recognition and LU4 customer discovery.
5. **Business Model Summary (Lean Canvas format):** Complete all nine Lean Canvas blocks: Problem, Customer Segments, Unique Value Proposition, Solution, Channels, Revenue Streams, Cost Structure, Key Metrics, Unfair Advantage. (May be presented as a table or diagram.)
6. **Legal Requirements and Business Registration Plan:** Identify the appropriate Malaysian business structure (Sole Proprietorship, Partnership, or Sdn Bhd) and justify the choice. List the licences, permits, and regulatory approvals required for your specific venture. Reference the Companies Act 2016 and relevant industry regulations.
7. **Ethical Considerations:** Apply at least two ethical frameworks from LU2 and LU5 (e.g., stakeholder analysis, PDPA compliance, virtue ethics) to identify and address the most significant ethical risks in your venture. Discuss how your business model is designed to operate ethically.
8. **Conclusion and Next Steps:** Summarise the venture's viability and identify the three most critical next steps to move from proposal to reality — the specific actions you would take in the first 90 days.

AI and Academic Integrity Note

Students may use AI tools (e.g., ChatGPT, Microsoft Copilot) as learning aids to brainstorm, structure arguments, or check grammar. However, students must: (1) Verify all AI-generated content against course readings and their own analysis; (2) Not submit AI-generated text as their own original work; (3) Include an 'AI Tools Used' declaration at the end of the submission stating which tools were used and for what purpose; (4) Not upload confidential, personal, or proprietary information to external AI platforms, in compliance with Malaysia's PDPA 2010 and i-CATS academic integrity policies.

Assessment Rubric — CA1

Criterion	CLO	Excellent (4)	Good (3)	Satisfactory (2)	Needs Improvement (1)
Opportunity Analysis	CLO2	Comprehensive identification of market gap, clear evidence of customer need, well-supported by data	Clear opportunity with reasonable evidence	Basic opportunity identified with limited evidence	Vague or unsupported opportunity
Business Model Coherence	CLO2	All Lean Canvas elements completed; business model is internally consistent and realistic	Most elements addressed; minor gaps	Some elements present; lacks coherence	Incomplete or incoherent model
Legal and Ethical Compliance	CLO2	Full coverage of Malaysian legal requirements; thorough ethical analysis using LU2/LU5 frameworks	Good coverage of legal requirements; adequate ethics discussion	Basic legal awareness; limited ethics	Missing legal requirements or ethics
Application of Theory	CLO2	Fluently integrates multiple entrepreneurship concepts from LU1–LU4; APA citations correct	Good use of theory with minor gaps	Some theory applied; limited citations	Minimal or no theoretical grounding
Communication Quality	CLO2	Well-structured, professional, clear; appropriate academic writing standard	Mostly clear; minor structural issues	Adequate but lacks clarity in places	Poorly structured; difficult to follow

CA2 — 35% | Due: Week 13

Reflection Case Study Analysis

Assessment Overview

Assessment Component	Detail
Type	Individual Reflective Case Study Report
CLO Alignment	CLO3 — Formulate strategies that outline future activity for an existing or proposed technology-based business venture
Word Count	2,000–2,500 words (excluding title page, references, and appendices)
Due Date	Week 13 — submit via i-CATS LMS by 11:59 PM
Submission Format	Microsoft Word (.docx) or PDF uploaded to i-CATS LMS

Case Scenario

Read the following case about Sarawak Digital Economy Corporation's (SDEC) support for a Sarawak-based technology startup:

"PepperDirect was founded in 2022 by Nora Binti Abdullah, a Sarawak-born agricultural science graduate, who identified a recurring problem: Sarawak pepper farmers — particularly in the Serian, Bau, and Sri Aman districts — lacked access to transparent, real-time market price information. Farmers typically sold through middlemen at prices below export market rates, unable to negotiate from a position of knowledge. Nora developed PepperDirect — a mobile application and web marketplace connecting Sarawak pepper farmers directly with registered buyers, displaying live wholesale prices, and enabling online contract-based sales. By 2023, PepperDirect had onboarded 210 registered farmers and processed RM 1.2 million in transactions. SDEC's Startup Sarawak programme provided RM 200,000 in seed funding and co-working space at DPulze Digital Hub. However, PepperDirect faces challenges: digital literacy is low among older farmers in interior districts; rural internet connectivity is

unreliable; logistics from interior farms to export-ready warehouses is expensive; and two Malaysian agri-tech companies have recently entered the Sarawak market with better-funded competing platforms. Nora is now considering whether to focus on deepening her Sarawak market position, expand to Sabah, or pursue ASEAN export market connectivity. She has been approached by a Brunei-based halal commodity trader interested in an exclusive supply partnership."

Note: Students may alternatively use a real Sarawak or Malaysian startup they can research independently, subject to written lecturer approval at least two weeks before the due date.

Required Sections

1. Case Summary (approximately 200 words): Summarise PepperDirect's current situation — its origin, model, achievements, challenges, and the strategic decision point it faces.
2. Entrepreneurial Strategy Analysis: Evaluate PepperDirect's strategic decisions to date using frameworks from LU6 and LU7 — including digital business strategy framework, competitive positioning, and whether the build-buy-partner framework was applied effectively.
3. Digital Business Strategy Assessment: Analyse PepperDirect's technology adoption choices — which digital tools have been most impactful, where are the digital gaps, and what specific digital strategy recommendations would you make for the next 12 months?
4. Growth and Funding Strategy Evaluation (LU8): Assess the funding strategy used to date and recommend the most appropriate next funding round (type, amount, and likely source). Evaluate the Sabah expansion versus ASEAN option using the strategic scaling framework. What should Nora do with the Brunei partnership approach?
5. Critical Reflection: What would you do differently if you were Nora? What strategic mistakes, if any, has PepperDirect made? What personal learning from this case can you apply to your own entrepreneurial thinking?
6. Conclusion: Summarise your strategic recommendations and their expected impact on PepperDirect's growth and long-term sustainability.

AI and Academic Integrity Note

Students may use AI tools (e.g., ChatGPT, Microsoft Copilot) as learning aids to brainstorm, structure arguments, or check grammar. However, students must: (1) Verify all AI-generated content against course readings and their own analysis; (2) Not submit AI-generated text as their own original work; (3) Include an 'AI Tools Used' declaration at the end of the submission stating which tools were used and for what purpose; (4) Not upload confidential, personal, or proprietary information to external AI platforms, in compliance with Malaysia's PDPA 2010 and i-CATS academic integrity policies.

Assessment Rubric — CA2

Criterion	CLO	Excellent (4)	Good (3)	Satisfactory (2)	Needs Improvement (1)
Strategic Analysis Depth	CLO3	Sophisticated, multi-framework analysis; insightful connections to LU6–LU8	Good analysis with clear framework application	Adequate analysis; one framework applied	Superficial or descriptive only
Digital Strategy Evaluation	CLO3	Thorough evaluation of ERP/CRM/digital strategy; actionable recommendations	Good evaluation with minor gaps	Basic evaluation of digital aspects	Digital strategy not addressed
Growth & Funding Rationale	CLO3	Well-reasoned funding/growth strategy; realistic and contextualised to Sarawak/ASEAN	Good reasoning; mostly realistic	Basic growth discussion; limited justification	No growth/funding analysis
Quality of Reflection	CLO3	Deep, critical self-reflection; links theory to practice convincingly	Thoughtful reflection; some theory integration	Surface-level reflection; limited theory	Descriptive summary only
Academic Writing & Citations	CLO3	Excellent structure; APA 7th citations accurate throughout	Good writing; minor citation issues	Adequate writing; some citation errors	Poor structure; missing citations

Final Assignment — 30%

Take-Home Individual Assignment

Assessment Overview

Assessment Component	Detail
Type	Take-Home Individual Written Assignment (3 structured questions)
CLO Alignment	CLO1 — Distinguish entrepreneurship traits and technology skills
Word Count	2,000–2,500 words total across all three questions
Release Date	Week 13 — distributed through i-CATS LMS
Submission Deadline	As specified by programme coordinator — typically 7–14 days after release
Submission Format	Microsoft Word (.docx) or PDF uploaded to i-CATS LMS

Assignment Questions

Question 1 (600–700 words, CLO1)

"Sarawak is home to a diverse mix of entrepreneurs — from Iban agripreneurs in the Batang Ai area to Chinese family business owners in Sibu to digital natives in Kuching's tech ecosystem. Drawing on the entrepreneurial traits, identity theories, and ethical frameworks from LU1–LU2, compare and contrast the entrepreneurial characteristics, motivations, and ethical challenges faced by TWO of these entrepreneur types. What can they learn from each other?"

Question 2 (600–700 words, CLO1)

"The concept of corporate entrepreneurship (LU3) blurs the line between 'entrepreneur' and 'employee'. Evaluate the extent to which intrapreneur behaviour — within a Sarawak government-linked company (GLC) such as Sarawak Energy Berhad or PETROS — can drive meaningful innovation and transformation. What structural conditions must be in place for intrapreneurship to flourish in a GLC context?"

Question 3 (800–1,000 words, CLO1)

"A new study suggests that ethical failures in Malaysian SMEs are among the leading causes of business closure within 5 years of founding. Using ethical development theory (Kohlberg, LU5), business ethics frameworks (LU2), and good governance principles (LU5), develop a practical 'Ethical Entrepreneurship Framework' specifically designed for new ventures in Sarawak. Your framework should be applicable across cultural and industry contexts within Sarawak."

AI and Academic Integrity Note

Students may use AI tools (e.g., ChatGPT, Microsoft Copilot) as learning aids to brainstorm, structure arguments, or check grammar. However, students must: (1) Verify all AI-generated content against course readings and their own analysis; (2) Not submit AI-generated text as their own original work; (3) Include an 'AI Tools Used' declaration at the end of the submission stating which tools were used and for what purpose; (4) Not upload confidential, personal, or proprietary information to external AI platforms, in compliance with Malaysia's PDPA 2010 and i-CATS academic integrity policies.

Assessment Rubric — Final Assignment

Criterion	CLO	Excellent (4)	Good (3)	Satisfactory (2)	Needs Improvement (1)
Depth of Analysis & Synthesis	CLO1	Comprehensive, integrative analysis drawing on multiple LUs; original insights	Good analysis; adequate synthesis	Basic analysis; limited synthesis	Descriptive; no real analysis
Theory-Practice Integration	CLO1	Theory fluently applied to Sarawak/Malaysian context; highly relevant examples	Good theory application with relevant examples	Some theory applied; examples adequate	Theory absent or misapplied
Ethical & Contextual Reasoning	CLO1	Nuanced ethical reasoning; strong contextual awareness (Sarawak/Malaysia)	Good ethical reasoning; adequate context	Basic ethics discussion; limited context	Ethical dimensions ignored
Strategic Judgement	CLO1	Clear, well-justified strategic recommendations; original and practical	Good recommendations with reasonable justification	Basic recommendations; limited justification	No recommendations or impractical
Academic Writing Quality	CLO1	Excellent structure, clarity, APA 7th citations; professional standard	Good writing; minor issues	Adequate writing; some issues	Poor structure; major writing issues

APPENDIX A

Tools and Online Resources for Entrepreneurs

This appendix provides a curated list of digital tools, online resources, and support programmes relevant to each Learning Unit of MBA6683. All tools are free or freemium unless otherwise indicated. Resources are organised by Learning Unit to facilitate targeted study and practical application.

LU1 and LU2 — Entrepreneurship Foundations and Applied Business Ethics

Tool	Access Link	Cost	How to Use for This LU
DISC Personality Assessment	https://www.discprofile.com	Freemium	Use to complete the LU1 formative entrepreneurial traits self-assessment. The free online DISC assessment provides a personality profile that can be reflected against the entrepreneurial traits discussed in LU1.
MACC — Corporate Integrity System Malaysia (CISM)	https://www.macc.gov.my	Free, Malaysian	Use to review Malaysian anti-corruption frameworks discussed in LU2. The MACC website provides corporate integrity pledges, business ethics toolkits, and guidance for SMEs on building ethical governance.
Sarawak Economic Development Corporation (SEDC) Entrepreneur Info	https://www.sedc.com.my	Free, Sarawak	Research Sarawak government support programmes for entrepreneurs. SEDC provides financing schemes, land for development, and business development support specifically for Sarawak Bumiputera entrepreneurs.

GoodBiz Malaysia — Business Ethics Toolkit	https://www.goodbiz.my	Freemium	Apply ethical frameworks to your own business context. GoodBiz provides structured ethics assessment tools adapted to the Malaysian SME environment and the Companies Act 2016 compliance requirements.
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LU3 and LU4 — Corporate Entrepreneurship and Business Formation

Tool	Access Link	Cost	How to Use for This LU
Lean Canvas (Leanstack)	https://leanstack.com	Freemium	Build your LU4 Lean Canvas directly on this platform. Leanstack is the original Ash Maurya platform — templates are available free, with paid features for team collaboration and portfolio management.
SSM Malaysia — eSearch (Business Registration)	https://www.ssm.com.my	Free	Use to research existing registered companies and understand the business registration process. SSM eSearch allows free company name searches; full document retrieval has a nominal fee (RM 10–50).
Miro Board (Digital Brainstorming)	https://miro.com	Freemium	Use for collaborative idea generation and business model mapping. Miro's free tier provides 3 editable boards with full canvas functionality — ideal for LU3 intrapreneurship exercises and LU4 business model workshops.
SDEC Sarawak Startup Portal	https://startup.sdec.com.my	Free, Sarawak	Apply for startup incubation and learn about Sarawak's startup ecosystem. The portal provides information about SDEC's Elevate accelerator, DPulze co-working spaces, and grant application procedures.

LU5 and LU6 — Ethical Theory, Corporate Governance, and Digital Strategy

Tool	Access Link	Cost	How to Use for This LU
Securities Commission Malaysia — MCG 2021	https://www.sc.com.my	Free	Download and review Malaysia's corporate governance code for LU5 good governance content. The MCG 2021 PDF is freely downloadable and is recommended reading alongside the LU5 good governance subtopic.
HubSpot CRM (Free Tier)	https://www.hubspot.com	Freemium	Set up a free CRM account to experience LU6 CRM concepts hands-on. HubSpot Free provides full contact management, deal pipeline, email integration, and basic reporting — sufficient for most early-stage Sarawak SMEs.
Google Analytics (Free)	https://analytics.google.com	Free	Track digital customer behaviour as a practical application of LU6 digital strategy. Google Analytics 4 provides website traffic, user journey, and conversion data — essential for any entrepreneur building a digital presence.

SAINS Sarawak Digital Services	https://www.sains.com.my	Free Info	Explore digital infrastructure services available to Sarawak businesses. SAINS offers cloud hosting, cybersecurity, data centre services, and enterprise application development relevant to LU6 digital business strategy.
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LU7 and LU8 — Strategic Planning, Pitching, and Growth

Tool	Access Link	Cost	How to Use for This LU
Canva (Pitch Deck Templates)	https://www.canva.com	Freemium	Build your LU7 pitch deck using Canva's startup-focused templates. Canva Free provides hundreds of pitch deck templates; the Pro tier (free for students via Canva for Education) unlocks premium templates and brand kit features.
CRADLE Fund Portal	https://www.cradle.com.my	Free	Review current grant programmes available for Malaysian tech startups. The CRADLE website provides eligibility criteria, application guides, and success stories for CIP 300 and CIP 500 grant applicants.
Ethis Malaysia — Islamic Crowdfunding	https://ethis.co/malaysia	Free to Browse	Explore Islamic crowdfunding as a LU8 funding alternative for halal ventures. Ethis provides shariah-compliant equity and debt crowdfunding. Browse completed campaigns to understand funding amounts, investor return structures, and deal terms.

Pitch the Future (AI Pitch Refinement)	https://pitchthefuture.com	Freemium	Use AI to refine your pitch narrative for LU7 pitching exercises. The tool analyses your pitch structure and provides feedback on clarity, investor readiness, and narrative flow — useful preparation for SDEC Startup and CRADLE pitches.
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Responsible Use of AI and Data in Entrepreneurship Study

AI tools are powerful accelerators for entrepreneurship learning and business development, but they must be used responsibly in both academic and professional contexts. The following principles govern AI tool use for MBA6683 students:

1. Verify all AI-generated content: AI tools (including ChatGPT, Microsoft Copilot, and Gemini) can produce plausible-sounding but factually incorrect information — particularly about specific Malaysian regulations, market data, and local business context. Always cross-check AI-generated claims against authoritative sources (government websites, academic references, verified news reports).
2. Declare AI tool use in all assessments: i-CATS academic integrity policy requires an "AI Tools Used" declaration at the end of every assignment. The declaration should state: (1) which AI tools were used; (2) for what specific purpose (brainstorming, grammar checking, structure outline, etc.); and (3) how you verified and adapted the AI-generated content.
3. Do not submit AI-generated text as your own work: Your assessments should reflect your own analysis, synthesis, and critical thinking applied to the Sarawak and Malaysian entrepreneurship context. AI can help you structure arguments and check grammar; it cannot substitute for your own entrepreneurial thinking and contextual judgment.
4. Protect data under Malaysia's PDPA 2010: Do not upload confidential business information, customer personal data, or proprietary financial data to external AI

platforms. Malaysia's Personal Data Protection Act 2010 creates legal obligations regarding how personal data is processed and transferred — including through third-party AI tools. When in doubt, anonymise or aggregate data before sharing with AI platforms.

5. AI is a tool, not a strategy: The most valuable entrepreneurial insights — identifying Sarawak-specific market opportunities, understanding cultural dimensions of Sarawak's diverse workforce, evaluating the nuances of BIMP-EAGA market entry — require human judgment, local knowledge, and direct customer engagement that no AI tool can replace.

APPENDIX B

Entrepreneurship Reference Cards

These reference cards provide quick-reference summaries of the core frameworks, models, and financial concepts used throughout MBA6683. Keep these pages accessible during assessments and revision.

Card 1: Business Model Canvas vs Lean Canvas — Quick Comparison

Both tools help entrepreneurs map their business model on a single page. The Business Model Canvas (Osterwalder & Pigneur, 2010) is suited to established businesses documenting existing operations, while the Lean Canvas (Maurya, 2022) is optimised for early-stage startups prioritising problem validation and hypothesis testing.

Block / Element	Business Model Canvas (BMC)	Lean Canvas (LC)	Sarawak Startup Example
1	Customer Segments — Who are the customers?	Customer Segments — Who has this problem?	PepperDirect: Sarawak pepper farmers aged 30–60 in Serian and Sri Aman districts
2	Value Propositions — What value do we deliver?	Unique Value Proposition — What makes us different?	Transparent real-time pepper price discovery + direct buyer access
3	Channels — How do we reach customers?	Channels — How do we reach customers?	Mobile app (Android-first), WhatsApp Business, rural field agents
4	Customer Relationships — How do we build and maintain relationships?	Early Adopters — Who are your first 50 customers?	Early adopters: cooperative-linked farmers in Serian with smartphone access
5	Revenue Streams — How do we earn?	Revenue Streams — How do we earn money?	2% transaction fee on matched buyer-seller trades
6	Key Resources — What assets do we need?	Existing Alternatives — What alternatives do customers currently use?	Existing: middlemen, Kuching commodity brokers, informal WhatsApp groups
7	Key Activities — What must we do?	Solution — What is our proposed solution?	Digital marketplace with real-time price listing, buyer matching, and escrow payment

8	Key Partners — Who helps us?	Key Metrics — How do we measure success?	KMs: Monthly Active Farmers, GMV (RM/month), buyer-to-seller match rate
9	Cost Structure — What are our costs?	Cost Structure — What are our costs?	Tech hosting (AWS), field agent commissions, marketing, co-founder salaries
UNIQUE	Partners block emphasises ecosystem	Problem block — top priority for validation	BMC better post-PMF; LC better pre-PMF for Sarawak startups validating with real farmers

Card 2: Venture Building Blocks — Quick Reference

Building Block	Definition (One Line)	Sarawak Startup Example (PepperDirect)
Problem	The specific pain point your venture solves for real customers	Sarawak pepper farmers receive prices 30–40% below global market rates due to information asymmetry and reliance on middlemen
Customer Segment	The specific group of people or organisations with this problem	Smallholder pepper farmers in Sarawak (est. 12,000 registered farms), aged 30–60, with at least basic smartphone literacy
Value Proposition	The concrete benefit you deliver — what the customer pays for	Real-time price transparency + direct access to certified global buyers = 15–25% higher net farm-gate price
Channels	How the product reaches customers and how the brand is communicated	Android app (free download), field agent network in Serian/Sri Aman, SDEC rural outreach programme
Revenue Streams	How the business earns money — the pricing model	2% transaction fee on matched trades; premium "verified seller" subscription at RM 50/month
Key Resources	The critical assets (technology, people, capital, IP) the venture requires	React Native mobile app, price data API, field agent network (20 agents), RM 500K seed funding
Key Activities	What the business must do repeatedly to deliver value	Platform development, farmer onboarding, buyer acquisition, payment escrow management, price data curation

Key Partners	Organisations or individuals the venture relies on but does not own	SDEC (digital infrastructure), Sarawak Farmers Organisation (SFO), logistics partner (CJ Logistics Kuching), escrow bank
Cost Structure	All significant costs of running the business	AWS cloud hosting (RM 3K/month), field agent salaries (RM 40K/month), marketing (RM 10K/month), co-founder stipends

Card 3: Basic Unit Economics and Break-Even Analysis

Unit economics describe the profitability of a single transaction or unit of sale. Understanding unit economics is fundamental before scaling any venture — you cannot scale profitably if each unit loses money.

Concept	Formula	Explanation
Revenue per Unit	$\text{Revenue} = \text{Price} \times \text{Quantity}$	What the business earns from selling one unit of product or service
Variable Cost per Unit	Variable Cost = All costs that change with each unit sold	Includes materials, transaction fees, delivery, commissions per sale
Contribution Margin per Unit	$\text{CM} = \text{Revenue per Unit} - \text{Variable Cost per Unit}$	The amount each unit contributes towards covering fixed costs and generating profit
Contribution Margin Ratio	$\text{CM Ratio} = \text{CM per Unit} / \text{Revenue per Unit} \times 100\%$	Percentage of each Ringgit of revenue that contributes to fixed cost coverage and profit
Break-Even Quantity	$\text{BEQ} = \text{Fixed Costs} \div \text{Contribution Margin per Unit}$	The number of units that must be sold to cover all fixed costs exactly (zero profit/loss)
Break-Even Revenue	$\text{BE Revenue} = \text{Break-Even Quantity} \times \text{Price per Unit}$	The total revenue required to cover all costs
Payback Period	$\text{Payback} = \text{Initial Investment} \div \text{Net Cash Inflow per Period}$	How long before cumulative cash inflows recover the initial investment

Worked Example — PepperDirect (Fictional Sarawak Agri-Tech Startup):

Item	Amount	Notes
Transaction Price (platform fee)	RM 5.00 per kg equivalent	PepperDirect charges 2% on avg. RM 25/kg pepper price = RM 0.50/kg; modelled as RM 5 per 10kg transaction unit
Variable Cost per Transaction	RM 2.00 per transaction	SMS notification cost, payment gateway fee (0.8%), field agent micro- commission
Contribution Margin per Transaction	RM 3.00 per transaction	$RM\ 5.00 - RM\ 2.00 = RM\ 3.00$
Monthly Fixed Costs	RM 30,000/month	Cloud hosting RM 3K + 2 developer salaries RM 15K + marketing RM 5K + admin/insurance RM 7K
Break-Even Quantity	10,000 transactions/month	$RM\ 30,000 \div RM\ 3.00 = 10,000$ matched transactions/month
Break-Even Revenue	RM 50,000/month	$10,000 \times RM\ 5.00 = RM\ 50,000$ gross platform revenue/month
Month 6 Actual (target)	14,000 transactions	Above break-even; profit = $(14,000 - 10,000) \times RM\ 3.00 = RM\ 12,000$ /month

Note: This is a simplified planning model for illustration purposes. A full financial model would include accrual accounting, depreciation, tax provisions, and working capital management.

Card 4: Entrepreneurial Finance Glossary

Term	Plain-Language Definition	Sarawak / Malaysia Example
Bootstrapping	Funding the venture primarily through personal savings, family contributions, and early revenue — without external investors or loans	A Kuching food truck founder using personal savings of RM 30,000 to purchase equipment and launch without bank debt
Angel Investor	A wealthy individual who provides early-stage equity funding (typically RM 100K–RM 1M) in exchange for a minority share, often accompanied by mentorship and network access	A Penang-based serial entrepreneur investing RM 200,000 in a Sarawak mobile app startup for 15% equity at seed stage
Venture Capital (VC)	An institutional fund that provides growth-stage equity investment (typically RM 3M+) in exchange for significant equity, targeting rapid scaling and a 5–7 year exit	MAVCAP (Malaysian Venture Capital Management) investing in a Malaysian B2B SaaS company targeting ASEAN expansion
Crowdfunding	Raising funds from a large number of individuals, each contributing a small amount, via an online platform. Types: rewards-based, equity-based, debt-based, donation-based	A Kuching halal food startup launching on CrowdPlus.Asia (equity crowdfunding) to raise RM 250,000 from 80 investors
Grant	Non-repayable public funding awarded by government or foundations to support innovation, research, or social impact objectives	CRADLE CIP 300 providing RM 300,000 in non-dilutive grant funding to a Sarawak tech startup developing agri-tech solutions
Seed Funding	Early-stage funding (typically RM 100K–RM 2M) used to validate the business model, build an MVP, and acquire first customers. Often from angels or early-stage VCs	A Miri-based EdTech startup receiving RM 500K seed funding from a Singapore-based angel syndicate to build its Bahasa Malaysia learning app

Series A / B / C	Sequential rounds of institutional VC funding. Series A (RM 3M–RM 20M): scaling product and team. Series B (RM 20M–RM 100M): market expansion. Series C+: pre-IPO or global scaling	Revenue Monster (Malaysian fintech) received Series A from established VCs before scaling across Southeast Asia
IPO (Initial Public Offering)	Listing the company's shares on a public stock exchange for the first time, allowing early investors to exit and providing access to large-scale public capital	Carsome (Malaysian used-car platform) pursued a SPAC merger-based listing as an aspirational path for Malaysian tech unicorns
M&A Exit	Selling the company to a strategic buyer or competitor, providing a liquidity event for founders and investors	Grab acquiring local Malaysian logistics and payment startups to expand its super-app ecosystem across Southeast Asia
Management Buyout (MBO)	The management team purchases the business from the current owners (often family or VC investors), typically using a combination of personal capital and bank financing	A Sarawak-based SME founder selling to the existing management team upon retirement, structured as a leveraged MBO with CIMB financing
BIMP-EAGA	Brunei-Indonesia-Malaysia-Philippines East ASEAN Growth Area — a sub-regional economic cooperation zone covering East Malaysia, Brunei, Kalimantan (Indonesia), and Mindanao (Philippines)	A Sarawak SME exporting halal processed foods to Brunei via BIMP-EAGA preferential tariff arrangements and the established Kuching–Bandar Seri Begawan trade corridor

Valuation	The estimated monetary worth of a business, typically calculated as a multiple of revenue, EBITDA, or future cash flows. Central to investment negotiation	A Sarawak fintech valued at RM 5M (5× annual recurring revenue of RM 1M) during a Series A funding round
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APPENDIX C

Optional Advanced Track

Not Compulsory and Not Directly Assessed

The following materials are provided for students who wish to go beyond the core curriculum. They are not required for CA1, CA2, or the Final Assignment, but will significantly strengthen your entrepreneurial practice skills and prepare you for real-world venture building.

C1: One-Page Pitch Deck Outline (8–10 Slides)

A pitch deck is a visual presentation (typically 8–10 slides) used to communicate a startup idea to potential investors, partners, or accelerator judges. The structure below follows the best practices of Y Combinator, Sequoia Capital, and SDEC Startup pitching guidelines. Each slide should be visually clean, data-supported, and take no more than 60–90 seconds to present.

Slide	Title	Content to Include	Common Mistake to Avoid
1	Problem	Describe the specific, painful problem your customers face. Use data or a vivid story. State who suffers from this problem and how frequently. Keep to 3 bullet points.	Do not describe a generic macro-trend. Make the problem concrete and specific to your target customer.
2	Solution	Your product or service in plain language. Show a screenshot, diagram, or demo if possible. State clearly: "We help [customer] do [X] so they can [outcome]."	Do not describe features — describe the benefit and outcome for the customer.
3	Market Size (TAM/SAM/SOM)	Total Addressable Market (TAM): the entire market if you had 100% share. Serviceable Addressable Market (SAM): the segment you can realistically serve. Serviceable Obtainable Market (SOM): your realistic 3-year target. Use credible sources.	Do not use top-down inflated estimates (e.g., "the global food market is USD 8 trillion"). Use bottoms-up calculations based on your actual customer count and revenue per customer.
4	Product / Demo	A screenshot, live demo link, or prototype mockup. Show the user interface and key user journey. Investors want to see the product exists, not just the idea.	Do not skip this slide. A product screenshot builds more credibility than 3 slides of text about the product.

5	Business Model	How the company makes money. Revenue model (transaction fee, subscription, freemium, SaaS, marketplace). Unit economics: price per unit, cost per unit, contribution margin. Payback period on customer acquisition cost.	Do not say "we will monetise later". Show a clear, tested revenue mechanism even if revenues are small at this stage.
6	Traction / Validation	Evidence that the business works. Revenue figures, user growth (month-over-month), pilots, letters of intent, customer testimonials, waitlist size. Investors fund momentum, not ideas.	Do not present vanity metrics (e.g., total downloads without active users). Show meaningful engagement and revenue indicators.
7	Team	Founding team photos, names, and 2-line bios showing relevant domain expertise. Highlight: who has built something before? Who has the deepest industry knowledge? Who has the technical skill?	Do not include 10 advisors to compensate for a weak founding team. Investors invest in founders, not advisory boards.
8	Financials (3-Year Projections)	High-level revenue, cost, and EBITDA projections for Year 1, 2, and 3. Key assumptions clearly stated. Show the path to profitability or sustainable growth. Include monthly burn rate and runway.	Do not present hockey-stick projections without credible assumptions. Investors will probe your assumptions — know them in detail.

9	Funding Ask and Use of Funds	The exact amount you are raising (e.g., RM 1.5M pre-seed). Specific allocation: e.g., 40% product development, 35% sales & marketing, 25% operations. Milestone this funding achieves.	Do not be vague ("we are raising X to grow"). Be specific about milestones the funding unlocks.
10	Vision and Closing	A compelling one-sentence vision: where will this company be in 5 years? Why is this team the right one to build it? End with your contact details and a call to action.	Do not end weakly. A strong closing slide leaves the investor with a clear, memorable vision of the company's potential.

Recommended Tools: Canva (<https://canva.com>) — free pitch deck templates optimised for startup presentations. Pitch.com (<https://pitch.com>) — collaborative pitch deck builder with investor analytics. PowerPoint or Google Slides — universally accepted and format-compatible with all Malaysian accelerator submission portals.

C2: Venture Summary Template (One-Page Executive Summary)

The one-page venture summary is used when approaching angel investors, accelerators, government grants (CRADLE, TERAJU, SDEC), or strategic partners who need a quick overview before deciding whether to schedule a full pitch meeting. It should be professionally formatted, printed on one A4 page, and updated quarterly.

Field	What to Write Here	Example (PepperDirect)
Venture Name	Your company name (and tagline if available)	PepperDirect — "From Farm to World Market"
Founding Team	Names, roles, and one key credential per founder	Ahmad Zaidi (CEO, ex-SDEC programme manager); Siti Rahimah (CTO, 8 years mobile app development); James Imang (COO, former pepper farmer cooperative leader, Serian)
Problem	2 sentences: who suffers, from what pain, how frequently	Sarawak's 12,000 smallholder pepper farmers receive prices 30–40% below global market rates due to information asymmetry and dependence on multi-tier middlemen. This costs the average farm family RM 18,000/year in lost income.
Solution	2 sentences: what you offer and how it works	PepperDirect is a mobile marketplace connecting Sarawak pepper farmers directly to certified domestic and global buyers, with real-time price transparency and integrated escrow payment. Farmers list produce via Android app; buyers bid in real-time; PepperDirect handles payment and logistics coordination.

Target Market	Primary customer segment and market size estimate	Primary: 12,000 smallholder pepper farmers in Sarawak. Secondary: 200+ domestic and international certified pepper buyers. SAM: RM 450M annual pepper trade value in Sarawak. SOM (Year 3): RM 45M (10% market share).
Revenue Model	How the business earns money — primary mechanism and secondary	2% transaction fee on matched trades (primary). RM 50/month verified seller subscription (secondary). Year 3 target: RM 1.8M annual revenue at 10% SAM penetration.
Key Milestones Achieved	Evidence of traction and validation completed to date	MVP launched Q2 2025. 350 registered farmers. RM 280,000 GMV in first 3 months. Letter of Intent from 2 Kuching-based commodity exporters. SDEC Digital Economy grant recipient (RM 150,000).
Funding Status	Current funding round, amount sought, and what it achieves	Raising RM 800,000 pre-seed. Allocation: 50% tech development (Android/iOS + backend), 30% field agent network expansion (60 agents), 20% marketing and buyer acquisition. Milestone: 2,000 active farmers and RM 2M GMV by Q4 2026.
Contact	Email, phone, website, LinkedIn	ahmad@pepperdirect.com.my +60 82-XXX-XXX www.pepperdirect.com.my LinkedIn: PepperDirect Malaysia

C3: Simple 3-Year Financial Projection Outline

This is a planning tool, not an accountant's model. Use for internal strategy discussions, pitch preparation, and grant applications only. A full audited financial model requires a qualified accountant. The structure below provides a sufficient framework for early-stage startup planning.

Revenue Projection Model — PepperDirect (Fictional Illustration):

Revenue Driver	Year 1 Assumption	Year 2 Assumption	Year 3 Assumption
Active Registered Farmers	500 farmers by Dec	2,000 farmers by Dec	5,000 farmers by Dec
Average Monthly Transactions per Farmer	4 transactions	5 transactions	6 transactions
Average Transaction Value (GMV)	RM 250 per transaction	RM 300 per transaction	RM 350 per transaction
Platform Fee Rate	2% of GMV	2% of GMV	2% of GMV
Monthly GMV (peak month)	RM 500K	RM 3M	RM 10.5M
Annual Gross Revenue (Platform Fees)	RM 120,000	RM 720,000	RM 2,520,000
Subscription Revenue (Verified Sellers)	RM 6,000 (10 sellers × RM 50 × 12)	RM 60,000 (100 sellers)	RM 180,000 (300 sellers)
Total Annual Revenue	RM 126,000	RM 780,000	RM 2,700,000

Cost Structure Projection — PepperDirect:

Cost Category	Year 1 (RM)	Year 2 (RM)	Year 3 (RM)
Cost of Revenue (payment processing, SMS costs, hosting variable)	25,200	156,000	540,000
Gross Profit	100,800	624,000	2,160,000
Gross Margin %	80%	80%	80%
Salaries — Tech (2 developers + 1 PM)	252,000	420,000	600,000
Salaries — Operations (field agents + support)	192,000	480,000	720,000
Salaries — Management (2 co-founders stipend)	120,000	180,000	240,000
Marketing and Customer Acquisition	60,000	120,000	180,000
Technology / SaaS / Infrastructure (fixed)	36,000	48,000	60,000
Rent and Co-Working (Kuching DPulze)	24,000	36,000	48,000
Legal, Admin, Insurance	30,000	40,000	50,000
Total Operating Expenses	714,000	1,324,000	1,898,000
EBITDA (Operating Profit / Loss)	(613,200)	(700,000)	262,000
EBITDA Margin	(486%)	(90%)	9.7%
Cumulative Funding Required	RM 800K pre-seed	RM 2M Series A	Self-sustaining

Key Notes on This Projection:

1. Year 1 loss is expected and funded by pre-seed capital of RM 800K — providing 13+ months of runway at RM 59,500/month burn rate.
2. Year 2 loss assumes aggressive farmer onboarding investment — a deliberate growth-over-profitability decision typical of marketplace startups requiring critical mass on both supply (farmers) and demand (buyers) sides.
3. Year 3 EBITDA positive assumes 5,000 active farmers generating sufficient transaction volume. This is the key assumption to validate with investor partners.
4. Sensitivity analysis (recommended): model scenarios at 50% and 150% of farmer growth assumptions to test the range of outcomes and funding requirements.
5. This model does not include: depreciation, income tax, working capital requirements, or cash flow timing differences. A full financial model for investors should include monthly P&L, Balance Sheet, and Cash Flow Statement.
6. Recommendation: Use this model as a conversation starter with CRADLE fund managers and angel investors, then refine based on their feedback and your actual Q1 metrics.

